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OECD ECONOMIC SURVEYS

2002-2003

Czech Republic

OECD

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF THE CZECH REPUBLIC[1]

THE LAND

Area (sq. km)	78 864	Population of major cities (thousands) (1.1.2000)	
Arable land (sq. km)	42 798	Prague	1 186.9
		Brno	383.6
		Ostrava	321.2
		Plzeñ	167.5

THE PEOPLE

Population (thousands, 31 December 2001)	10 206	Civilian employment by sector	
Number of inhabitants per sq. km	129.4	(% of total, 2001)	
Annual population growth, 1996-2001 (%)	–0.02	Agriculture	4.8
Employment (thousands, 2001)	4 707	Industry	40.4
		Services	54.8

THE PARLIAMENT

Chamber of Deputies, as at March 2003 (number of seats)

Social Democratic Party	70	Freedom Union/Christian Democratic Union	31
Civic Democratic Party	58	and People's Party Coalition	
Communist Party	41	Total	200

THE PUBLIC SECTOR[2]

% of GDP, 2002

Current receipts	40.9	Total expenditure excluding net lending	46.2
Direct taxes	9.8	Government consumption	21.7
Indirect taxes	10.3	Subsidies to enterprises	2.4
Social security contributions	16.1	Social security benefits	13.5

PRODUCTION

GDP ($ million, 2001)	56 754	Structure of production (% of GDP, 2001)	
GDP per capita ($, 2001)	5 561	Agriculture	4.2
Gross fixed investment (% of GDP, 2001)	28.3	Industry	40.0
		Services	55.8

FOREIGN TRADE

Exports of goods and services (2001)		Imports of goods and services (2001)	
($ billion)	40.5	($ billion)	42.0
(per cent of GDP)	64.9	(per cent of GDP)	68.2
Main merchandise exports (% of total, 2001)		Main merchandise imports (% of total, 2001)	
Machinery and transport equipment	47.4	Machinery and transport equipment	42.2
Manufactures	24.3	Manufactures	20.2
Chemicals	6.4	Chemicals	10.9
Other	21.9	Petroleum products	9.1
		Other	17.6

THE CURRENCY

Monetary unit: Czech koruna	Currency units per $	
	Year 2001	38.0
	Year 2002	32.7
	Feb. 2003	29.4

1. An international comparison of certain basic statistics is given in an annex table.
2. Data are based on the OECD-adjusted general government accounts which differ from but are based upon the Czech Ministry of Finance data produced in accordance with the IMF's Government Financial Statistics.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of member countries.

•

The economic situation and policies of the Czech Republic were reviewed by the Committee on 27 January 2003. The draft report was then revised in the light of the discussions and given final approval as the agreed report by the whole Committee on 17 February 2003.

•

The Secretariat's draft report was prepared for the Committee by Rauf Gönenç and Jaromir Cekota under the supervision of Andreas Wörgötter.

•

The previous Survey of the Czech Republic was issued in July 2001.

Assessment and recommendations

Broadening the FDI boom and ensuring fiscal consolidation are key to improving economic performance

Important economic reforms have been implemented since the currency crisis of 1997, gradually improving conditions for doing business. Attracted by privatisation, tax incentives and prospects of EU accession, large amounts of foreign direct investment (FDI) have flowed in, helping to modernise the productive capacity. Nevertheless, the Czech economy has remained burdened for longer than other transition countries with a large number of poorly performing enterprises, suffering from weak corporate governance, which had been kept alive by soft loans from state-dominated banks. The major challenge in this context is to overcome the dualism between the prospering FDI sector and the still considerable part of Czech industry in need of further restructuring. Broadening the FDI boom requires the reallocation of resources – mainly labour – to more productive uses. In order to prevent unavoidable layoffs from turning into permanent withdrawals from the labour market, and to preserve the inherited high participation and employment rates, new reforms should improve the demand for labour and strengthen the incentives to take up work. This requires a market framework that facilitates large-scale reallocation of labour among firms and sectors through low hiring and firing costs. On the macroeconomic front, the Czech Republic faces the difficult task of rebalancing the policy mix so as to create conditions for greater financial stability and avoid a loss of external competitiveness through excessive wage increases and overshooting exchange rates. A substantial fiscal adjustment is needed, first of all to claw back the excessive fiscal loosening over the period 2002-03, but beyond that to deal with social-security spending pressures and to create room for tax cuts and growth-enhancing expenditure increases in areas like infrastructure investment, education and business-relevant public services. The

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probable Czech entry into the European Union next year will strengthen the framework for conducting broad ranging economic reforms, but also further increases the need to stay on such a reform path.

Recent macroeconomic performance was supported by fiscal stimulus

Output growth in 2002 decelerated less than in Western Europe in spite of the close links with key trading partners in the EU, in particular Germany. The real annual growth rate of 2½ per cent was to a large extent due to a massive fiscal stimulus during an election year. Growth in social transfers, housing subsidies and government wages, together with private sector wages benefiting from a tight labour market, as well as improved borrowing opportunities nurtured strong household consumption. The sharp increase in the nominal exchange rate in the first half of 2002 helped to achieve larger than expected disinflation, which further boosted real income, but had serious adverse consequences for parts of the business sector. Cost competitiveness and financial conditions rapidly deteriorated and investment and employment growth weakened. As a result of strong domestic consumption, deteriorating competitiveness and the exceptional late-summer floods, the external deficit increased in the second half of the year. However, this was tempered by improving terms of trade, partly reflecting lower prices of imported oil and gas. Consequently the current account deficit remained below 5 per cent of GDP for 2002 as a whole and was financed by FDI.

Although international recovery should contribute to a pick-up in growth in 2003-04, much depends on structural reforms

Recovering export markets should result in growth picking up again and exceeding 3 per cent in 2003 and 2004. Additional fiscal stimulus remains budgeted for 2003 – driven by further growth of public wages and transfers – but on a much smaller scale than in the previous year. The dynamism of recovery will have to be driven by private sector developments instead. While the current projection envisages a "traditional" recovery, which is broadening over the forecast horizon, considerable risks exist. If the exit of firms from low performance activities accelerates, but with incentives to take up work and to hire labour remaining insufficient, the economy may see its employment rate decline with consumer confidence and growth suffering. However, if the pursuit of structural reforms results in stronger incentives for labour demand and supply, together with improved

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business conditions, allowing rapid re-deployment of redundant workers, this would stimulate the economy and raise potential output growth over the medium term.

Inflation targets have been undershot as the currency has appreciated, and monetary conditions have become very tight

Monetary policy has switched to headline inflation targeting to increase transparency and credibility. Target bands have been determined up to December 2005 by the Central Bank in co-operation with the government. However, strong currency appreciation in the first half of 2002 in combination with other temporary factors led again to an undershooting of the inflation target and the pace of appreciation became the key concern of monetary policy as international competitiveness deteriorated. This motivated actions by the Central Bank, including currency market interventions, successive rate cuts and a more credible agreement with the government to slow down the conversion of foreign exchange receipts from privatisation. These efforts triggered a phase of stabilisation of both real interest and exchange rates from mid-2002, though monetary conditions have nevertheless remained tight by historic standards. While the present inflation targeting framework would seem to provide an effective instrument for stabilisation in the face of volatile market conditions, decisions will have to be made on how to adapt monetary and fiscal frameworks in order to allow for adequately timed ERM II and EMU participation after EU accession.

The fiscal loosening in 2002 should be reversed while containing social-security spending pressures through appropriate reforms…

The fiscal stance loosened significantly in the election year 2002, with a jump in general government expenditure of close to 3 per cent of GDP and an increase in the budget deficit of almost 2 per cent of GDP. According to preliminary estimates on the basis of cash transactions, the consolidated deficit for 2002 has reached 4½ per cent of GDP, excluding privatisation-related revenues and spending (the deficit reaches 7.3 per cent if the spending related to the losses of transformation institutions is included). Additional fiscal stimulus is budgeted for 2003 and future fiscal prospects remain worrying, as the spending liabilities of the pension and health systems – as currently legislated – will necessitate ever rising transfers from the budget, expected to double from less than 2 per cent of GDP in 2002 to 4 per cent in 2010, and to double again to 8 per cent by 2020. Reforms in these areas are needed to avoid risks to fiscal sustainability.

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… and additional room is needed for tax cuts and growth enhancing spending

Expenditure reform is needed not only to establish fiscal sustainability, but also to make room for growth-enhancing measures. The Czech Republic is now a country with a heavy tax burden exceeding the average of the low-income OECD countries by more than 5 percentage points of GDP. High taxes, which are distorting economic choices and risk eroding business and work incentives, should therefore be lowered. Reducing the high taxes on labour is also important to foster the creation of new jobs. Additional fiscal efforts are necessary to improve the transport infrastructure, education outcomes, environmental performance, business relevant public services and other convergence related areas. The government is presently considering a wide-ranging public expenditure reform to address these issues, taking into account the public management reforms described in the 2001 *Economic Survey*. But current proposals may not be sufficiently ambitious to achieve the needed results; stronger structural measures, aimed at substantially reducing future spending on mandatory programs relative to current projections are therefore strongly recommended.

Pension reform is urgent

The pay-as-you-go (PAYG) pension system is the largest mandatory spending item, generating annual deficits that are projected to double from 1 to 2 per cent of GDP within the coming few years, and to rise further by 2030. The present value of the implicit pension debt is well above 100 per cent of GDP. The first step towards a scheduled pension reform would be a readjustment of key PAYG parameters. For example, the contemplated switch to inflation indexing might return the system to current balance by 2006 and result in slowly rising surpluses in subsequent years that would peak at 2 per cent of GDP in the mid-2020s. But, by itself, the corresponding decrease of replacement rates would not be socially sustainable for very long unless other forms of retirement income became available rapidly. The logic of this approach, therefore, would be to establish a second pension pillar to provide additional retirement income over time as the PAYG system shrinks. Other approaches may also be considered, drawing on the range of reform models implemented in other OECD member countries. The key feature of any sustainable system is that it provides appropriate incentives for older workers to remain in employment longer as their life expectancy

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increases. The Czech Republic has some margin of flexibility in ensuing pension reform insofar as privatisation receipts in the next few years would provide a financial buffer. But the essential point is that such margin be used to underpin a genuine reform, and not to finance temporarily a system that is unsustainable in the longer run.

Current policies risk unsustainable increases of public healthcare expenditure

The healthcare system is based on comprehensive publicly funded health insurance for the entire population. Private health payments account for an unusually low (8 per cent) share of total health spending. The system has helped to achieve a remarkable improvement in the health status of the population since the early years of transition, at a pace unmatched in the region with the exception of Slovenia. And fiscal costs have been contained to date despite little private co-financing. However, despite recent wage growth, health sector wages and prices still remain low in comparison to the rest of the economy and this cannot be sustained for long. With these pressures added to the effects of population ageing and new medical technology, a significant increase in the health bill is to be expected. With current policies, the deficit of the public health care system is projected to rise considerably. Dealing with these pressures will require both increasing the efficiency of public sector healthcare delivery, and some increased role for private payments. Experience from other OECD countries shows that this is possible without compromising unduly the principle of universal access to medically necessary services.

Publicly funded healthcare is employing too many resources and capacity downsizing is necessary

A key feature of the healthcare system is the exceptional density of the publicly funded hospital and physician networks, and the extent of pharmaceutical reimbursements, which go far beyond OECD averages. Healthcare capacity is neither fully utilised nor completely targeted at medical necessities. Many reimbursed drugs are over-the-counter products, which are paid out-of-pocket in most other OECD countries. Medical needs should be defined more narrowly and according to standards prevailing in advanced OECD countries. Overall, excessive installed capacity, in a wide spectrum of areas ranging from acute care beds to ambulatory specialists' offices, has been identified and the Czech government is currently preparing adjustments. There is no alternative to such reduction of publicly funded health capacity and

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a co-ordinated approach should be preferred to *ad-hoc* cuts enforced by short-term budgetary constraints.

More scope for privately sponsored healthcare could help to ease the burden of capacity downsizing

At the same time, there is no provision today for market-oriented hospital and physician services that can be funded by payments from users or private insurers. To preserve the homogeneity of the supply network and enforce formal equity of access (although rationing exists in many areas and is sometimes solved with the aid of illegal but effective side payments), such market developments have been banned more stringently than in most other OECD countries. As a consequence, no market for complementary health insurance has developed. Hence, markets should be liberalised in non-core activities, both to respond to private demands for diversified and comfort services, and to open activity avenues to health professionals and facilities made redundant in the publicly funded sector. Private insurance can be made available in such peripheral areas and contribute to the desirable increase in the share of private payments. More means testing associated with access to full public funding – such as in long-term care and some pharmaceutical prescriptions – can also help. Furthermore a general introduction of private co-payments in a socially acceptable and appropriate way should be considered as a partial alternative to health insurance contributions. However, even if some adjustments are made to the use of public funding and assuming also that productivity gains can be achieved in the provision of health services, the social and political priority for strong, high quality and collectively available health care will nevertheless mean that health spending will increase over time. Room will have to be found for this through budget savings in other areas which would be eased by medium-term spending discipline and higher economic growth.

The trend growth rate of the economy is below the regional average, weighed down by low productivity in the domestic business sector

The estimates of the potential growth rate of the economy – currently clustering between 2½ and 3 per cent – show a clear lag relative to other countries in the region. While these estimates are based on a variety of different methodologies, they all associate low potential with ineffective utilisation of inputs. This peculiarity, which has sustained high labour force participation and employment rates, reflects the rapid pace of ineffective industrial investment in the first decade of transition under government-

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sponsored banking and weak corporate governance and low subsequent exit of unprofitable firms. Consequently a large segment of the labour force is employed in enterprises and activities that are not sufficiently productive to meet domestic and international competition. This problem will intensify with an expansion of the highly productive FDI sector, which contributes to further real wage growth and currency appreciation. The size of the "vulnerable" component of the industrial sector is estimated at between 5 and 10 per cent of dependent employment, with recent signs of an increase due to the worsening competitiveness.

Higher potential growth will require overcoming the emerging dualism between domestic and FDI firms

The level and growth rate of productivity remain comparatively low, in spite of the remarkable impulse coming from the surging FDI sector where Czech plants' productivity approaches levels in the investors' home countries. The future performance of the economy will depend importantly on overcoming the emerging dualism in the business sector, and the quality and pace of interaction and productivity diffusion between international and domestic firms. Corporate restructuring in this context will be shaped by the microeconomic and institutional environment for external take-overs, downsizing, mergers and consolidations, and the extent to which they facilitate the shifting of human and capital resources to better uses. In order to help restructuring firms grow, policymakers should remove obstacles to stock market listings and investment by further strengthening the credibility of financial market supervision, reporting and corporate governance. This will help to overcome the public disenchantment with the outcomes of voucher privatisation in the 1990s.

The new bankruptcy law should be enacted and the re-sale of non-performing loans swiftly continued

The environment for doing business depends on transparent legislation and competent public administration. The bankruptcy, exit and take-over of non-viable enterprises is cumbersome and currently takes too long. The physical and enterprise-specific human capital, as well as other intangible assets of defaulting firms, are often trapped in dead-end situations under entrenched management. The bankruptcy law, amended 19 times since 1993, is frequently interpreted by the judiciary in favour of incumbents, often for short-term employment protection reasons. Creditors and new owners are discouraged from rehabilitating faltering firms and therefore opt for and try to obtain liquidations rather than

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compositions. A new draft bankruptcy act is being currently prepared to clarify and enforce all parties' rights and responsibilities in distressed firms. Its adoption should be hastened and the courts trained and equipped for its rapid implementation. The non-performing loans which are in the portfolio of the Czech Consolidation Agency, concerning 7 000 non-financial firms, 500 housing and 600 small agricultural co-operatives, covering claims with a face value close to 15 per cent of GDP, should continue to be auctioned off to the market. The early experience with the initial sales, in spite of unnecessarily long delays in realisation, is encouraging with some restructuring activities having been apparently triggered successfully. As regards corruption, Czech authorities have stepped up efforts to bring more cases to court, which is likely to increase public awareness and have a detrimental effect on shady practices.

Wage determination in general is quite flexible but employment protection is high and labour turnover low…

Wage bargaining between employers and employees takes place in a form that, in principle, reflects firm circumstances. Sectoral wage negotiations with unions representing 30 per cent of the labour force result in collective agreements, which are not binding for non-unionised enterprises. However, the government makes regular use of the right of legal extension in some sectors like construction, textiles and metalworking – in order to prevent wage dumping. This policy is having adverse consequences for smaller vulnerable firms and is hampering the reallocation of the labour force to more profitable firms by distorting wage signals. Laws and regulations pertaining to employment are rigid and especially the procedures governing mass layoffs are cumbersome and demanding. Legal reforms to reduce the costs of employment protection and to provide a suitable framework for part-time and temporary work are necessary, as the present *ad hoc* system risks making the elimination of overstaffing in either vulnerable private firms or public enterprises with excessive employment very costly.

… and labour supply incentives are weakened by the tax-benefits system…

Exit opportunities are available for redundant workers in the form of recently tightened but still generous early retirement and welfare benefits. A widely abused sick leave system also socialises part of the redundancy costs in declining firms. Overall, income replacement rates by the welfare system are high, notably for low-skilled and low-income workers.

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First-time entrants to the labour force also benefit from these transfers, with unwelcome consequences for work motivation. The high expectations and the high reservation wages of the unemployed are revealed by the growing wedge between *registered* (9½ per cent) and *survey* (7 per cent) unemployment rates – insofar as the latter measure more accurately captures *involuntary* unemployment. Widespread recourse to registered and unregistered immigrant workers, who reportedly account for 2-4 per cent of the labour force, including in low-skilled jobs where official unemployment is high, is another indicator of a poorly functioning labour market. Skill mismatches and regional labour market imbalances are also widely documented. In order to reduce unemployment traps it is recommended that the social transfer system shifts from passive maintenance with prohibitive marginal benefit withdrawal rates to in-work benefits. Given the high share of long-term unemployed, special initiatives to activate welfare recipients are necessary. Poor incentives to take up work should be improved by strictly enforcing the job-search requirements mandated by the law.

… while hiring incentives are also hindered by high non-wage labour costs

Hiring incentives of employers are weakened by excessively high non-wage labour costs. The Czech Republic relies more than other countries on taxing wages, with payroll taxes accounting for 17 per cent of GDP and their contribution to total tax revenues reaching 44 per cent. Non-wage costs represent about one-third of the labour costs of low-skilled and low-income workers, which reduces the demand for such workers by creating a distorting wedge between their income on the one hand, and their required productivity to cover the costs of employment on the other. Hence, the chances for re-employment of workers losing their jobs are significantly reduced, especially under present competitiveness pressures. If non-wage labour costs were lower and part-time and temporary work arrangements less cumbersome, greater demand could develop for low-skilled labour, including in service sectors.

The education system should be made more responsive to skill mismatches

Recent OECD and other international comparisons indicate that outcomes of the Czech primary education system are good, although no longer appearing superior as in earlier investigations measuring traditional skills. However, many labour-market relevant skills of secondary and post-secondary school graduates are unsatisfactory, especially from the point

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of view of the most demanding parts of the FDI sector, requiring the command of foreign languages and computer skills. Lack of shorter and suitable college-type courses rather than long academic programmes at universities appears to be particularly relevant. Due to inadequate capacity, post-secondary enrolment is low despite nominally free access and public funding of the current college and university system. Therefore, higher total investment and more diversity in the education system are needed, which could be financed by relying more on fee-based college and university programmes. Equity objectives could be preserved with the aid of a national scholarship and student loans scheme.

Barriers to the regional mobility of capital have diminished somewhat but labour mobility remains too low

Investment incentives are inversely proportional to local income levels and thus benefit all regions except Prague, which already enjoys a per capita GDP exceeding the EU average. Consequently, investment generated by incentives is highest in lower income regions. Nevertheless, two large pockets of permanently high unemployment remain in the northern regions of Bohemia (Usti) and Moravia (Ostrava), notably because poor road access discourages potential investors and skill mismatches reduce employability of the labour force. The continued imposition of rent control by the government at artificially low levels, ignoring a Constitutional Court's decision that regulated rents must be based on market prices, has paralysed the residential rental market. This is reducing labour mobility because tenants in high-unemployment areas cannot find affordable housing in more dynamic regions. The experience of OECD countries suggests that labour mobility will not improve unless the residential rental market is allowed to function properly. Therefore, the government ought to either abolish rent control or elaborate a regulatory mechanism that is consistent with market pricing along the lines acceptable to the Constitutional Court. Furthermore regional labour market programs should focus on providing labour market relevant skills.

Privatisation of network industries should continue and public utility reforms should be fully implemented

The Republic's openness to FDI is very positive and the willingness to fully privatise network industries is particularly welcome. However, the government needs to avoid entrenching private monopolies. In spite of the gradually improved functioning of the independent energy and telecom regulators, energy and telecommunication prices remain comparatively high. Therefore, network industries

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should be opened to full competition as soon as possible. Obstacles to internet diffusion, which remain significant, notably in terms of access prices, ought to be remedied through availability of reasonably priced untimed access and rules allowing for rapid entry and strong competition among internet service providers.

Transport infrastructure should be developed in a more effective and cost-efficient manner

Public infrastructure spending has been maintained at levels fluctuating between 3 and 3½ per cent of GDP but there are strong signs of allocative and technical inefficiencies. The government's emphasis on construction of new motorways and railway corridors has resulted in inadequate maintenance of the existing networks. Reports of the Auditor General emphasise systemic shortcomings, including routine violations of public procurement rules, poor project management and inadequate choice of priorities, which contributes to the persistence of regional mobility barriers. The authorities are introducing the first steps of programme evaluation and are encouraged to fully implement the corresponding recommendations of the 2001 *Economic Survey*. They should also consider the specific suggestions provided in recent reports on transport infrastructure by the Auditor General which would result in better infrastructure investment at lower cost.

Summary

Microeconomic reforms and a massive fiscal stimulus have allowed the Czech economy to achieve annual growth of around 3 per cent over the past couple of years together with price stability and falling unemployment. Sweeping privatisation initiatives and generous investment incentives have made the Czech Republic the leading recipient of FDI among European transition economies, pushing up real wages and the exchange rate with a consequent competitiveness problem for the backward parts of domestic industry. A rebalancing of the macroeconomic policy mix, with the restoration of more appropriate monetary conditions, will only be possible if fiscal consolidation reverses the excessive fiscal loosening. Public deficits should be reduced via sustainable expenditure cuts arising from lasting reforms. The government intends to implement the 2001 *Economic Survey* recommendations on public expenditure management in order to address this issue, but greater ambition is warranted to bring down mandatory spending over time.

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Pension reform should not be delayed further and requires fundamental rather than palliative changes. Parametric changes to make the PAYG system more fiscally sustainable – in particular through a switch to price indexation – would have to be accompanied by the development of a second pillar counteracting the decline of replacement rates in the PAYG system. Also health policies are not fiscally sustainable in the medium term and it is necessary to focus on medical necessities, increase the privately funded share of expenditures and allow the emergence of a private health market to absorb current over-capacities. Pushing ahead with microeconomic reforms is urgently needed to facilitate the resource reallocation, which is necessary to overcome the emerging divide between the booming FDI sector and domestic industry. The growth-enhancing exit of chronically loss-making firms requires strengthening of bankruptcy procedures, and reforms of the tax-benefit system are necessary to improve incentives to hire labour and take up work. Progress on all these scores should allow the Czech economy to increase its trend growth rate, preserve social cohesion and facilitate a smooth accession with a steady convergence towards the higher living standards in the EU.

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I. Recent economic developments

As with other countries in the region, the Czech Republic continues to face far-reaching structural transformations, which bear directly on macroeconomic performance. The economy has not yet reached a level at which a business cycle is firmly established. Potential output is not yet following a regular trend, but continues to reflect to a larger extent the impact of restructuring efforts in the wake of legal reforms and ownership changes.

What distinguishes the economic policy challenges in the Czech Republic from other transition countries? Firstly, the full opening to strategic investors and foreign direct investment incentives took place only toward the end of the last decade, generating highly synchronised capital inflows. These put strong upward pressures on the currency and create specific tensions in the labour market. Secondly, the exit of low-productivity and loss-making enterprises inherited from the planned economy has also been much delayed[1] and islands of economically non-viable employment and capital stocks remain entrenched. This emerging dualism in the economy increases pressures on the social benefit and welfare system while expected adjustments in the low productivity sector, accelerated by recent currency appreciation, create risks of additional shocks to output and employment.

Current economic developments result from a combination of these structural influences, the spillover from the international downturn, the impact of the summer 2002 floods and a massive fiscal impulse. The tension arising from this interaction of supply and demand factors is preventing the Czech economy from growing faster and better exploiting its prime location in an enlarged European Union.

Output

Gross domestic product grows at a slower pace

Output growth started slowing from the last quarter of 2001, following the international slowdown. Exports of goods and services represent 60 per cent of GDP – and 70 per cent of them are directed to EU markets (40 per cent to Germany

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alone) – so that foreign market weakening exerted important first and second round impacts. Initially, the contribution of net exports to GDP became strongly negative; then all export-induced domestic activities, in particular investment and demand for intermediate imports, decelerated. Following the ensuing slowdown of the private business investment, equipment imports were also sharply reduced, the trade deficit narrowed and the net contribution of external sector became positive through 2002. Floods in August, provoking a collapse in tourism revenues, turned the contribution of the external sector negative again (Table 1 and Figure 1).

Growth in both public and private consumption has tempered the slowdown. Government consumption kept growing strongly, partly as a result of election-driven spending (general elections were held in summer 2002). Increases in public sector wages, pensions and transfers ahead of the elections also kept household revenues growing. Private consumption continued to grow on the back of strong real income growth and the reluctance of private firms to fire workers in structurally tense labour markets. A contrast therefore arose between sharply decelerating exports, slower investment growth and associated de-stocking[2] on the one hand, and the strength of private and public consumption on the other. The extent to which this development can carry over beyond 2002 and allow the emergence of a larger role for domestic demand in supporting growth will be determined by the success in closing the productivity gap with the EU. Such a progress would stimulate investment and exports again, and help rebalance the demand structure.

The shift in the composition of demand was reflected in the evolution of the output structure. Output of the goods-producing sectors, which supply export markets and provide inputs to domestic exporters, decelerated earlier and more rapidly than in the service industries catering to local demand (Table 2). At the same time, local manufacturers of consumption goods, which were penalised by rising unit labour costs (under wage increases and currency appreciation – see below lost competitiveness and faced acute international competition and increased import penetration). Textiles, clothing, leather and shoe manufacturing industries recorded absolute falls in production.

These developments reversed the closing of the output gap that had been initiated in 2000 and 2001 as growth decelerated below trend in 2002. Figure 2 represents two estimates of the potential output and gap, the sources of potential output, and the productivity and employment components of GDP in international comparison. The wedge between actual and potential output widened in spite of a trend rate of growth which is considerably lower than in other transition countries.[3]

The main factor behind the low trend growth rate is the low productivity of employed resources, which is a consequence of delayed and incomplete reforms

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Table 1. **Quarterly gross domestic product**

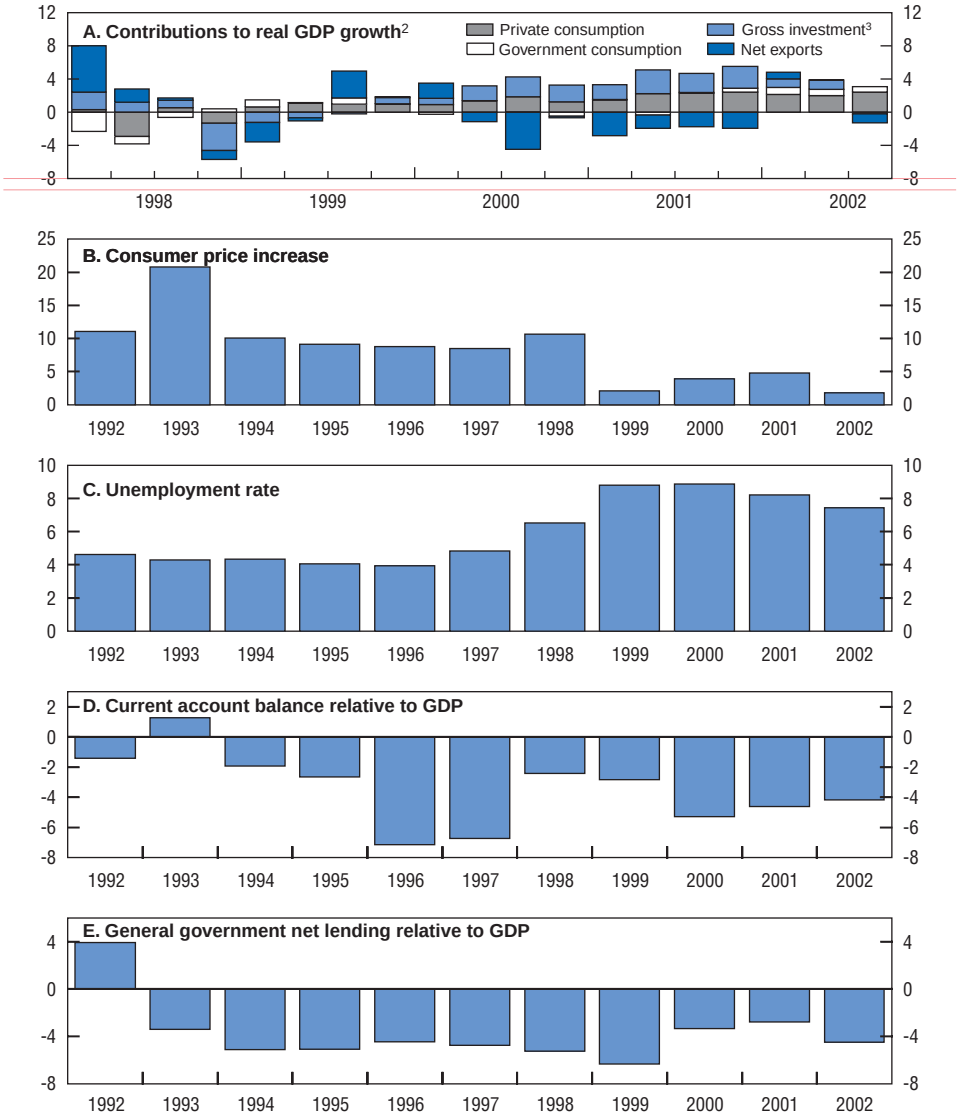
	2000					2001					2002		
	Year	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Q1	Q2	Q3[1]
	Year-over-year percentage change at 1995 prices												
GDP[2]	3.3	3.3	3.1	2.8	3.9	3.3	3.6	3.5	3.3	2.7	2.8	1.9	1.5
Household consumption expenditure	2.5	2.3	2.3	3.2	2.0	3.9	3.1	4.0	4.0	4.4	4.1	5.1	5.3
Government consumption (incl. NPISH)	–1.0	–2.2	0.6	0.2	–2.3	0.3	–0.4	–1.8	0.6	2.5	4.9	9.4	3.7
Gross fixed capital formation[3]	5.3	3.4	5.9	7.3	4.7	7.2	6.0	8.9	6.8	7.2	3.4	–0.7	0.9
Change in inventories[4]	1.3	–0.6	0.6	2.7	2.6	0.7	2.9	0.2	0.4	–0.5	–2.1	–1.4	. .
Exports	17.0	20.7	13.2	13.3	21.3	12.3	21.1	13.3	9.4	6.7	5.5	3.8	–2.7
Goods	20.0	26.2	15.9	15.9	22.6	14.6	24.1	15.1	11.4	9.0	5.3	7.0	1.1
Services	5.7	–0.6	2.0	4.7	16.1	2.2	6.4	5.3	2.2	–3.5	6.2	–12.3	–17.9
Imports	17.0	15.9	13.2	18.3	20.0	13.6	23.0	14.1	10.6	8.5	4.2	4.0	3.6
Goods	20.2	19.8	17.0	22.2	21.8	15.3	25.7	15.4	12.1	9.9	3.4	4.8	3.9
Services	1.2	–2.7	–4.9	1.7	10.2	3.8	7.2	6.5	2.9	–0.3	9.9	–1.5	1.6
Net exports[3]	–1.0	2.1	–0.6	–4.1	–1.1	–2.0	–2.6	–1.3	–1.7	–2.6	0.8	–0.4	–5.6

1. Data were substantially revised in January 2003 due to the correction of export data for the period July to November 2002.
2. ESA95.
3. Includes large purchases of military aircraft in 2001; similar purchases were recorded as government consumption in 2002.
4. Contribution to GDP growth calculated as the change in the variable as a percentage of the previous period's GDP.

Source: OECD *Quarterly National Accounts*.

Figure 1. **Macroeconomic performance**[1]

Per cent



1. Data for 2002 are estimates in Panels C to E.
2. Contribution to GDP growth calculated as the change in the variable as a percentage of the previous year's GDP.
3. Includes government investment.

Source: OECD – *Economic Outlook, Main Economic Indicators.*

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Table 2. **Quarterly gross domestic product by sector**

	Average share in gross value added 2000-2001	2000					2001					2002	
		Year	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Q1	Q2
	Per cent	Year-over-year percentage change at 1995 prices											
Gross value added[1]		3.4	3.3	3.1	2.8	4.5	3.7	3.9	4.0	3.7	2.9	2.9	2.3
Agriculture, fishing and forestry	6	–1.4	3.0	1.6	–6.1	0.5	–5.4	–4.5	–3.0	–6.7	–6.2	–3.5	3.5
Industry	37	9.3	6.7	10.8	9.7	10.2	1.8	4.9	1.6	2.7	–2.1	2.0	–2.0
Manufacturing	30	8.0	6.6	8.4	3.6	13.7	2.6	5.4	0.9	4.2	0.1	4.0	–0.6
Construction	5	–6.3	–6.1	–16.0	–3.2	0.3	–1.2	2.3	2.0	–2.5	–5.0	–5.6	–2.0
Services	59	0.8	1.7	0.0	0.5	1.3	6.4	3.3	6.4	7.5	8.3	5.5	5.4
Trade, repairs,	15	–0.8	0.7	–4.1	–2.3	2.8	7.8	4.0	9.9	6.8	10.1	11.6	10.9
Hotels, restaurants	2	15.6	–11.6	21.3	31.7	15.1	–1.8	9.6	4.2	–5.3	–13.5	–1.9	–12.2
Transport and community services	10	8.2	10.3	6.7	11.2	4.8	11.5	5.2	10.7	13.6	16.8	10.8	15.2
Financial services	7	–9.3	2.7	–12.7	–11.5	–16.5	15.9	–1.8	14.3	26.2	29.8	0.9	–2.5
Real estate, business services	13	7.6	5.6	8.8	3.8	11.8	5.4	6.6	5.4	6.6	3.5	4.6	–0.1
Other services	12	–5.4	–5.9	–5.1	–5.7	–4.9	–1.6	–0.3	–3.4	–1.8	–0.7	–2.1	3.9

1. ESA95. Gross value added is the sum of the component in the table minus financial intermediation services indirectly measured.

Source: Czech Statistical Office.

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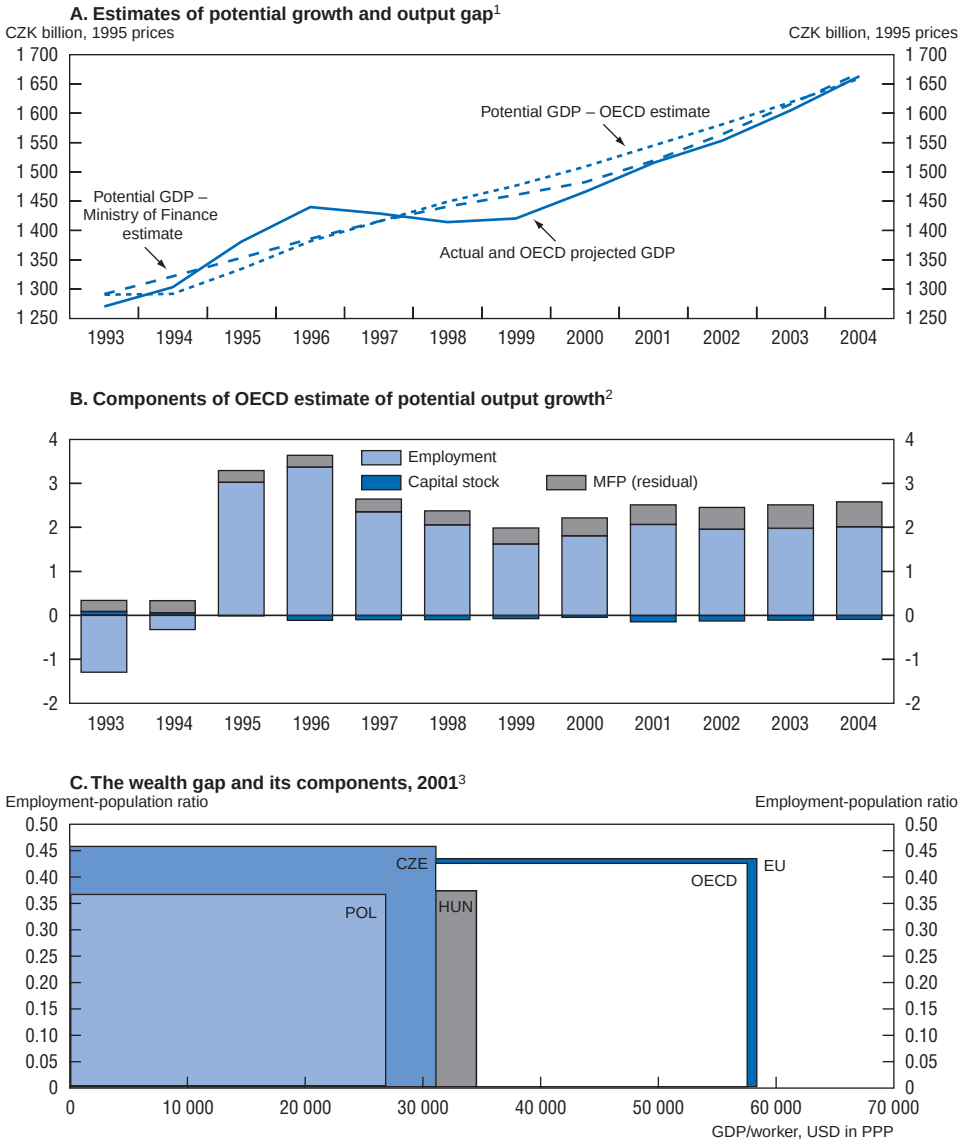
Figure 2. **Potential growth**



1. Output gap is deviation of actual from potential GDP.
2. Capital stock depreciation rate is assumed to be 11% for 1991 to 1993, 7% for 1994-95 and then 8%.
3. Area of rectangle is GDP/capita, USD in PPP.

Source: OECD; Ministry of Finance.

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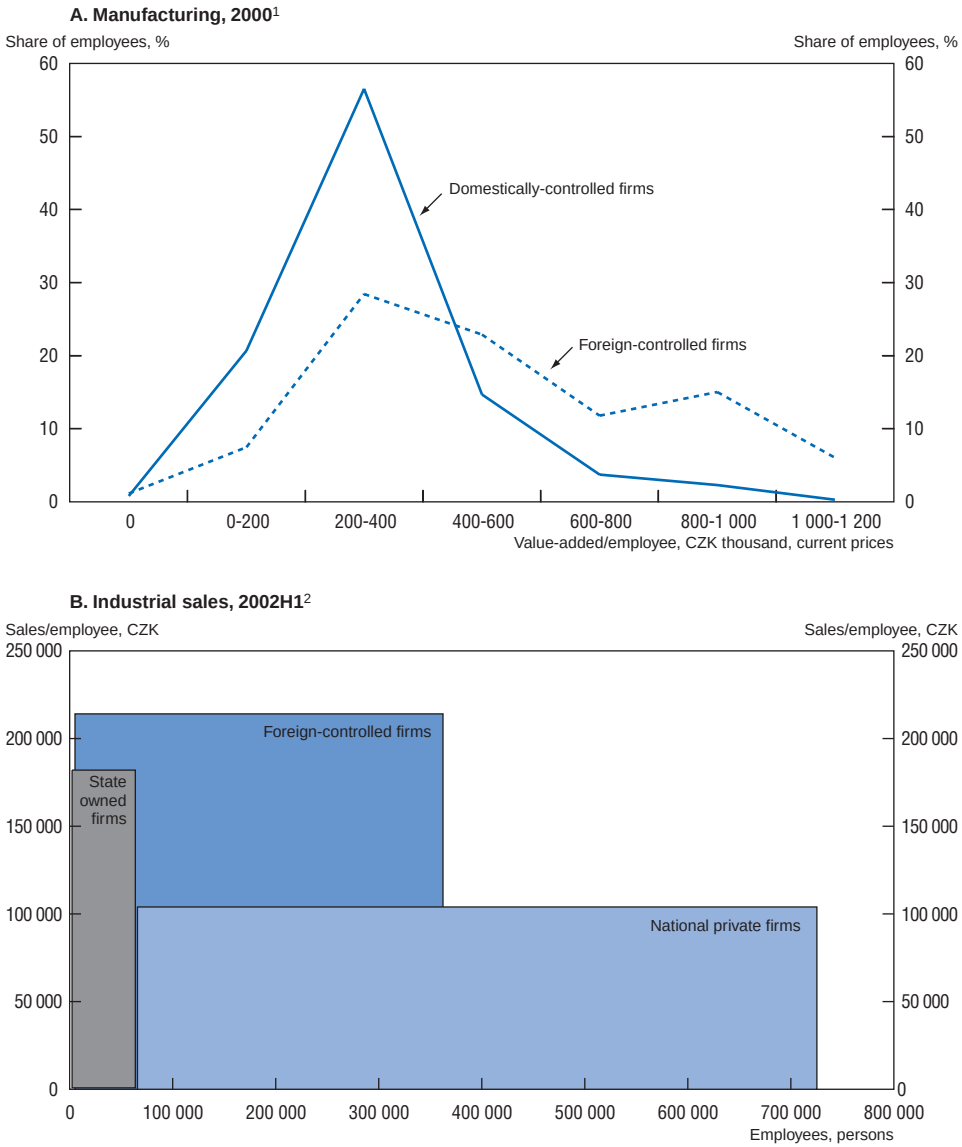
Figure 3. **Labour productivity and sales by type of enterprise**



1. Confidentiality prevents publication of higher productivity categories. The residual for foreign-controlled enterprises is about 3% (compared to 0.5% to 1.4% for the other categories).
2. For firms with 20 or more employees.

Source: Czech Statistical Office.

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in the first years after transition.[4] Following the full liberalisation and encouragement of foreign capital inflows since 1998, the restructuring of the supply side of the economy gained pace with the aid of FDI firms in manufacturing, trade and banking sectors. The ongoing liberalisation and privatisation of network industries also results in stronger performance by energy and telecommunication firms (see Annex IV). An emerging dualism between labour productivity performance in the foreign-controlled and domestically-controlled segments of the manufacturing sector is discernible (Figure 3). This indicates that the short-term strength and resilience of the economy and its growth potential depend to a considerable extent on foreign business investment, while the restructuring of domestic firms with low-productivity does not make enough progress.[5] The ongoing slump in investment – in particular by foreign firms – will slow down restructuring and prevent a more resolute recovery in 2003.

Efforts to strengthen the supply potential should aim at preserving the remarkably high labour force participation and employment rates, which are well above other countries in the region. While high employment is partly an outcome of

Box 1. The economic impact of the floods

Exceptionally severe floods in August 2002 contributed to the weakening of economic performance, reducing the nation's capital stock by an amount that is probably equivalent to 4-6 per cent of GDP. The floods temporarily paralysed part of the productive infrastructure (a supply shock) and discouraged foreign tourists (a demand shock), resulting in negative macroeconomic impacts before the positive impulse associated with reconstruction kicks in. Such output losses, without offsetting employment and wage cost adjustments, eroded the profitability of the business sector. Furthermore, profits were squeezed by uninsured losses which were significant in some regions, especially in the domestically-owned business sector. In addition to financing public infrastructure repairs, the government agreed to subsidise private housing reconstruction. The reconstruction of the housing stock and transportation infrastructure hit by floods is likely to boost public investment spending in 2003, providing a stimulus to final demand.

Insurance firms estimate that flood-related payouts will sum up to some CZK 32 billion (about $1 billion or 1½ per cent of GDP). This payout will have reduced profits of the financial sector only in part because foreign re-insurers compensated a sizeable portion of claims. However, insurance companies hiked up premiums immediately and started to refuse coverage to households and firms that are located in endangered areas. The government's decision to provide relatively generous assistance to households has created a moral hazard problem. Authorities should therefore enforce stricter building and zoning rules in order to minimise future budgetary losses from flood events.

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the survival of low performance firms, it has the potential of becoming an additional source of growth if resources can be switched into higher productivity activities.

Employment and wages

The registered unemployment rate is high but effective labour reserves are smaller

In the standardised labour force surveys, unemployment rate declined below the 8 per cent mark for the first time since 1998, converging towards the OECD average (Figure 4). Simultaneously, the rate of registered unemployment shot up toward 9½ per cent, creating a growing wedge between the two measures, reflecting the impact of weak work incentives: following the tightening of the rules governing early retirement, a growing number of elderly unemployed take advantage of the generous welfare system that requires them to remain in the unemployment register, without actually seeking jobs.[6] On the demand side, vacancies for low-skilled labour were also dampened by cumbersome employment protection procedures and high payroll taxes. The geographical mobility of the labour force is low and local labour market areas remain narrow, as a result of rigidities in transport infrastructure and housing markets. Part-time and temporary contracts also remain rare, due to unclear regulations.[7]

In this environment of low labour mobility, there are signs of acute labour shortages in specific geographical and sectoral labour markets. Unemployment rates remain low in the rapidly growing regions of Prague, the wider Prague area (central Bohemia), and south-western and north-eastern Bohemia.[8] The Economic Chamber interviewed a number of large companies in May 2002 and reported that 57 per cent face hiring difficulties in the areas of business management, marketing, finance and engineering.[9] Higher turnover of company-trained personnel is also reported, revealing heightened competition between companies for skilled workers. Growing mismatches between demand and supply of labour could indicate that the share of structural unemployment in total unemployment might be higher than commonly thought. If so, effective labour reserves may indeed be much lower than the apparent level indicated by survey or registered unemployment.[10] This would represent a heavy constraint on output growth in the longer term.[11]

Wage growth exceeds productivity in spite of the slowdown…

Dependent employment in the business sector has decreased during the slowdown, but job losses have been offset by rising self-employment and government employment, so that aggregate employment has slightly increased (Figure 4). Within the business sector, the number of unfilled vacancies dropped over the year. Wage pressures have nevertheless remained important and have resulted in average wage growth exceeding labour productivity by a large margin (Table 3). Wage hikes in the public sector also played a role, especially before the elections when they exceeded

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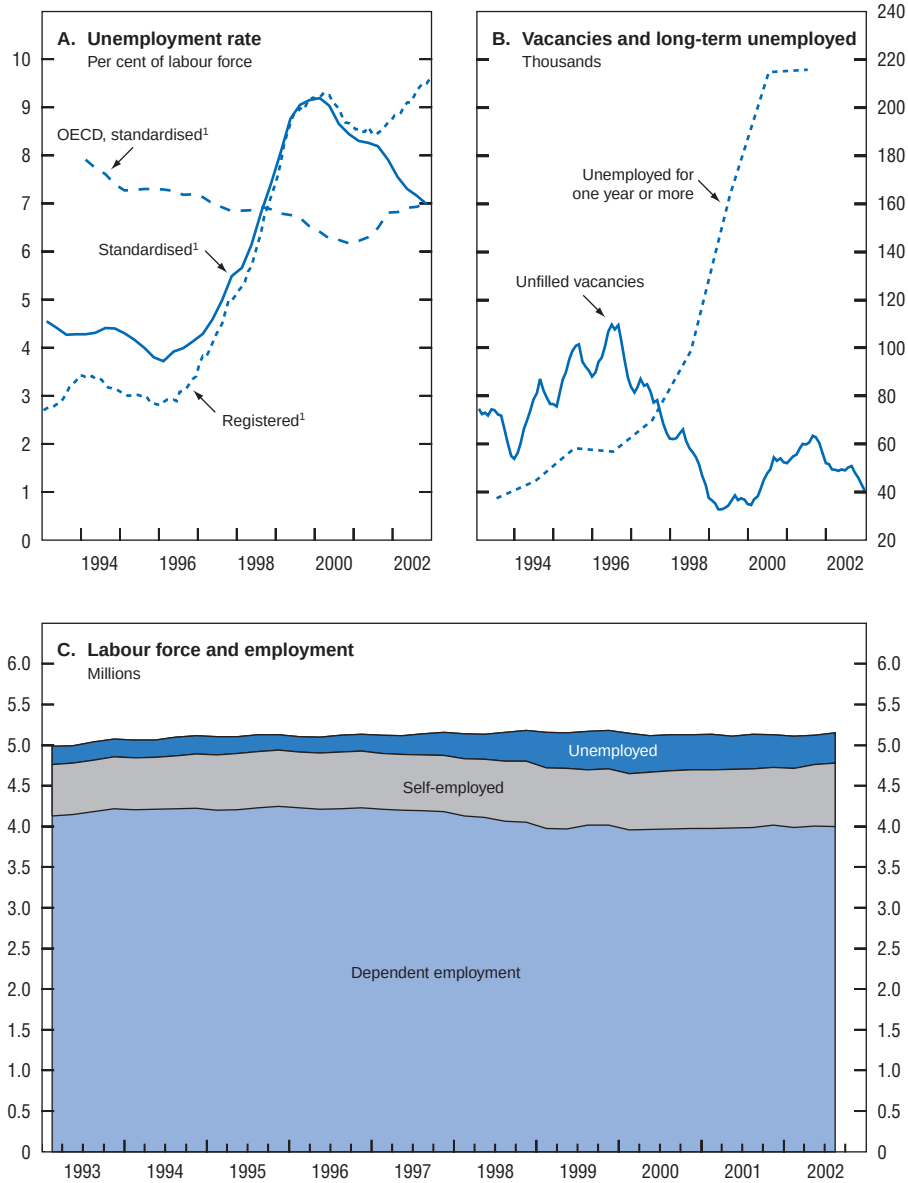
Figure 4. **Employment, unemployment and the labour force**



1. Seasonally adjusted by the OECD.
Source: OECD: Main *Economic Indicators, Quarterly Labour Force Statistics*; Ministry of Labour and Social Affairs.

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Table 3. **Wage developments**

	1994	1995	1996	1997	1998	1999	2000	2001	2002 Q1	2002 Q2	Estimated 2002
	Year-over-year percentage change										
Overall nominal wage	18.5	18.5	18.4	10.5	9.4	8.2	6.6	8.5	7.0	7.4	7.4
Business sector	18.2	19.2	17.7	11.7	11.0	7.1	7.8	8.2	7.2	6.4	6.7
Non-business sector	19.8	17.0	20.7	5.8	3.9	13.1	2.8	10.0	6.5	11.7	11.3
Overall real wage	7.7	8.7	8.8	1.9	–1.2	6.0	2.6	3.6	3.1	5.0	6.7
Business sector	7.4	9.2	8.2	2.9	0.3	4.9	3.8	3.3	3.3	4.0	6.0
Non-business sector	8.9	7.3	10.9	–2.5	–6.1	10.8	–1.1	5.1	2.7	9.2	10.5
Productivity in the business sector	1.5	5.4	4.4	–0.5	0.4	3.0	4.4	2.8			
Unit labour costs in the business sector	15.4	11.3	12.4	8.4	4.6	1.9	2.8	5.2			

1. Data refer to all registered employees and exclude payroll taxes.
Source: Czech Statistical Office.

11 per cent, because of their demonstration effects on wage setting in the business sector. When combined with strong currency appreciation through 2002, these wage developments generated a significant increase in relative unit labour costs.

A minimum wage increase in January 2003, not accompanied by any reductions in labour taxes, has worsened the employment prospects of the unskilled workers whose unemployment rate is already above 20 per cent. The government raised the minimum gross wage by 9 per cent, from CZK 5 700 to CZK 6 200,[12] following controversial assessments of impacts of this measure.[13] Although only 2 per cent of all workers earned the minimum wage in 2002, some sectors, such as glass and shoe manufacturing, will be affected more than others. This follows the government-imposed "administrative extension" of the collective agreements reached with unionised enterprises in the construction industry, machine building, textiles, leather and shoe manufacturing to all enterprises of these sectors in 2002. The key adverse impact of these labour cost increasing measures will be on labour-demand incentives at the low end of the labour market. This calls for offsetting measures to reduce the hiring costs of employers, such as social security contribution reductions or granting in-work benefits rather than mandatory wage increases. In the longer term it will be necessary to make sure that there is a corresponding increase in the productivity of these workers (see Chapter IV).

Within the business sector, FDI firms responded promptly to deteriorating conditions, increasing wages less and adjusting employment faster than their domestic counterparts. The responsiveness of foreign firms to business circumstances is striking and contrasts with inertial wage growth and lesser employment flexibility in the domestic sector. Consequently, the part of the export sector controlled by multinational corporations (MNCs) preserved its competitiveness better than the domestic sector. Moreover, given the high import content of production in MNCs, the overall effect of massive appreciation was less unfavourable than for less import-intensive domestic producers.

The poorer adaptability of domestic corporations was reflected in the rapidly rising number of distressed non-financial firms and vulnerable jobs[14] (Table 4). Both statistical data and *ad hoc* surveys confirm the feared accentuation of a growing divide.

Table 4. **Vulnerable jobs**

	1999	2000	2001	2002[1]
Industry	323.2	214.5	208.1	231.9
Construction	17.5	12.0	9.7	30.7
As per cent of dependent employment	8.6	5.9	5.6	6.8

1. First quarter.
Source: Ministry of Industry and Trade, Czech Statistical Office.

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A credit rating survey in October 2002 found that both the proportions of highly robust and highly vulnerable firms in the survey sample have increased in parallel.[15]

Inflation

Inflation declined below the Central Bank's target…

Headline inflation (CPI) has been dominated by favourable one-off factors that monetary policy did not influence directly (Figure 5). Therefore, inflation declined well below the Central Bank's target, as in 1999. CPI growth has remained below the OECD and eurozone averages since the second quarter of 2002 (Panel A). Prices of food and energy, reflecting both declining prices of imports and the gradual liberalisation of network industries, declined significantly, pulling down overall inflation. The underlying inflation measure excluding food and energy prices exceeded the overall CPI growth by 1-2 percentage points throughout 2002 (Panel B). The 10 per cent effective appreciation of the currency contributed significantly to the benign impact of tradables on overall inflation (Panel C). Trade prices of manufactured goods plummeted until the middle of the year when their rate of decline slowed and the faster deflation of import prices implies improving terms of trade for the Czech Republic (Panel D). Inflation remained stronger in the non-tradables, at 4-5 per cent, reflecting the remaining endogenous cost pressures not disciplined by international competition.

… but remaining tensions may translate into higher inflation in the future

The undershooting of the inflation target created real wage surprises in 2002. The credibility of the *ex ante* tripartite wage bargaining process as a wage anchor for employers and employees alike is now tested. Unless central wage guidelines start including an explicit real wage adjustment clause, nominal wage flexibility may prove insufficient in this disinflationary environment and it may be difficult to prevent real wage growth from overshooting labour productivity gains again. Alternatively firms will have to offset the real wage surprises by not paying the customary (but not statutory) 13th and 14th monthly salaries in the final quarter of the year. In the longer term, a switch to fully decentralised bargaining at enterprise level[16] could enhance the wage flexibility and contribute to the swifter absorption of labour market imbalances.

External balance

Strong currency appreciation has compounded the competitiveness losses…

The adverse impact of excessive wage growth on relative unit labour costs has been reinforced by strong currency appreciation in 2002, lifting the Czech average wage to one-quarter of the corresponding German level (Figure 6). While

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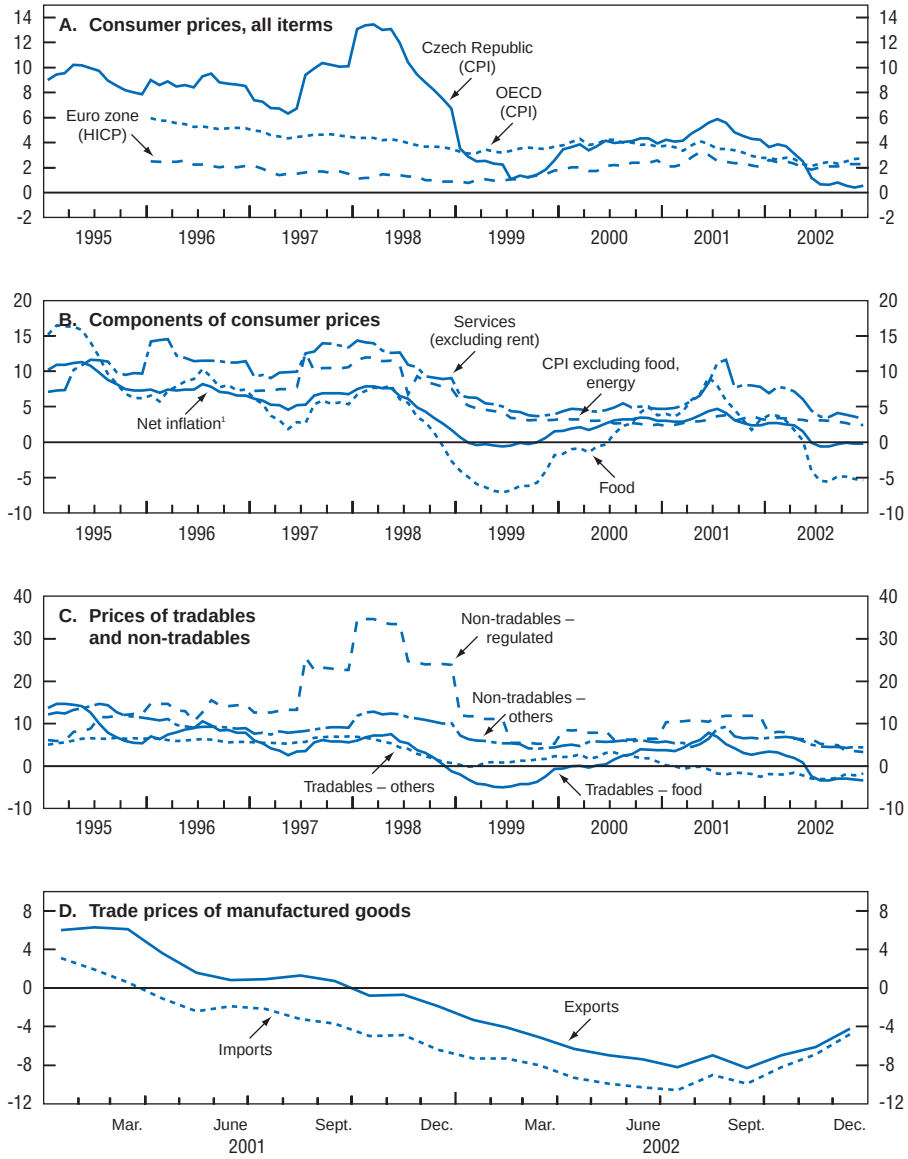
Figure 5. **Price developments**

Year-on-year percentage change



1. Net inflation refers to consumer prices adjusted for the direct impact of changes in indirect taxes and administered prices.

Source: Czech National Bank; Czech Statistical Office; OECD *Main Economic Indicators*.

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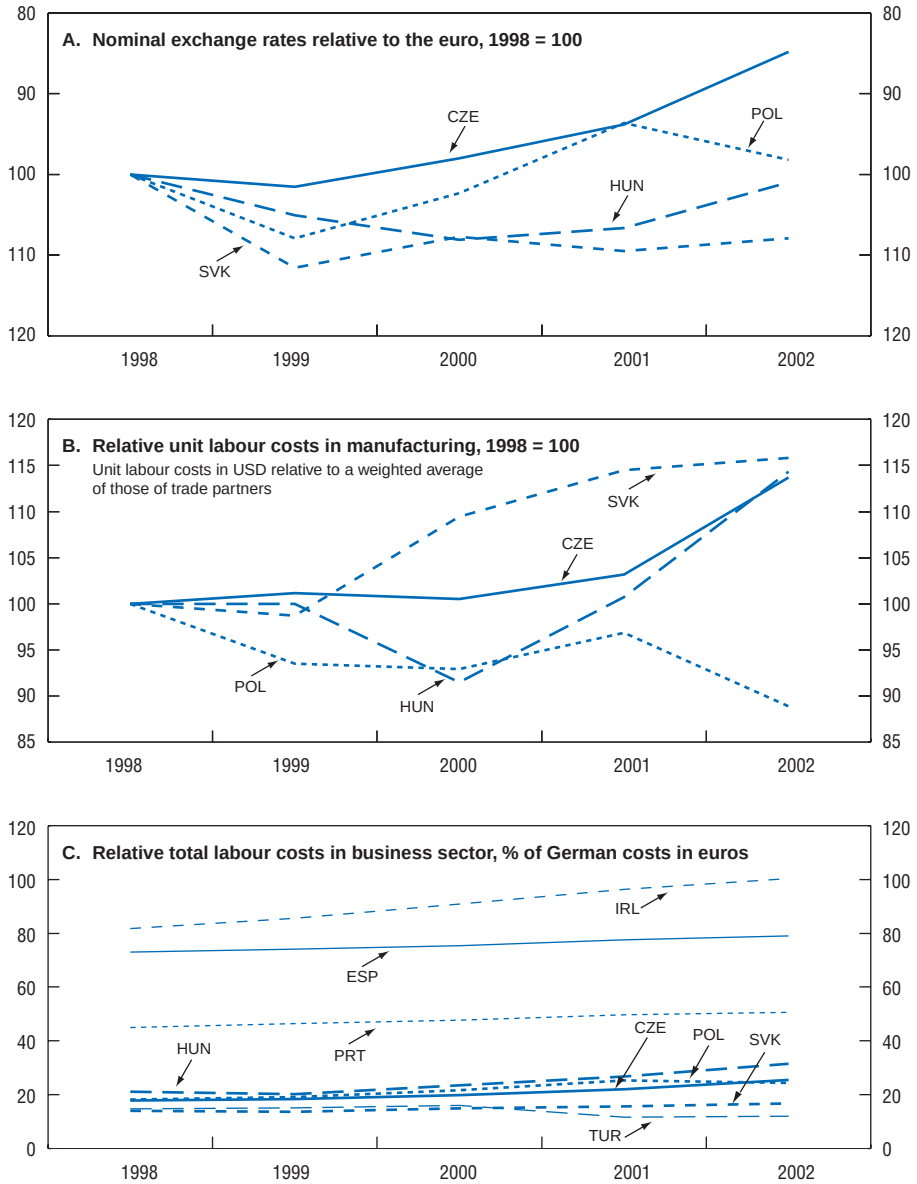
Figure 6. **Competitiveness**[1]



1. Estimates for 2002.
Source: Eurostat, OECD.

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this is still well below the wage level in the less advanced EU countries such as Portugal, the continuation of massive wage increases in euro terms threatens to induce outflows of labour-cost sensitive production activity from the Czech Republic to countries with significantly lower wages. The recent departure of a major multinational company (Flextronics) entailing a loss of over 2 000 Czech jobs and its apparent relocation to a Ukrainian free-trade zone provides an early-warning signal. As long as the country maintains a large pool of low-skilled workers, loosing such workplaces has economic and social costs. To improve competitiveness and encourage job creation, the authorities may want to consider a labour cost-reducing shift in taxation and cut significantly the very high social-security charges. The Secretariat has estimated that, to the extent that labour demand responds to these cuts, such reforms may be self financing (see Box 2 below).

The principal external sector developments are shown in Figure 7. The well-established correlation between export market growth, exports, industrial production and imports has recently weakened, apparently as a result of the domestic demand stimulus and competitiveness losses. Competitiveness deterioration shows more in the import penetration of the domestic consumption good markets, rather than in the international market share losses – even if a deceleration of trade gains is visible and a lagged decline of orders to local producers within FDI subcontracting networks is reported.

Balance of payments data show that the composition of current account deficit keeps changing (Table 5). The trade deficit has fallen, reflecting the rising surplus in transactions with the EU area, declining equipment imports and the lower value of the energy bill induced by strong currency appreciation. At the same time, the deficit in the income balance has increased as reinvested earnings of FDI firms and dividends paid to foreign investors kept growing. Overall, the current account deficit declined below 5 per cent of GDP in 2002. This deficit was more than offset by a surplus on the financial account, exceeding 10 per cent of GDP, resulting from massive privatisation inflows. Consequently, official reserves increased considerably. The prominence of reinvested earnings as well as the potential for profit repatriation is likely to increase in the future. The funding of the current account deficit will then rely less on one-off operations and more on permanent arbitrages by large numbers of international investors. The role of official capital transfers should also increase, with EU co-funding a larger share of infrastructure investment.[17]

… while non-privatisation **FDI** *inflows decline*

Massive FDI flows continued in 2002, mainly from the privatisation of large utilities while investment associated with greenfield projects appears to have

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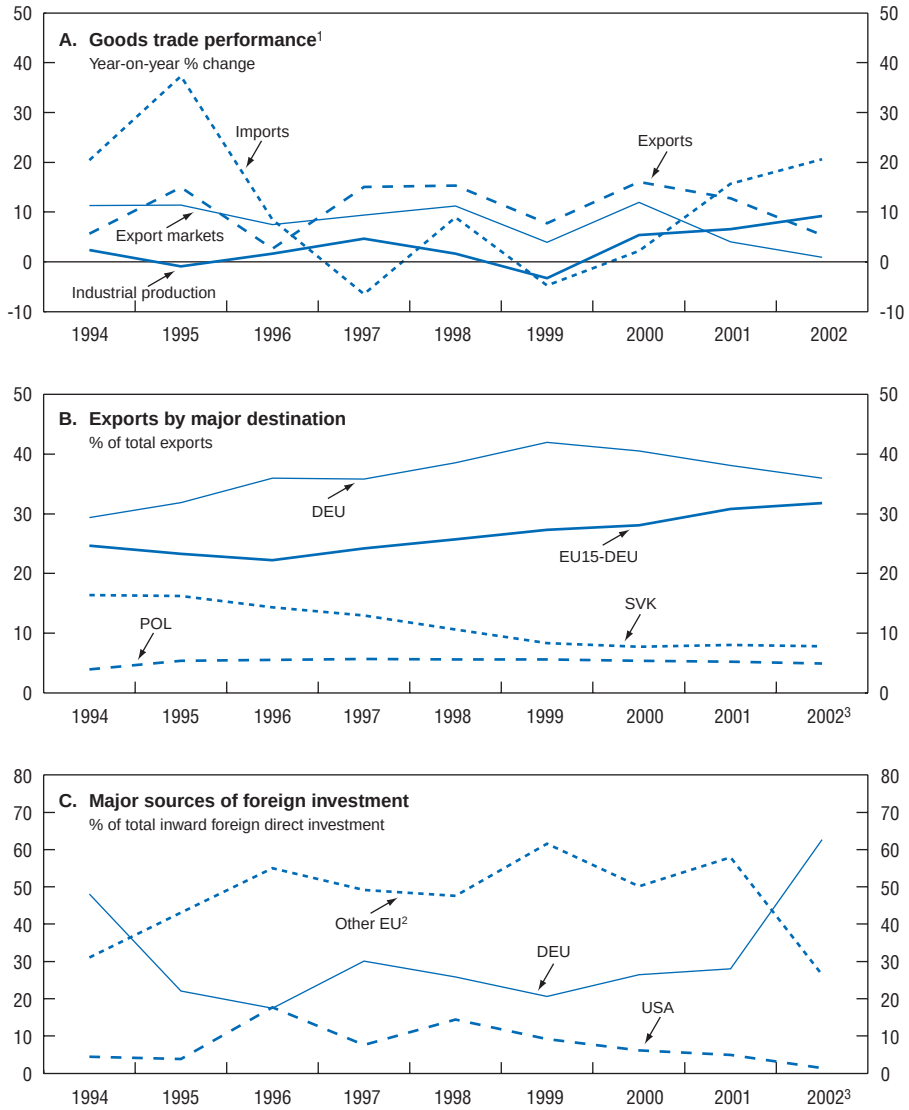
Figure 7. **International trade and capital inflows**



1. Export markets are a weighted average of import volumes in the exporting markets of the Czech Republic. Trade calculations use data in USD and 1995 prices. Industrial production excludes construction. Estimate for 2002.
2. AUT, BEL, DNK, FRA, ITA, NLD, SWE, GBR.
3. Panel B, Jan. to Oct.; Panel C, Q1 to Q3.

Source: OECD; Czech National Bank.

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Table 5. **Balance of payments**[1]

	1997	1998	1999	2000	2001	2001 Q1 to Q3	2002 Q1 to Q3
	Euro billion						
A. Current account	–3 187	–1 134	–1 379	–2 960	–2 930	–2 229	–2 233
Trade balance[2]	–4 353	–2 335	–1 797	–3 409	–3 434	–2 317	–1 319
Exports	19 757	23 063	24 651	31 509	37 271	27 352	30 132
Imports	24 110	25 398	26 448	34 918	40 705	29 669	31 451
Services balance	1 545	1 713	1 130	1 536	1 706	1 246	780
Transport (net)	606	612	718	736	791	582	646
Travel (net)	1 119	1 766	1 558	1 847	1919	1 460	1 109
Other services (net)	–180	–666	–1 146	–1 048	–1 004	–797	–976
Income balance	–701	–973	–1 265	–1 490	–1 726	–1 486	–2 007
Current transfers (net)	322	461	552	403	524	329	314
B. Capital account	10	2	–2	–6	–10	–2	–3
Credits	14	13	17	6	3	1	6
Debits	5	11	19	12	13	4	9
Total, Groups A to B	–3 178	–1 132	–1 381	–2 966	–2 940	–2 231	–2 771
C. Financial account	1 003	2 594	2 915	4 178	4 525	2 515	10 116
Direct investment	1 118	3 193	5 879	5 356	5 397	3 453	7 583
Abroad[3]	–24	–113	–84	–47	–107	–102	–144
In the Czech Republic	1 142	3 305	5 963	5 403	5 505	3 555	7 727
Portfolio investment	910	954	–1 336	–1 922	1 028	551	548
Equity securities (net)	355	1 069	–1 229	–560	970	415	–527
Debt securities (net)	555	–115	–107	–1 363	58	136	1 075
Financial derivatives	0	0	0	–39	–97	–28	–117
Assets	0	0	0	–126	–280	–91	–534
Liabilities	0	0	0	87	184	62	417
Other investment	–1 025	–1 553	–1 629	783	–1 803	–1 460	2 101
Long-term (net)	411	–1 766	–693	–162	105	–86	634
Short-term (net)	–1 436	213	–936	946	–1 908	–1 374	1 467
Total, Groups A to C	–2 175	1 462	1 534	1 212	1 585	284	7 344
D. Net errors and omissions	638	248	32	–328	413	410	–394
Total, Groups A to D	–1 537	1 710	1 566	885	1998	695	7 486
E. Change in reserves (–increase)	1 537	–1 710	–1 566	–885	–1 998	–695	–7 486

1. Based on the 5th edition of the *Balance of Payments Manual* (IMF 1993).
2. Based on data published by the Czech Statistical Office: 1996-1998 according to methodology for customs statistics in effect from 1.1.1996; 1999-2000 according to revised methodology for customs statistics in effect from 1.7.2000.
3. Adjusted outflow of direct investment capital (based on the results of a survey of the corporate sector).

Source: Czech National Bank, ARAD database (*http://wdb.cnb.cz/cnbeng/docs/*ARADY/HTML/*index_en.htm*).

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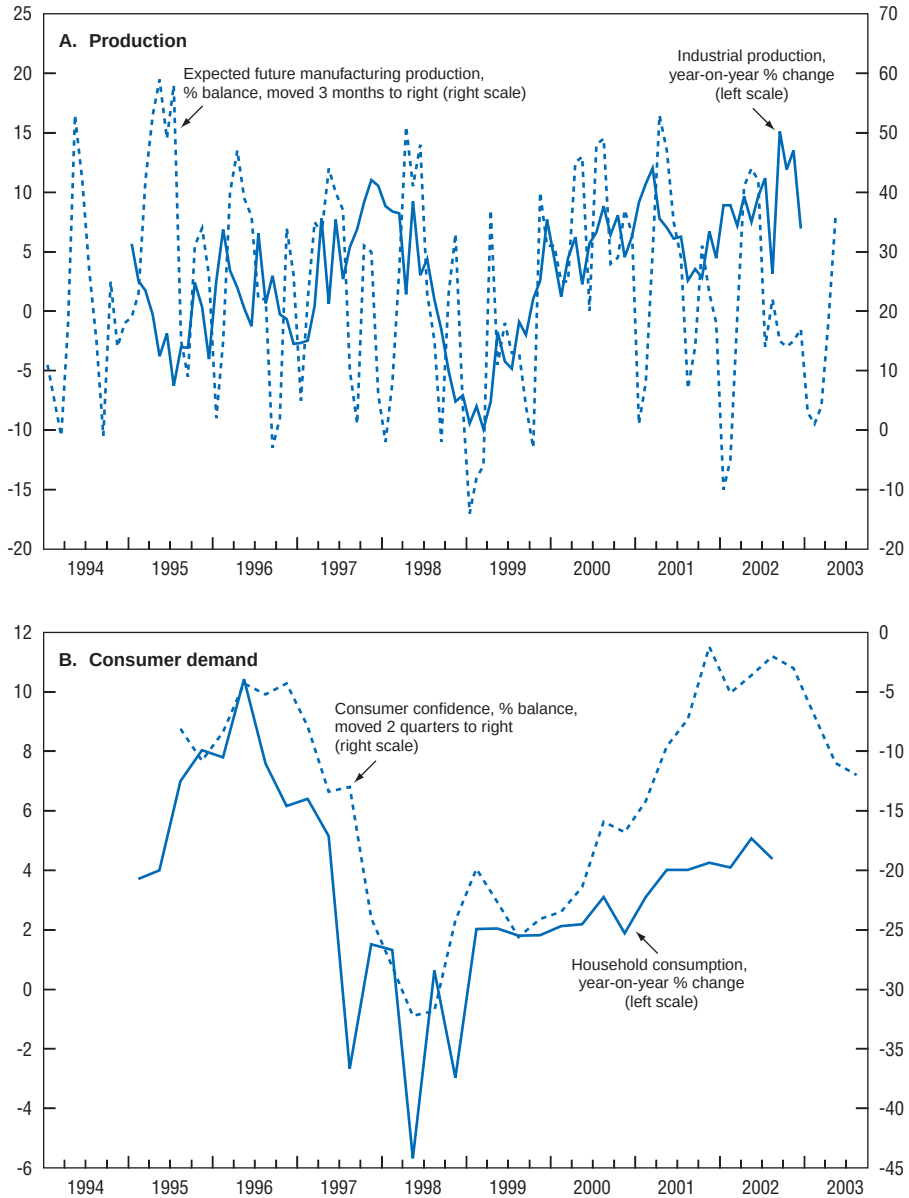
Figure 8. **Private sector sentiment**



Source: OECD, *Main Economic Indicators, Quarterly National Accounts*.

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declined somewhat. However, this slowdown may be short-lived as large investment projects in the automotive and electronics sectors are scheduled to come on stream in 2003 and 2004. If these projects are implemented in full size, the slowdown will have been temporary, coinciding with the subdued expectations in the second half of 2002 and the disruption caused by the floods. Expectations of manufacturers are consistent with an improvement in both production levels and exports in the final quarter of 2002, while consumer expectations remain stable (Figure 8).

The outlook

In cyclical terms, strengthening recovery in western Europe and the expected resurgence of FDI should result in an export-driven rebound, with GDP growth picking up to over 3 per cent in 2003 and 2004. This would be consistent with a reduction of the output gap by almost 1 percentage point in 2003 and its disappearance in 2004 (Table 6). Risks concern competitiveness of the supply side, already hit by the strength of the koruna, but which could be further affected. Export risks could be exacerbated by a delayed recovery in western Europe.

Structurally and in a longer-term perspective, the Czech economy could follow either of three stylised paths. In a baseline scenario where the present microeconomic foundations of growth, notably the determinants of productivity growth and labour costs, are preserved, a moderate sustained growth could be obtained, prolonging the existing trends and permitting a slow catch-up to EU income levels. In this scenario employment growth would be moderate within a stagnating labour force, as new job creation would be largely offset by job losses in the downsizing and exit of lower productivity enterprises. The registered unemployment rate would remain at relatively high levels and continue to call for large social transfers. In a second scenario, worse outcomes could arise if exits of low performance activities are accelerated, no other activities replace the lost ones and the economy sees its employment rate fall toward regional averages. In this scenario productivity for the economy overall would rise more rapidly, because of the more selective survival of better performing firms. Finally, a radically different path is also possible, if microeconomic reforms significantly enhance entrepreneurship, investment and incentives to hire labour and take up work. Such a path was followed by several OECD countries during periods of high employment growth. Even though this scenario implies smaller productivity increases,[18] output growth would be stronger and the national wealth might well increase more rapidly. These three prospective scenarios faced by the Czech economy are further discussed in Box 2.

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Table 6. **Short-term projections**

	1999 current prices CZK billion	2000	2001	2002	2003	2004
	Annual percentage change Volume, 1995 prices, except where otherwise indicated					
Private consumption expenditure[1]	1 019	2.5	3.9	4.5	3.3	3.7
Government consumption	373	–1.0	3.0	2.8	2.5	1.0
Gross fixed investment	528	5.3	5.8	2.1	3.8	4.1
Final domestic demand	1921	2.8	4.4	3.4	3.3	3.4
Stockbuilding, contribution to GDP[2]	6	1.3	0.7	–0.4	0.0	0.0
Total domestic demand	1927	4.0	4.9	3.0	3.3	3.4
Exports of goods and services	1 153	17.1	12.3	3.7	7.0	10.0
Imports of goods and services	1 177	17.0	13.6	4.1	6.6	9.2
Net exports, contribution to GDP[2]	–24	–1.0	–2.0	–0.8	–0.3	–0.1
GDP at 1995 prices		3.3	3.3	2.5	3.3	3.5
GDP implicit deflator		1.1	5.3	2.6	2.8	3.3
GDP	1 902	4.3	8.7	5.1	6.2	7.0
Memorandum items:						
Private consumption deflator		2.9	3.7	1.2	1.8	2.5
Consumer price index		3.9	4.8	1.8	2.3	3.0
Unemployment rate (per cent of labour force)		8.9	8.2	7.4	7.4	7.4
General government financial balance, per cent of GDP[3]		–3.4	–2.8	–4.5	–5.8	–5.7
Current account balance, per cent of GDP		–5.3	–4.6	–4.2	–4.3	–4.2

1. Includes NPISH.
2. Purchases of military aircraft in 2001 were transferred from fixed investment to government consumption to improve intertemporal comparability.
3. Change as a per cent of real GDP in previous year, actual amount in the first column.
4. OECD estimate which adjusts official data so as to improve international and intertemporal comparability.

Source: OECD.

Box 2. Three catch-up scenarios

According to OECD (2002d), Czech productivity measured by per worker GDP in purchasing power parities reached 45 per cent of the US level in the early 2000s. The OECD medium-term reference scenario indicates that the catch up will continue slowly, with output growth averaging 2.9 per cent until 2008. This is consistent with labour productivity growth of 2.7 per cent per annum, a trend decline in participation rate from 71.5 per cent in 2002 to 70.6 per cent, and the unemployment rate falling gradually to the non-accelerating inflation level of 6.8 per cent.

In the second (accelerated exits) scenario, the Czech participation rate remains consistent with the baseline while there is a net loss of three quarters of the vulnerable jobs (see Table 4) that are not replaced.* The unemployment rate hits 10 per cent by 2008 but productivity growth is stronger.

In the third (high employment growth) scenario, labour-market reforms described in Chapter IV are implemented and result in employment increases averaging 20 000 workers per annum until the end of the projection period when unemployment falls to 5 per cent, while the rate of productivity growth is slower. In this third scenario more low-skilled and older, *i.e.* less productive, workers enter employment. However, as the level of GDP depends on both productivity and employment, this scenario is superior in terms of per capita GDP (Table 7). Although the increase in employment in the high employment growth scenario may appear to be too optimistic, it is not greater than the increase implied by the government's long-term projections.

Table 7. **Alternative medium-term projections**

Scenario	Employment			Productivity			Per capita GDP		
	I	II	III	I	II	III	I	II	III
2002	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
2003	100.0	98.9	100.4	103.3	103.8	102.9	103.3	102.7	103.4
2004	100.0	98.3	100.8	107.1	107.7	105.9	107.1	105.9	106.9
2005	100.2	97.9	101.5	109.7	111.6	109.0	109.9	109.3	110.6
2006	100.4	97.6	102.0	112.4	115.6	112.1	112.8	112.9	114.4
2007	100.5	97.3	102.6	115.2	119.6	115.2	115.8	116.5	118.3
2008	100.7	97.3	103.2	118.1	123.7	118.4	118.9	120.4	122.3

1. Scenario I is the OECD medium term reference scenario. Scenario II assumes that three-quarters of vulnerable jobs disappear successively over the period projected and catch-up parameter of 2 per cent. Scenario III assumes increasing employment and catch up parameter of 1.2 per cent.

Source: OECD.

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Box 2. Three catch-up scenarios (*cont.*)

This *Survey* argues that it is important to strengthen the incentives for the supply of and demand for low-skilled labour. If microeconomic and labour market reforms, including adjustments in welfare benefits and employment costs and regulations can help retain a higher proportion of older and less skilled workers in labour force and employment, the third (high employment growth) scenario may become feasible.

* Two alternative productivity catch-up paths were estimated with the aid of the following model that measures labour productivity by GDP per worker: $H(t) = (1 + \alpha) \bullet H(t-1) + \beta \bullet [A(t-1) - H(t-1)]$, where H and A denote productivity in the Czech Republic and the US respectively, α is the trend growth rate of productivity of 1½ per cent per annum, t indexes time and β refers to a specific catch-up parameter. In the accelerated exits scenario, the catch-up parameter is set to 2 per cent. In the high employment growth scenario, it is set to 1.2 per cent.

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II. Macroeconomic policy

A well-established inflation-targeting regime co-exists with a budget stance that has loosened beyond automatic stabilisers. This imbalance in the policy mix has unwelcome consequences for Czech macroeconomic conditions and must be resolved by a closer co-operation of monetary and fiscal policy. Monetary conditions have tightened considerably till mid-2002 as a consequence of strong currency appreciation. The pace of appreciation was partly[19] due to the government dissaving being in part financed by privatisation sales to foreign investors. As the pace of appreciation went beyond its recent average, in order to contain the mounting shocks on competitiveness and output, monetary and fiscal authorities agreed to moderate appreciation pressures by slowing down the conversion of privatisation proceeds and to convert at least part of the proceeds directly in the CNB, out of the foreign exchange market. This agreement softened somewhat the monetary conditions from the second half of 2002, but the fiscal drift continues and financial market tensions – which would normally result from crowding out – have only been avoided up to date because of subdued domestic business investment. The conflict between ambitious monetary objectives and a large structural deficit is not sustainable, and a more radical fiscal consolidation than currently envisaged is needed.

Monetary policy

The inflation-targeting framework is well established

The basic framework of monetary policy has remained unchanged since 1998 when the Czech National Bank (CNB) established a pre-announced inflation-targeting regime and enhanced the transparency of its policy-making process. The exchange rate is officially freely floating but interventions are frequent. The medium-term target is to gradually reduce headline inflation in a sliding band, from 3-5 per cent per annum in January 2002 to 2-4 per cent in December 2005. To achieve this objective, the Central Bank strives to co-ordinate expectations with the government and trade unions in order to avoid excessive wage growth and demand pressures. Social partners appear to broadly support the medium-term disinflation objective.

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On the operational level, the Bank sets short-term interest rates and intervenes in the foreign-exchange market to control monetary conditions. The key repo rate was unchanged at 5¼ per cent per annum from November 1999 to February 2001 when it was reduced by 25 basis points. Since then, a series of cuts in the policy rate brought the repo rate down to 2¾ per cent in November 2002, for a while below euro area policy rates, and equivalent to them since the rate cut by ECB in December. The headline inflation has been below the targeted range since May 2002 while so-called "net inflation", that is excluding the impact of regulated prices and indirect taxes, has been negative since June (Figure 9). This rapid disinflation resulted from a unique combination of factors with mostly transitory effects on inflation, like rapidly falling food prices, strong competition in the retail sector, currency appreciation and slow growth of regulated prices.[20] "Adjusted inflation", *i.e.* net inflation without the impact of food prices, has oscillated around 1 per cent since June 2002. The impact of food and regulated prices on headline inflation is significant, and should these grow excessively – in contrast to recent developments – the "escape clauses" in the Central Bank's strategy authorise deviations from the inflation target.[21] Inflation has remained much higher in market services, at 4-5 per cent per year, possibly reflecting persisting wage and cost pressures which can be passed on to prices in a market environment sheltered from international competition, while Balassa-Samuelson effects reflecting productivity differentials between tradables and non-tradables has played a relatively limited role.[22]

In response to strong currency appreciation, the CNB and the government reinforced their earlier 2000 agreement known as "*Monetary Policy Strategy in a Period of Foreign Capital Inflows*". The main purpose of the new agreement finalised in January 2002 is to deal more effectively with the inflow of privatisation revenues. Under the old agreement, the government's privatisation agency (FNM) parked a portion of such revenues in a special CNB account for brief time periods, before converting them into koruny to finance public spending. The new agreement stated two main requirements. First, the government will convert all forex proceeds with the CNB. Second, the Ministry of Finance will freeze a portion of its privatisation revenues (20 percent of the privatisation proceeds gradually up to CZK 25 billion equivalent), in a non-interest bearing account at the CNB until 2007.[23] At that time the outstanding state guarantees to the CNB, associated mainly with the consolidation of the banking sector, fall due. Concerning the non-sterilised portion of privatisation and other forex revenues, the Central Bank will charge the State a fee for exchanging proceeds out of the currency market and through a bilateral transaction, with a rate rising from 3 per cent for the initial CZK 50 billion to 6 per cent for the next 50 billion and to 9 per cent thereafter.

The new agreement is primarily designed to prevent any conversion in the market place. Since all conversions in 2002 were off-market, it, in fact, helped stabilising the exchange rate. In addition, it encourages the State to either freeze a

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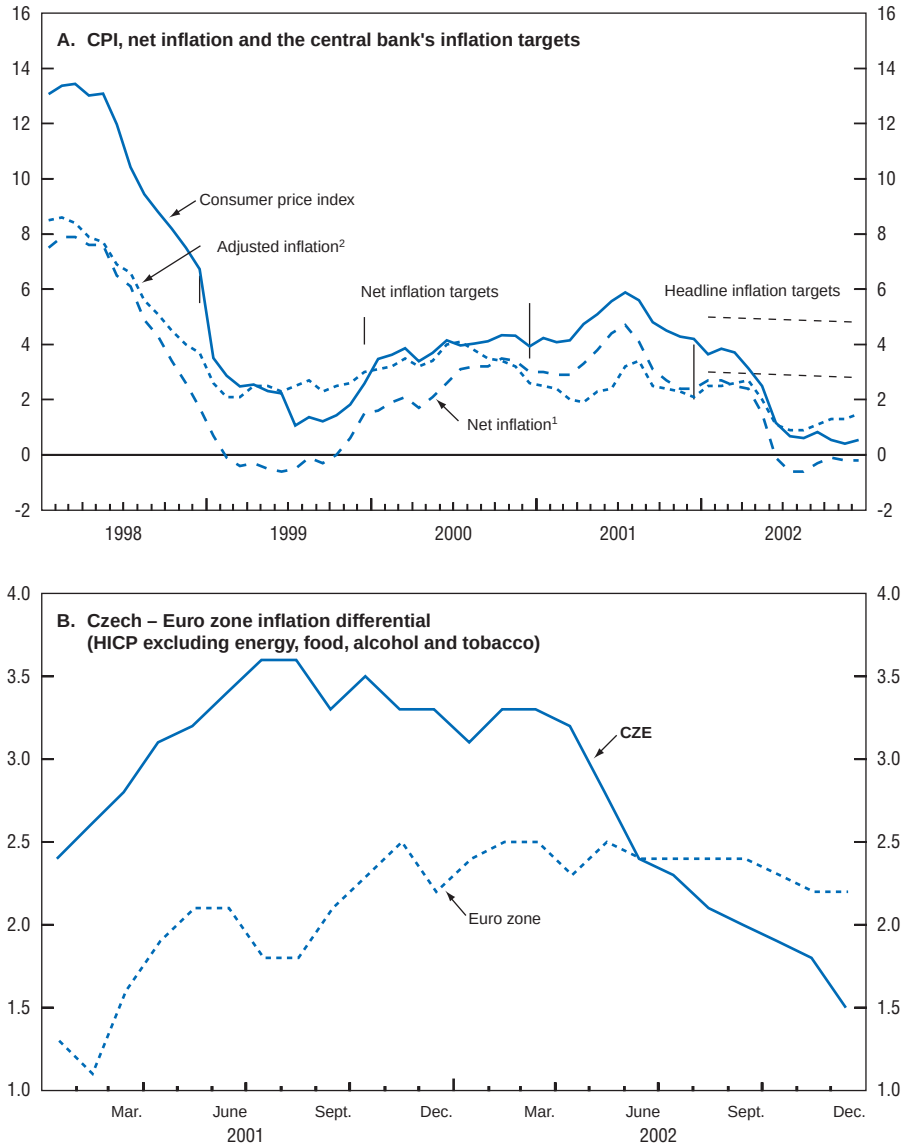
Figure 9. **Inflation performance**
Year-on-year percentage change



1. Net inflation refers to consumer prices adjusted for the direct impact of changes in indirect taxes and administered prices.
2. Adjusted inflation excludes the impact of changes in indirect taxes, administered and food prices.

Source: Czech National Bank; Czech Statistical Office; Eurostat; OECD.

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certain portion of its forex revenues in the special CNB account or use them for paying its future liabilities without converting them into koruny. In all instances, in order to contain growth of the monetary base the Central Bank will need to sterilise the privatisation proceeds that will be presented for conversion. The conversion fees that the state agreed to pay compensate the CNB for these costs and serve as a commitment device to minimise additional conversions. The future enforcement of this agreement will influence the perceptions of domestic and international markets about the robustness of the co-operation between fiscal and monetary policy.[24]

Strong currency appreciation tightened monetary conditions

The koruna being subject to the upward pressures of large amounts of FDI flowing in since 2001, short-term policy rates have been cumulatively cut to unprecedented levels, with the key repo rate falling 50 basis points below the corresponding ECB minimum bid rate in November 2002 (Panel A, Figure 10). The three-month interbank rate (PRIBOR) declined subsequently from 4½ per cent in January 2002 to 2¾ per cent at the year's end. The Czech-euro zone interest rate differential, which turned negative until early December, reflected further appreciation anticipations. The evolution of interest rate premia on three-month instruments (Panel B) and spreads of benchmark bond yields (Panel C) confirm these expectations. This environment forced the CNB to intervene in the forex market throughout the year to prevent the koruna from rising too steeply. As a result of these interventions (worth about $2½ billion) and the off-market conversion of privatisation revenues ($4 billion), the official forex reserves increased by one-third in 2002, reaching $22 billion.

Since 1998 the international strengthening of the koruna has stimulated the adjustment of the Czech business sector, accelerating the productivity catch-up process. While some nominal appreciation is inevitable in a low-inflation economy catching up to the productivity levels of trade partners, its pace in 2002 (10 per cent *vis-à-vis* € and 14 per cent *vis-à-vis* $) has been considered excessive by the authorities. A perception of a trend appreciation rate had been previously established through the short 1998-2001 interval which followed the floating of the currency, when the positive inflation differential with the euro zone was close to 2 per cent and nominal appreciation close to 4 per cent, average real appreciation attaining 5½ per cent per annum. In 2002, the inflation differential disappearing and nominal appreciation shooting up to 10 per cent, average real appreciation was exceeded by more than 4 percentage points. Excess appreciation might have been even stronger if there is a decrease in the underlying equilibrium appreciation rate.[25]

In 2002, in spite of open and covert interventions by the Central Bank, the currency kept on appreciating until July. Given the rapid disinflation, which fell

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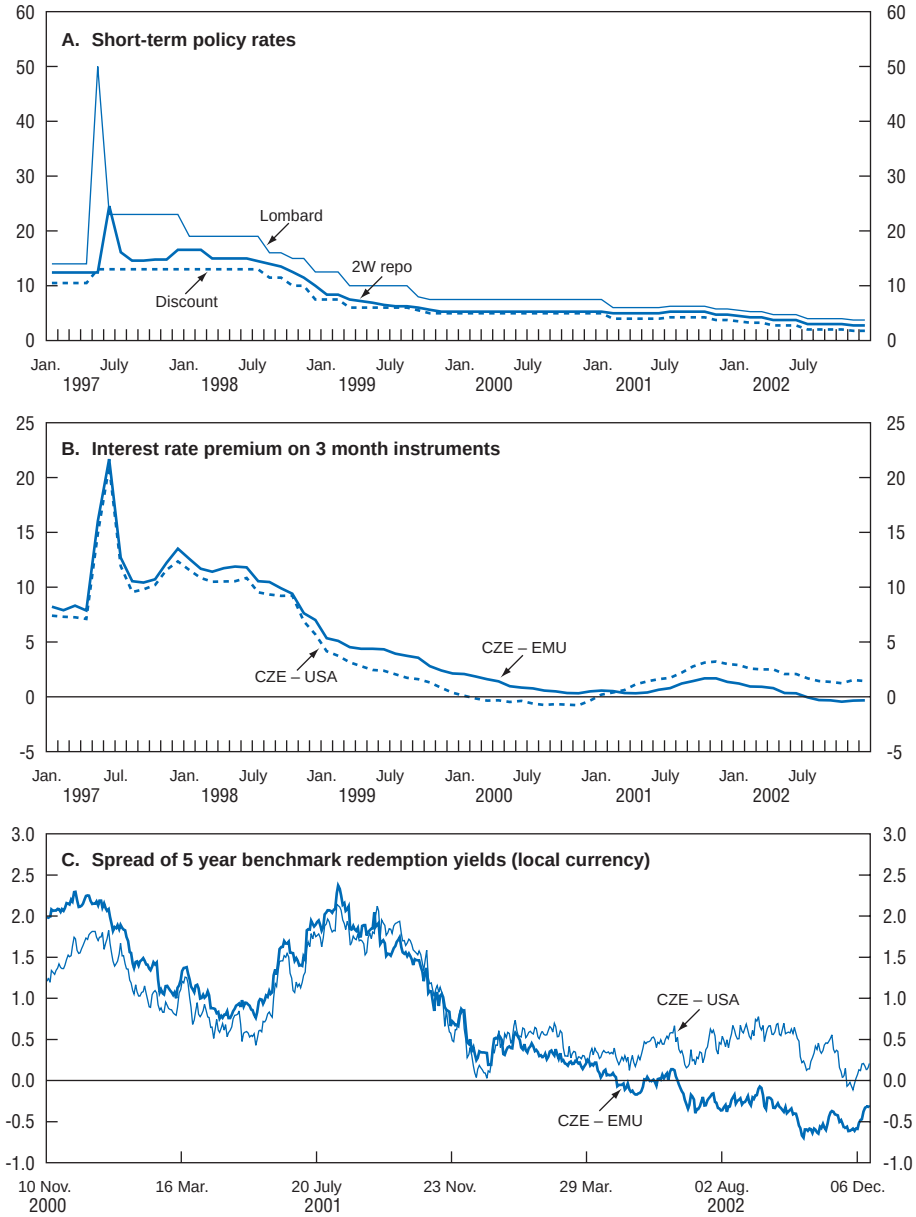
Figure 10. **Policy rates and risk premia**

Per cent



Source: Czech National Bank; Datastream; OECD.

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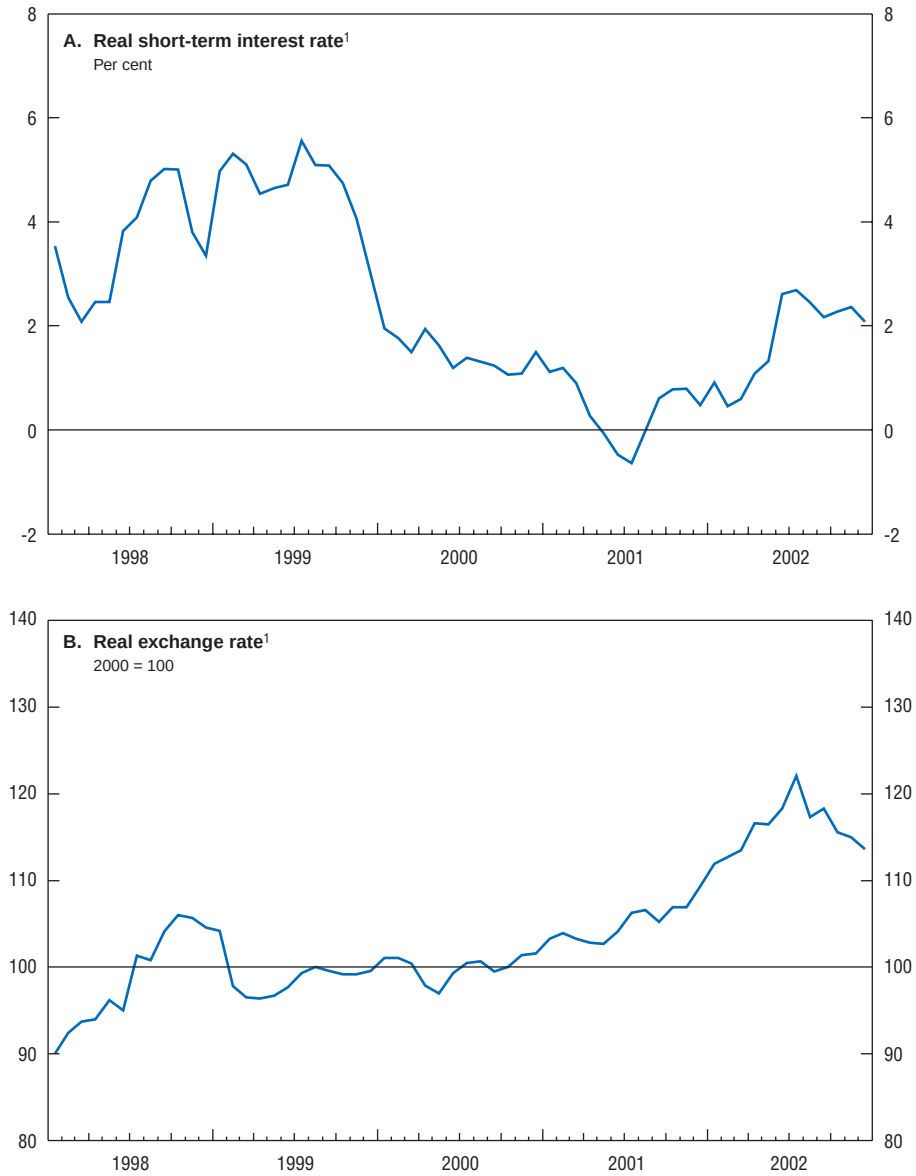
Figure 11. **Monetary conditions**



1. CPI based. Panel A shows the 3 month PRIBOR, deflated by the CPI.
Source: OECD *Main Economic Indicators*; Czech National Bank.

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below the eurozone averages, real interest rates rose rapidly in the first half of the year. It is only following the agreement with the Ministry of Finance and further CNB rate cuts and additional forex interventions that monetary conditions have started to stabilise in the third quarter, remaining nonetheless tight in historic terms (Figure 11). The Central Bank had no such tightening intentions, especially as disinflation had fallen below the lower end of the target band, but could not prevent it from occurring.

Moderate money and credit growth

Under such tight monetary conditions, the growth rates of monetary aggregates M1 and M2 declined in 2002 (Table 8). The nominal credit supply, adjusted for one-off items and exchange-rate effects, continued to grow in 2002 but this was mainly due to consumer credits.[26] Available analyses show that consumer credits are the main channel of transmission of monetary policy on the credit market, before corporate credits.[27] Mortgages in particular offset falling loans to non-financial firms, many of

Table 8. **Money and credit**

	1994	1995	1996	1997	1998	1999	2000	2001	2002
	End-of-period growth rates								
Monetary growth									
M1	15.1	14.4	5.2	–6.3	–3.6	10.8	11.1	17.3	16.3
M2[1]	20.7	20.3	9.1	10.8	5.4	7.7	5.6	13.0	4.8
Credits	17.1	13.0	10.6	8.4	–4.7	–4.4	–3.7	–19.6	–11.4
Adjusted credits[2]	20.9	14.8	18.6	9.4	0.7	–4.7	–4.2	2.0	2.9
	Per cent								
Market interest rates[3]									
7-day PRIBOR	8.5	10.9	12.1	18.3	14.2	6.8	5.3	5.2	3.7
3-month PRIBOR	9.1	10.9	12.0	15.9	14.3	6.9	5.4	5.2	3.6
Memorandum items:									
Nominal GDP growth, per cent	15.9	16.8	13.5	7.2	9.5	3.4	4.3	8.7	3.1
Income velocity (GDP/M1)[4]	3.4	3.5	3.6	3.9	4.5	4.5	4.2	4.0	3.7
Income velocity (GDP/M2)[4]	1.6	1.5	1.5	1.5	1.5	1.5	1.4	1.4	1.4

1. M2 adjusted according to the deposit of SPT Telecom (from July 1995 to October 1997).
2. Adjusted for exchange rate effects, write-offs, banks with licences revoked and loan portfolio restructuring.
3. Annual averages.
4. Computed as follows:
   Velocity = $GDP_t / [(M_{t-1} + M_t) /2]$
   Where M_{t-1} = M1 (or M2) at the end of year t-1
   M_t = M1 (or M2) at the end of year t
5. September 2002 except GDP which is estimated using Q1 to Q3.
6. January-November 2002.

Source: OECD; Czech National Bank.

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which became less creditworthy for prudent banks. Foreign-controlled firms experienced no credit restrictions, however, being able to finance investment from retained earnings and the credits arranged by parent companies and the local banks that perceived them as good risks. Banks recorded large profits, probably confirming the end of the consolidation period, but their total business volume continued to be constrained by the scarcity of corporate and personal credit applicants with acceptable risk levels (Figure 12). The recent slowdown in business credit is therefore more due to demand than to supply shortfalls. Even in the SME sector the newly introduced commercial bank programmes offer facilities adapted to smaller firms and the launching of a centralised credit registry by the Central Bank in November 2002 is expected to enhance the banking sector's ability to service smaller borrowers.

Monetary policy will face a more speculative environment until EMU *accession*

If the real appreciation of the currency resumes, further deterioration of competitiveness might trigger additional output and employment losses at an accelerated rate.[28] This may have negative consequences on confidence and macroeconomic outcomes. The monetary authorities will continue to try to resist such recurrent tightening of monetary conditions – without putting into jeopardy their inflation target. To this end they may need to treat the exchange rate even more explicitly as a policy-relevant variable, which would be consistent with the prospect of participating in the ERM II system shortly after the EU accession scheduled for May 2004.[29] However, containing exchange rate appreciation in a context of persisting capital inflows by means of currency market interventions would broaden the monetary base, implying a resurgence in inflation and – if policies continue to favour the low inflation and high nominal appreciation mix – higher sterilisation costs.[30]

For countries on the road to EU and EMU membership, the introduction of structural reforms and the presence of general catching-up factors result in considerable upward pressures on their currencies. As in other transition economies, the Czech currency is particularly sensitive to the volume of privatisation sales, even if the recent agreement between the government and the Central Bank may have tempered this. Any speculation about a slowdown in privatisation sales – as for instance associated with the anticipated delay in the sale of the state's 51 per cent stake in Czech Telecom until 2004 – is likely to ease the nominal appreciation pressures. By contrast, the anticipation of post-EU and post-EMU accession price adjustments may trigger upward speculative movements. Investors might also over-invest in CZK securities in anticipation of capital gains that would result from policy rate cuts against appreciation. In turn, if investors estimate that monetary authorities will successfully contain and reverse the excessive nominal appreciation, the triggered reversal may also overshoot downwards.

To date, the koruna has remained remarkably immune to such disruptive adjustments. Furthermore, the authorities have managed to reign in growth of the

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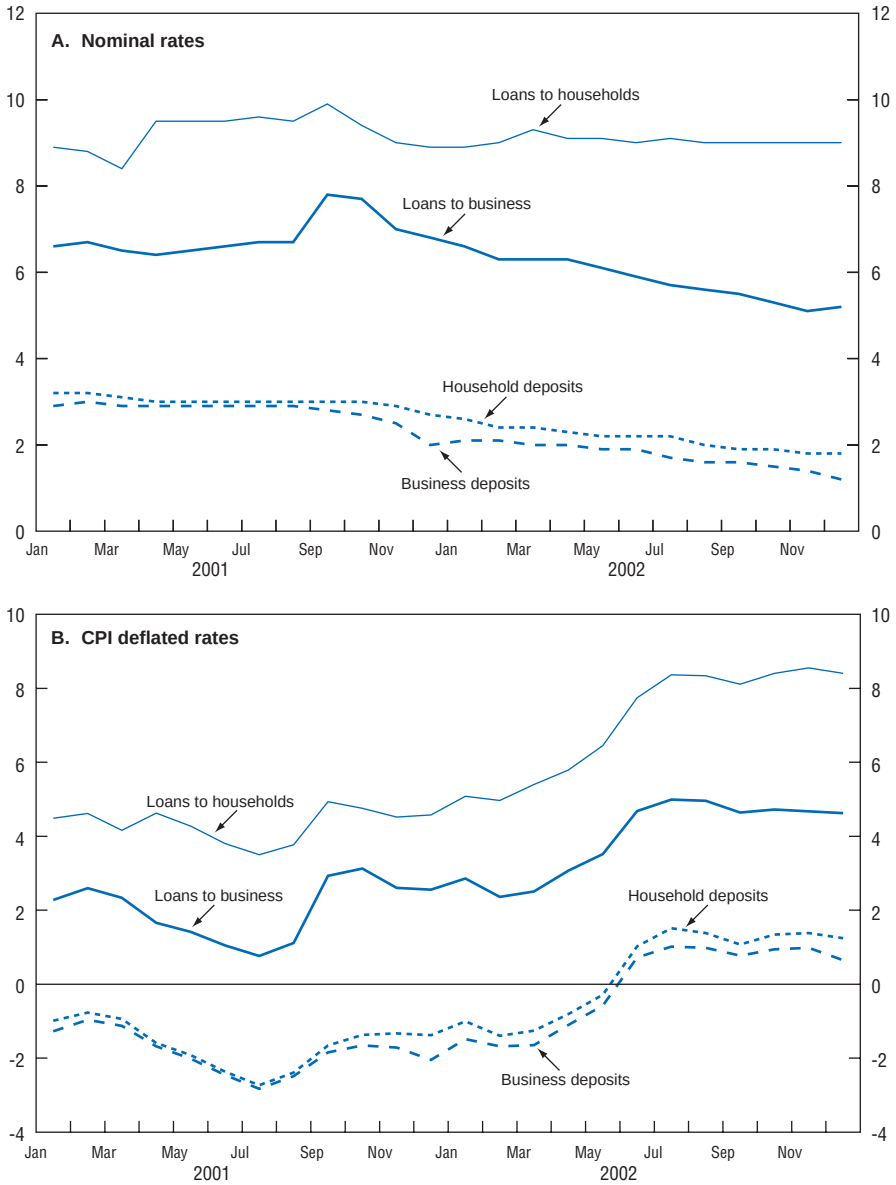
Figure 12. **Rates on loans and deposits**

Per cent



Source: Czech National Bank (ARAD Database, *http://wdb.cnb.cz/cnbeng/docs/*ARADY); OECD.

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monetary base and have reduced their vulnerability to speculative actions. This notwithstanding, only full participation in the EMU would provide full insurance against such disturbances, provided that the economy acquires the desirable nominal wage flexibility to forego the currency adjustment channel. The benefits of participating rapidly in the Euro zone should be considered in that context. However, on the way there fiscal policy must also deliver its part for a balanced macroeconomic policy, which provides an insurance against overshooting exchange rate changes. The Central Bank has made public its preference for making the euro zone accession technically feasible by 2007 (implying that the fiscal rules of the Maastricht treaty should be met by 2005) but no targeted timetable has been announced by the government yet.

Fiscal policy

The fiscal framework has become more transparent but more complex

The transparency and monitoring of the fiscal stance has improved since the last *Survey*, through a better application of international norms. The approaching EU accession has increased public awareness about the importance of fiscal policy in the integration process. Political actors are also getting more acquainted with different measures of the fiscal situation. Even if the state budget has remained the focus of fiscal discussions in Parliament, more complete information on public finances has become an integral part of the state budget proposal, the previous year's final accounts and semi-annual reports. Quarterly forecasts of the Finance Ministry contain data on the general government sector as a whole, as well as short term projections based on government finance statistics (GFS86).[31] The Czech Statistical Office (CSO) also succeeded in speeding up the publication of government accounts on a national accounts basis, reducing the earlier three years delay to 18 months, and now aims at a preliminary disclosure within eight months.

The reform of budget institutions is planned to continue over the period 2003-06.[32] It entails changes to both the tax system and public expenditures, including binding 3-year ceilings for the state budget and the majority of extra-budgetary funds (XBFs). Meanwhile, the general government sector will be further fragmented with a new large Social Security Fund, a Social Security Agency to be introduced in 2004. The segmentation of the general government sector, to the extent it makes difficult to maintain full fiscal transparency across components is a remaining weakness of the fiscal framework (Box 3). In contrast, the Agricultural Intervention Fund was absorbed by the central government in 2001.[33] The respective weights of the state budget, local governments, extra-budgetary funds and social security funds in the total revenues and expenditures of the general government, as programmed for 2003, are illustrated in Figure 13. The role of the extra-budgetary funds and their participation in the growth of guarantees and off-budget liabilities in the recent period is described in Annex II.

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Box 3. The remaining institutional weaknesses of the fiscal framework

The fragmentation of the general government sector, which consists of the central government (state budget, 9 extra-budgetary funds, the public healthcare system),[1] 14 regional administrations and over 6 000 municipalities, is a major challenge to fiscal managers. The Ministry of Finance (MoF) started to emphasise the fundamental importance of consolidated general government accounts since the late 1990s. From 2000, estimates of the general government deficit were reported in the annual state budget documents. Nevertheless, parliamentary debates continue to focus on the approval of the state budget that accounts only for 56 per cent of general government expenditure. Tax expenditure, consisting mainly of corporate and personal income tax allowances, exceeds 6 per cent of GDP but is not subjected to a comparable scrutiny by lawmakers. The transparency of guarantees and off-budget liabilities also needs improvement, as they are located mainly in extra-budgetary funds and tended to considerably increase in the recent period, as described in Annex II.

The so-called *mandatory spending* includes social transfers, health contributions paid by the state and debt servicing payments. These account for more than one-half of the state budget. When other *quasi-mandatory* items such as military spending and wage expenses of public administration are classified as mandatory, the share of mandatory expenditures in the state budget rises to close to 80 per cent (Table 13). Notwithstanding the treasury division's monitoring process, the Ministry of Finance's capacity to restrain mandatory expenditures within a given year is seriously limited because such spending is dictated by independent legislation and cannot be reduced except by amendment to such laws. Spending between years may also be affected by political decisions, as for example pension increases provided in excess of the minimum rises mandated by the law.

Budgetary processes follow most of the formal OECD best practices. The state budget process starts with a preparation of the previous year's closing accounts by the MoF. They include final balances of sub-national governments and so-called state XBFs, excluding the consolidation and privatisation agencies. Following the approval by Parliament of closing accounts, the MoF proposes spending ceilings for the forthcoming year on the basis of the government's policy priorities and revenue projections from the latest macroeconomic forecast.[2] Based on these guidelines, spending ministries make detailed spending proposals within the limits and propose additional spending initiatives. The Finance Ministry reviews these proposals and presents them to the cabinet that makes the final decision on a draft budget. In the past, spending overruns have been routinely tolerated by Parliament while approving the closing accounts some ten months after the end of the budget year.

In recent years, drifts in the government's fiscal position could take place despite the formal availability of traditional control mechanisms. The treasury division of the MoF monitors discretionary spending on daily basis. Its control of current spending is weakened by the practice of disbursing wage funds on the basis of planned rather than actual employment in line ministries and government

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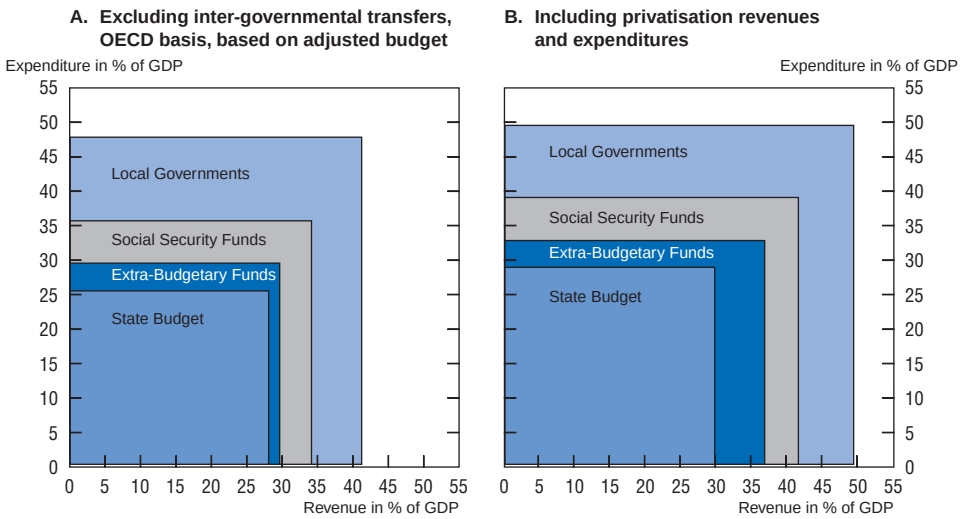
Box 3. The remaining institutional weaknesses of the fiscal framework (*cont.*)

agencies. In the case of capital spending, reports of the Auditor General reveal that line ministries tend to ignore treasury warnings concerning misallocation of programme funds (see Box 13). Cost control of public procurement is diluted by the rare and inadequate use of public tenders.[3] Ultimately, the largest excess spending and revenue shortcomings tended to occur in areas outside the direct control of the Treasury (such as bank consolidation, extra-budgetary funds and mandatory social spending in excess of the minimum thresholds specified by law).

1. For a comprehensive description of the healthcare system, see Chapter III.
2. The Finance Ministry's quarterly forecasts are available to the general public through the internet.
3. Over 70 per cent of public procurement transactions (5 000 out of 6 853 public projects) took place without tenders during the time period 1999-2002. Reports posted on the website of the Auditor General (*www.nku.cz*) indicate that the rules pertaining to public tenders were routinely ignored.

Figure 13. **Structure of general government revenues and expenditures**



Source: Ministry of Finance; OECD.

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In 2001, 14 new regional administrations were created as a further layer of territorial government, in addition to 6000 municipalities.[34] They are entrusted with the important responsibility of providing many public services, including secondary education, general hospitals, maintenance of secondary highways, etc. The transfer of property rights for service facilities (together with their financial liabilities) is gradually taking place and will be completed by the end of 2003. There will be no central government control of complementary funding of regional administrations, including their borrowing from financial markets (Box 4).

Box 4. Fiscal implications of regionalisation

A trend analysis of territorial government finances is difficult, because of successive institutional changes which create breaks in revenue and expenditure series. Local governments have also made use of substantial one-off revenues from financial asset sales in the past, which are reflected in statistics as a financial transaction. Rapid growth in municipal debt is nevertheless well documented (Table 9). In 2002 additional municipal borrowing reached the level of CZK 52 billion (2.3 per cent of GDP). As municipal debt is not guaranteed by the state, one strained municipality went bankrupt (Rokytnice) and some of its assets were auctioned off by creditors. This first episode has confirmed the strictness of the hard budget constraint for municipalities keeping the central government clearly away from getting involved in liability settlement.

Municipal borrowing was further eased by an amendment to the Act on Municipalities, approved by Parliament in June 2002. Municipalities are no longer limited in borrowing, as the previous 15 per cent debt-servicing ceiling in their budgets has been abolished. Foreign borrowing and issues of municipal bonds no longer require the government's approval. In addition to this, the amendment enables municipalities to guarantee liabilities of enterprises in specific cases. These changes create significant additional room for sub-central borrowing and spending.

In the longer term however, regionalisation may entail a potential for rationalising spending. Some of the 14 regional governments may pursue cost-saving approaches to fiscal management in secondary education, hospitals, social care, etc. The planned introduction of information technology in regional offices may also create more favourable conditions for rationalisation in territorial administration.* These institutional and technological innovations are essential for improving public sector governance. Regional governments will also enter into direct relationship with the EU and its regions, hopefully enhancing prospects for implementing best-practice and innovative regional development initiatives.

* The emerging e-government initiatives in public administration provide citizens and public sector managers with online access to various streams of information.

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Recent fiscal developments

Significant loosening occurred in the electoral year 2002

Massive fiscal loosening occurred in the election year 2002, approaching 1.7 per cent of GDP. A jump in total government spending of 2.7 percentage points of GDP was only marginally financed by a rise in tax revenues of 0.5 per cent – itself partly due to a one-off increase in corporate income taxes generated by an exceptionally profitable business transaction. This spending jump was generated by a surge in non-wage government expenses worth 1.2 per cent of GDP (reflecting large purchases of defence equipment from domestic producers), a pick-up of housing and other investment subsidies of 1.2 per cent of GDP, wage hikes in the public sector and further increases in social security transfers. The structure of spending reflects an expanding combination of countercyclical stimulus to industry and electoral largesse (Tables 10 and 11).

The stimulus came at a very high cost, the general government deficit surging from 2.8 to 4½ per cent of GDP. Total government spending reached 46.2 per cent of GDP (49 per cent if bad loan cleaning costs associated to earlier bank privatisations are included) and total revenues 41.7 per cent (47.3 if new privatisation proceeds are included).[35] Therefore, if the spending related to cleaning of the inherited losses of transformation institutions is included in the annual total, the 2002 government deficit would reach 7.3 per cent of GDP. In any case, following these recent developments the Czech Republic has become a high spending and, in relative terms, a high taxation country,[36] with negative consequences for the overall macroeconomic balance and economic incentives. The high claim on domestic resources is fuelling real appreciation and wage increases, aggravating the difficult position of domestic low-productivity firms. Labour demand, supply and turnover are particularly harmed by the burden of extensive labour taxes. The Republic tops the OECD area for both the share of labour taxes in GDP at 17 per cent, and their share in total tax revenues at 44 per cent.[37]

The 2003 *budget confirms the deterioration of the structural deficit*

The 2003 state budget has been prepared according to macroeconomic projections by the MoF which are based on real GDP growth of 3.3 per cent.[38] In spite of this growth assumption, a state budget deficit at a record level of CZK 111.3 billion (4.6 per cent of GDP)[39] was approved by Parliament. Large privatisation proceeds were anticipated for the National Property Fund and earmarked for the infrastructure and housing related expenditures (these expenses may in fact be funded by privatisation proceeds from 2002). Even if one excludes the privatisation revenues and costs from the consolidated accounts, the general government deficit will come close to 5.8 per cent of GDP.[40] To offset the fiscal costs of flood reparations, the government saved CZK 3.3 billion in public wages by delay-

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Table 9. **Sub-national government revenues and expenditures**

	1995	1996	1997	1998	1999	2000	2001	2002[1]	2003[2]
	Per cent of GDP								
Revenue									
Revenue and grants	9.4	10.5	8.7	8.5	8.7	9.2	8.9	10.5	11.4
Revenue	6.9	6.5	6.5	6.5	6.5	6.8	5.8	7.0	6.6
Current revenue	6.5	6.0	6.0	6.0	6.1	6.4	5.4	6.4	6.2
Tax revenue	4.9	4.5	4.5	4.5	4.6	4.8	4.1	4.8	4.9
Direct taxes	4.6	4.1	4.0	4.1	4.1	4.4	2.3	2.8	2.9
Personal income tax	4.4	3.2	3.2	3.2	3.2	3.2	1.2	1.5	1.5
Enterprise tax	0.2	0.9	0.8	0.9	1.0	1.2	1.1	1.3	1.3
Domestic taxes on goods and services	0.1	0.1	0.3	0.2	0.2	0.2	1.6	1.8	1.9
Taxes on property	0.3	0.3	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Non-tax current revenue	1.6	1.6	1.5	1.5	1.5	1.6	1.3	1.7	1.2
Capital revenue	0.4	0.5	0.5	0.5	0.4	0.5	0.4	0.5	0.4
Grants	2.5	3.9	2.1	2.0	2.2	2.3	3.1	3.6	4.8
Expenditures									
Expenditures and net lending	9.6	10.9	8.9	8.5	7.7	9.3	9.4	10.6	11.8
Expenditures	9.5	10.8	9.0	8.6	9.1	9.6	9.5	10.7	11.8
Current expenditures	5.9	7.5	5.9	5.8	6.2	6.5	6.5	7.7	8.9
Expenditure on goods and services	3.6	3.7	3.6	3.6	3.8	4.0	3.1	3.4	3.8
Wages and salaries	0.8	0.9	1.0	1.0	1.1	1.1	0.9	0.9	1.2
Other purchases of goods and services	2.7	2.7	2.6	2.6	2.7	2.9	2.2	2.4	2.6
Interest payments	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Subsidies	1.8	1.7	1.7	1.5	1.7	1.7	2.8	3.7	4.4
Transfers to households and NPIs	0.4	2.0	0.5	0.5	0.6	0.7	0.6	0.6	0.7
Capital Expenditure	3.6	3.3	3.0	2.8	2.9	3.1	3.0	3.0	2.9
Fixed investment	3.0	2.8	2.6	2.3	2.4	2.6	2.6	2.5	2.3
Capital transfers	0.7	0.5	0.4	0.5	0.5	0.5	0.4	0.5	0.6
Lending minus repayments	0.0	0.1	0.0	–0.1	–1.4	–0.3	0.0	–0.1	0.0
Local governments balance	–0.2	–0.5	–0.3	0.1	1.0	–0.1	–0.5	–0.1	–0.4
Local governments balance excluding net lending	–0.1	–0.4	–0.3	0.0	–0.4	–0.4	–0.6	–0.2	–0.4

Note: GFS 86 basis. Since 2001 local governments include municipalities and newly established regions, before 2001 municipalities and district offices (district offices were part of the central government from the beginning of 2001 to the end of 2002).

1. Preliminary.
2. Budget programme.

Source: Ministry of Finance, Government Finance Statistics.

Table 10. **General government accounts on an OECD basis**

	1995	1996	1997	1998	1999	2000	2001	2002[1]	2003[2]
	Per cent of GDP								
Total revenue	43.0	41.8	40.8	39.7	40.3	40.5	40.7	41.7	40.9
Current revenue	42.6	41.3	40.3	39.2	39.9	40.0	40.1	40.9	40.1
Tax revenue	38.2	37.6	37.6	36.6	37.4	37.5	37.4	37.9	37.8
Indirect taxes	11.0	10.9	10.8	10.2	11.1	10.9	10.5	10.3	9.8
Value added tax	6.9	7.0	7.0	6.5	7.3	7.4	7.0	6.8	6.6
Excises	4.1	3.9	3.8	3.7	3.8	3.6	3.5	3.5	3.2
Other taxes on goods and services	1.6	0.4	0.9	0.9	0.9	0.9	0.8	0.8	1.0
Direct taxes	9.8	9.1	8.5	8.8	8.7	8.8	9.1	9.8	10.0
Personal income tax	5.0	5.1	5.2	5.2	5.0	5.0	4.8	5.1	5.3
Enterprise tax	4.8	3.9	3.3	3.7	3.7	3.8	4.3	4.7	4.7
Social security contributions	15.1	15.5	15.9	15.4	15.5	15.7	16.0	16.1	16.1
Other taxes	0.7	1.8	1.4	1.3	1.2	1.3	1.0	0.9	1.0
Non-tax current revenue	4.5	3.7	2.7	2.6	2.5	2.5	2.7	3.0	2.3
Capital revenue	0.4	0.5	0.5	0.5	0.5	0.5	0.4	0.6	0.4
Grants	0.0	0.0	0.0	0.0	0.0	0.1	0.1	0.2	0.3
Total expenditure	43.9	42.7	42.3	41.1	42.7	43.9	43.5	46.2	46.7
Current expenditures	36.8	36.3	36.8	36.0	37.3	38.1	37.9	39.6	40.3
Government consumption	20.2	20.4	19.4	18.9	19.7	19.9	20.1	21.7	21.8
Wages and salaries	7.8	8.0	7.9	7.3	7.9	7.8	7.9	8.2	8.6
Non-wage consumption	12.4	12.4	11.6	11.6	11.8	12.1	12.2	13.4	13.2
Social security benefits paid by government	11.5	11.6	12.5	12.4	13.0	13.4	13.1	13.5	13.4
of which: pensions	8.0	8.1	9.0	9.0	9.3	9.4	9.3	9.4	9.4
Other current transfers paid by government	0.7	0.7	0.9	1.0	1.1	1.2	1.2	1.2	1.2
Subsidies to enterprises[3]	3.3	2.6	2.7	2.5	2.5	2.5	2.4	2.4	2.8
Interest payments	1.2	1.0	1.2	1.2	1.0	1.1	1.0	0.9	1.1
Capital expenditures	7.1	6.4	5.5	5.1	5.4	5.9	5.6	6.6	6.4
Fixed investment	4.6	4.4	3.6	3.3	3.5	3.9	3.7	3.5	3.4
Investment subsidies	2.5	2.0	1.9	1.8	1.9	2.0	1.9	3.1	3.0
General government balance (OECD basis)	–0.9	–1.0	–1.4	–1.4	–2.4	–3.4	–2.8	–4.5	–5.8
Primary balance	0.3	0.1	–0.2	–0.2	–1.3	–2.3	–1.8	–3.6	–4.7
General government balance[4]	0.3	–0.3	–1.2	–1.5	–0.6	–3.1	–2.4	–1.0	–6.9

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Table 10. **General government accounts on an OECD basis** (*cont.*)

	1995	1996	1997	1998	1999	2000	2001	2002[1]	2003[2]
	Per cent of GDP								
Memorandum item:									
Transfers to KOB/CKA & CI[5]	0.2	0.7	0.7	1.0	0.4	1.0	2.4	2.8	1.3
Privatisation revenues	2.0	1.6	0.8	0.8	1.4	1.0	2.8	5.6	0.6
Health care expenditure	6.6	6.5	6.5	6.5	6.6	6.6	6.7	6.9	7.1
Public employment (1 000 persons)[6]	811.9	806.2	781.2	772.0	755.1	754.6	770.2	768.9	768.6

1. Preliminary.
2. Based on Budget programme and OECD estimates.
3. Excluding transformation costs (transfers to transformation institutions).
4. General government balance on GFS basis including Lending minus repayments (financial transactions).
5. KOB denotes Konsolidacni banka Praha, CKA refers to Ceska konsolidacni agentura (established on 1 September 2001) and CI to Ceska inkasni.
6. Data for the period 2001-03 are OECD estimates.

Source: Ministry of Finance, Czech Statistical Office, OECD.

Table 11. **State Budget projections and outcomes, 2001-03**[1]

	2001		2002		2003	2001		2002		2003
	Budget	Outcome	Budget	Expected	Budget	Budget	Outcome	Budget	Expected	Budget
	CZK billion					Per cent of GDP				
Total revenue	627.0	617.7	662.9	672.0	675.6	29.1	28.6	29.2	29.6	28.0
Tax revenue	591.7	597.8	615.4	626.0	661.0	27.4	27.7	27.1	27.6	27.4
Direct taxes	129.3	147.4	141.0	159.0	172.4	6.0	6.8	6.2	7.0	7.2
Corporate income	52.8	68.8	56.9	76.9	81.8	2.4	3.2	2.5	3.4	3.4
Personal income	76.5	78.5	84.1	82.1	90.6	3.5	3.6	3.7	3.6	3.8
Indirect taxes	208.2	191.5	197.0	190.6	194.2	9.6	8.9	8.7	8.4	8.1
VAT	136.0	121.2	122.5	118.1	121.2	6.3	5.6	5.4	5.2	5.0
Excise	67.2	65.8	71.0	68.9	67.5	3.1	3.0	3.1	3.0	2.8
Taxes on goods and services	5.0	4.5	3.5	3.7	5.5	0.2	0.2	0.2	0.2	0.2
Taxes on property, gifts, inheritance	7.6	6.4	8.2	7.9	8.9	0.4	0.3	0.4	0.3	0.4
Social security contributions	234.4	242.3	259.2	258.5	275.5	10.9	11.2	11.4	11.4	11.4
Taxes on international trade	12.2	10.0	10.0	9.8	9.6	0.6	0.5	0.4	0.4	0.4
Other	0.0	0.1	0.0	0.1	0.4	0.0	0.0	0.0	0.0	0.0
Non-tax revenue (excluding repayments)	34.5	18.3	20.7	21.0	12.1	1.6	0.8	0.9	0.9	0.5
Entrepreneurial and property income	29.0	13.2	7.3	7.9	6.3	1.3	0.6	0.3	0.3	0.3
From budgetary and subsidised organisms	27.3	9.6	5.5	4.5	3.7	1.3	0.4	0.2	0.2	0.2
Interest	1.7	3.6	1.8	3.4	2.6	0.1	0.2	0.1	0.1	0.1
Fines	1.1	1.3	1.1	1.3	1.2	0.1	0.1	0.0	0.1	0.1
Other	4.3	3.8	12.3	11.8	4.6	0.2	0.2	0.5	0.5	0.2
Capital revenue	0.9	0.5	4.2	1.4	0.6	0.0	0.0	0.2	0.1	0.0
Grants	0.0	1.1	22.6	23.6	2.0	0.0	0.1	1.0	1.0	0.1
Repayments (excluded from revenues)	9.1	8.5	27.5	24.9	5.5	0.4	0.4	1.2	1.1	0.2
Total expenditures including net lending	676.0	685.4	709.1	725.9	797.3	31.3	31.8	31.3	32.0	33.1
Current expenditures	626.3	634.8	676.4	687.9	727.3	29.0	29.4	29.8	30.3	30.2
On goods and services	140.0	128.5	137.5	145.9	139.8	6.5	6.0	6.1	6.4	5.8
Wages and salaries	85.5	80.7	74.8	86.1	79.4	4.0	3.7	3.3	3.8	3.3
Other	54.5	47.8	62.7	59.8	60.4	2.5	2.2	2.8	2.6	2.5
Interest payments	22.0	18.6	22.1	18.6	23.5	1.0	0.9	1.0	0.8	1.0
Transfers	464.2	487.7	516.9	523.3	564.0	21.5	22.6	22.8	23.1	23.4
To enterprises	46.5	53.5	56.3	68.8	54.6	2.2	2.5	2.5	3.0	2.3
To subsidised organisations	73.0	47.5	39.3	36.9	33.1	3.4	2.2	1.7	1.6	1.4

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Table 11. **State Budget projections and outcomes, 2001-03**[1] *(cont.)*

	2001		2002		2003	2001		2002		2003
	Budget	Outcome	Budget	Expected	Budget	Budget	Outcome	Budget	Expected	Budget
	CZK billion					Per cent of GDP				
To local authorities	17.9	52.8	70.9	65.6	104.0	0.8	2.4	3.1	2.9	4.3
To extra-budgetary funds	4.2	4.3	2.9	2.9	4.7	0.2	0.2	0.1	0.1	0.2
To health insurance funds	28.0	29.0	30.8	30.7	32.6	1.3	1.3	1.4	1.4	1.4
To households	290.4	293.0	311.5	314.1	329.9	13.5	13.6	13.7	13.8	13.7
Social security benefit	270.8	273.3	289.7	293.5	307.2	12.5	12.7	12.8	12.9	12.8
Pension	197.8	201.1	215.2	213.7	225.8	9.2	9.3	9.5	9.4	9.4
Unemployment benefits	5.9	5.2	4.8	6.2	6.3	0.3	0.2	0.2	0.3	0.3
Sick leaves incl. maternity benefits	28.7	29.7	31.1	32.8	34.2	1.3	1.4	1.4	1.4	1.4
State social support	33.2	31.9	33.0	33.7	34.6	1.5	1.5	1.5	1.5	1.4
Other benefits	5.2	5.3	5.7	7.1	6.3	0.2	0.2	0.3	0.3	0.3
Other transfers to households and NPI	19.7	19.7	21.8	20.6	22.8	0.9	0.9	1.0	0.9	0.9
To abroad	4.0	3.2	3.9	3.9	3.3	0.2	0.2	0.2	0.2	0.1
Other transfers	0.1	4.3	1.2	0.5	1.7	0.0	0.2	0.1	0.0	0.1
Capital expenditures	52.6	48.8	50.2	57.4	61.5	2.4	2.3	2.2	2.5	2.6
By budgetary organisations	26.0	23.3	20.2	20.7	24.4	1.2	1.1	0.9	0.9	1.0
Transfers	26.6	25.4	30.0	36.7	37.1	1.2	1.2	1.3	1.6	1.5
To enterprises	2.9	4.5	7.0	14.4	13.7	0.1	0.2	0.3	0.6	0.6
To subsidised organisations	15.7	11.0	11.9	9.3	10.2	0.7	0.5	0.5	0.4	0.4
To local authorities	8.0	10.0	8.8	8.8	10.0	0.4	0.5	0.4	0.4	0.4
To Extra-budgetary funds	0.0	0.0	1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	0.0	0.0	1.2	4.2	3.2	0.0	0.0	0.1	0.2	0.1
Lending (excluded from expenditures)	6.3	10.4	10.0	5.5	14.0	0.3	0.5	0.4	0.2	0.6
Lending minus repayments	–2.9	1.9	–17.6	–19.4	8.5	–0.1	0.1	–0.8	–0.9	0.4
Balance	–49.0	–67.7	–46.2	–53.9	–121.7	–2.3	–3.1	–2.0	–2.4	–5.1

1. Years 2002 and 2003 are based on the adjusted Budget programme 2003.
Source: Ministry of Finance.

ing full implementation of the civil service act (see below). The impact of floods on the revenue side is expected to be relatively small.

The new fiscal impulse amounts to 1.3 per cent of GDP in 2003, only slightly down from 1.7 per cent in 2002. The additional stimulus is provided in spite of the expected recovery. It will be pro-cyclical if official forecasts come true. If economic recovery is delayed in Europe and domestic growth factors prove weaker,[41] then revenue losses would play a countercyclical role but at again a tremendous fiscal cost: the general government deficit might then approach 8 per cent of GDP.[42]

The underlying fiscal stance is therefore drifting far away from balance through the cycle (Table 12). Fiscal policy will therefore become increasingly incompatible with EU fiscal rules. The Republic will be expected to start converging to a cyclically-balanced general government budget from the date of accession, *i.e.* around 2004, and its rate of convergence to this norm will determine its lead time for participating in the European Monetary System. As current fiscal balances are far away these norms, convergence will necessitate harsh deficit cuts in the coming years, irrespective of macroeconomic circumstances.

The expected impacts on government indebtedness are serious and may rapidly transform the Czech Republic from a low- to a mounting-debt economy.

Table 12. **Structural and cyclical balance estimates**

	Deficit	Components of deficit[1]			
		Cyclical	Structural	Cyclical	Structural
		Revenue elasticity 0.7		Revenue elasticity 0.93	
		Per cent GDP, current prices			
1994	–1.2	0.3	–1.5	0.3	–1.6
1995	–0.9	1.0	–1.9	1.4	–2.2
1996	–1.0	1.2	–2.2	1.6	–2.6
1997	–1.4	0.2	–1.7	0.3	–1.7
1998	–1.4	–0.7	–0.7	–0.9	–0.5
1999	–2.4	–1.1	–1.3	–1.4	–0.9
2000	–3.4	–0.8	–2.6	–1.0	–2.3
2001	–2.8	–0.5	–2.2	–0.7	–2.1
2002	–5.7	–0.5	–5.2	–0.7	–5.0
2003	–6.3	–0.2	–6.1	–0.3	–6.0

1. The cyclical component = [revenue/GDP][elasticity of total revenues with respect to GDP][output gap] where the output gap = [GDP – potential GDP] with variables in 1995 prices. It is expressed as a per cent of potential GDP. Assuming that the potential GDP deflator and the actual GDP deflator are the same, the structural component as a per cent of GDP = [deficit as a per cent of GDP] – [cyclical component as a per cent of potential GDP].

Source: OECD.

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The gross government debt in a narrow sense (excluding the off-budget liabilities and the implicit pension debt) currently remains at a relatively comfortable level near 20 per cent of GDP (see Annex Table A2), but the Ministry of Finance projects that under unchanged policies the ratio may attain 45 per cent by 2006. When off-budget liabilities – related to the financial and environmental guarantees issued within the scope of privatisation contracts – and the implicit pension debt are taken into account, public indebtedness is definitely an area of concern.

There are also adverse shifts in the *composition* of spending. In 2003, mandatory social expenditure will soar to 40 per cent of state budget expenditures and account for 13 per cent of GDP. Subsidies to enterprises will increase from 2.4 to 2.8 per cent of GDP. In contrast, expenditure on research and development will remain confined to 0.6 per cent of GDP and fixed capital spending will decline to 3.4 per cent of GDP. Transfers to the Czech Consolidation Agency for debt reduction purposes were rejected by the cabinet and postponed to later years.[43]

Medium-term fiscal prospects are worrying

The government is mandated by law to disclose a medium-term budgetary outlook, even if this outlook pertains only to the state budget and does not cover the whole general government sector.[44] The breakdown of revenues and expenditures is aggregated but a detailed review of state guarantees and other off-budget liabilities is included.[45] Following its approval by the cabinet, this outlook is transmitted to Parliament as background material to the draft budget.[46]

The latest medium-term prospect for 2003-05 depicts swelling medium-term fiscal pressures. They are mainly due to mandatory social spending growing faster than GDP (Table 13). According to OECD projections, demographic and other trends imply indeed a snowballing of mandatory social expenditures – as currently legislated – in the medium-term, which will be more serious after the second half of this decade[47] (Figure 14). Growing claims from the pension and healthcare system deficits are therefore not fully apparent to the Parliament and the public. In the Czech context, the authorities should produce liability estimates for both systems on a multi-yearly basis, and include them in the outstanding liabilities of the general government. Chapter III reviews the looming liabilities of the health system and Box 5 summarises the capitalised position of pensions (Box 5).

In response to a mounting criticism by the European Commission, international organisations, and rating agencies,[48] the new government – formed after the June 2002 elections – committed to consolidation of public finances, aiming at an improvement after 2005. At the end of 2002 the government promised to provide a rolling medium-term budgetary framework with binding expenditure ceilings for individual chapters of the state budget and all extra-budgetary funds. The Ministry of Finance prepared a blueprint for fiscal reform, including a budgetary outlook

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Table 13. **Mandatory spending**

	1997	1998	1999	2000	2001	2002[1]	2003[2]
	CZK billion						
A. Mandatory expenditure stipulated by law	260.2	285.4	304.7	331.9	351.5	376.9	404.6
1. Social transfers	210.6	228.5	247.3	267.3	285.1	305.6	324.4
Pensions	150.2	166.1	177.9	186.9	201.1	213.7	225.8
Sick leave and maternity benefits	19.9	18.6	19.3	27.3	29.7	32.8	34.2
Social state support	29.2	29.6	31.3	31.9	31.9	33.7	34.6
Earmarked transfers to municipalities and district offices	5.2	6.6	9.3	11.3	12.1	13.6	14.2
Unemployment benefits	3.4	4.2	5.7	5.7	5.2	6.2	6.3
2. State contribution to health insurance system	18.4	23.4	27.4	27.5	29.0	30.6	32.3
3. Debt service	17.6	18.5	16.1	17.4	17.0	18.7	23.4
4. State support to housing savings	3.8	5.1	6.4	7.7	9.3	11.1	12.8
5. Transfers to state funds	1.1	1.4	2.9	2.4	4.2	2.9	4.7
6. Other	8.7	8.5	4.6	9.6	6.8	8.1	7.1
B. Other mandatory expenditure	6.3	14.2	6.0	4.0	3.0	5.5	16.3
1. Mandatory expenditures stipulated by other legislative norms	0.1	0.4	0.2	0.3	0.5	0.6	0.6
2. Expenditures ensuing from contracts	6.2	13.8	5.8	3.6	2.5	5.0	15.8
State guarantees called	1.6	6.7	1.0	1.9	0.6	3.6	12.2
Government credits	3.6	5.1	3.2	0.3	0.1	0.1	2.0
C. Quasi-mandatory expenditure[3]	118.6	95.0	135.1	141.1	176.4	173.0	202.6
1. Military expenditure (excluding social benefits)	28.4	3.4	38.2	40.7	40.6	44.1	47.0
2. Wage costs of public administration and contribution units[4]	88.9	89.8	94.1	96.0	130.1	123.4	128.3
3. Capital expenditure mandated by govt. decisions and contracts	0.0	0.0	0.0	0.0	0.0	0.0	20.0
4. Other	1.3	1.8	2.8	4.4	5.7	5.4	7.3
State budget expenditure (incl. State financial assets)	549.6	593.3	622.5	671.5	693.9	750.8	802.8
	Per cent of State budget						
A. Mandatory expenditure stipulated by law	47.3	48.1	49.0	49.4	50.7	50.2	50.4
Social transfers	38.3	38.5	39.7	39.8	41.1	40.7	40.4
B. Other mandatory expenditure	1.2	2.4	1.0	0.6	0.4	0.7	2.0
A. + B. Total mandatory expenditure	48.5	50.5	49.9	50.0	51.1	50.9	52.4
C. Quasi-mandatory expenditure	21.6	16.0	21.7	21.0	25.4	23.0	25.2
A. + B. + C. Mandatory and quasi-mandatory expenditure	70.1	66.5	71.6	71.0	76.5	74.0	77.7

1. Estimate.
2. Budget programme.
3. Budget 2002.
4. Including wage costs of district offices in 2001 and 2002.

Source: Ministry of Finance, OECD calculations.

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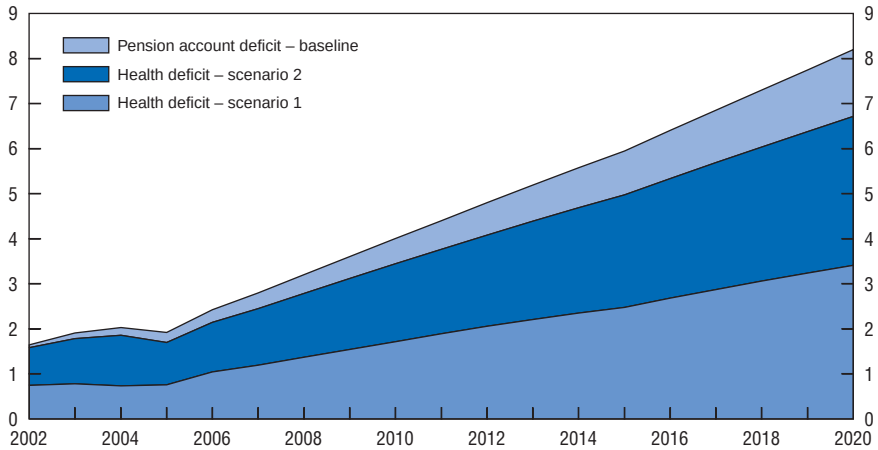
Figure 14. **Medium-term projections of pension and health deficits**[1]
Per cent of GDP



1. The pension deficit is described in Figure 15 while the two health deficit scenarios are from Figure 25.
Source: Ministry of Labour and Social Affairs, OECD.

for the period 2003-06, which has been discussed intensively in the cabinet in early 2003 and not adopted by the time of publication. The outlook comprises alternative fiscal scenarios reflecting different degrees and paces of fiscal consolidation. While the baseline implies an ESA-compatible consolidated deficit of 6.6 per cent of GDP by 2006, two alternative reform scenarios project respectively consolidated deficits of 4.9 and 3.7 per cent by the same date. According to press reports a more ambitious scenario which aimed at decreasing the consolidated deficit to 3 per cent by 2006 was excluded from the fiscal reform materials presented to the cabinet. This ambitious scenario would reportedly de-couple pension increases from wage growth and reflect only CPI growth. [49]

Human capital formation in the general government sector is key for the successful adoption of medium-term budgeting. The Finance Ministry took important steps in this area by training more than 120 central government officials with the support of the Dutch Finance Ministry, assisted by World Bank funds. This scheme allowed the instruction of medium-term budgeting experts not only at the Ministry of Finance but also in line ministries. These officials then prepared the first medium-term fiscal programme, with binding expenditure ceilings, which was to be submitted to Parliament in January 2003. By contrast, the authorities have been unable to introduce the systematic programme evaluation recommended in the previous *Survey*.

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Box 5. The pension reform

Whereas Hungary and Poland have managed to achieve fiscal consolidation of social security by radically reforming their public pension systems in the 1990s, the Czech Republic's PAYG system has experienced only minor adjustments that cannot restore its long-term sustainability. Even during the current period that is favourable from the demographic point of view, the system has been in deficit since 1997; in 2001, it generated an annual deficit close to 1 per cent of GDP and general government expenditures related to pensions represented 9.1 per cent of GDP. Calculations of the Czech Social Security Administration (CSSZ) indicate that the yearly deficit would grow to some 6 per cent of GDP by 2030, unless the parameters of the system are changed. The authorities finally decided to make early retirement less attractive by reducing significantly early-retirement benefits in the summer of 2001. Updated simulations performed by the Ministry of Labour and Social Affairs confirm the concerns pertaining to the long-term viability of the PAYG system (Figure 15).

In April 2001 the government approved a concept of pension reform, submitting it to Parliament. Subsequently, the lower and upper chambers established a joint commission for pension reform. The underlying idea was that a broad consensus on this fundamental issue should be reached in order to achieve a smooth implementation of the reform. This commission terminated its activity at the end of 2001. Although its final report confirmed that pension reform was necessary, no specific form of the future system was agreed on and, moreover, at the beginning of 2002 the lower house decided to postpone the pension reform issues until the legislative period following the elections of June 2002. Nonetheless, an early draft of the medium-term budget programme prepared by the Finance Ministry in December 2002 proposes to index annual pensions only to consumer prices. Figure 15 shows that this measure should eliminate the PAYG deficit by 2006.

According to government declarations in recent years, the pension reform ought to shift to a notionally defined contributions (NDC) system that would be administered by an independent Social Security Agency (SSA) with an up-to-date technology permitting the establishment of detailed individual accounts. Although the current PAYG system has no reserves, the recent decision of the government to provide the Ministry of Labour and Social Affairs with a 15 per cent stake in the high-voltage national power grid is to provide the start-up capital for the SSA that would replace the existing Social Security Administration section at the Ministry. The latest draft of SSA legislation mandates strictly balanced yearly plans and a medium-term outlook with a horizon of five years, consistent with the medium-term budget programme. At the same time, SSA will entail additional administrative costs.*

* In case the SSA would run a deficit, the state budget is obliged to fund it by a loan. The operating budget of the SSA cannot exceed 3 per cent of its total revenue and, in case of liquidity shortages, it can raise short-term funds from the financial markets.

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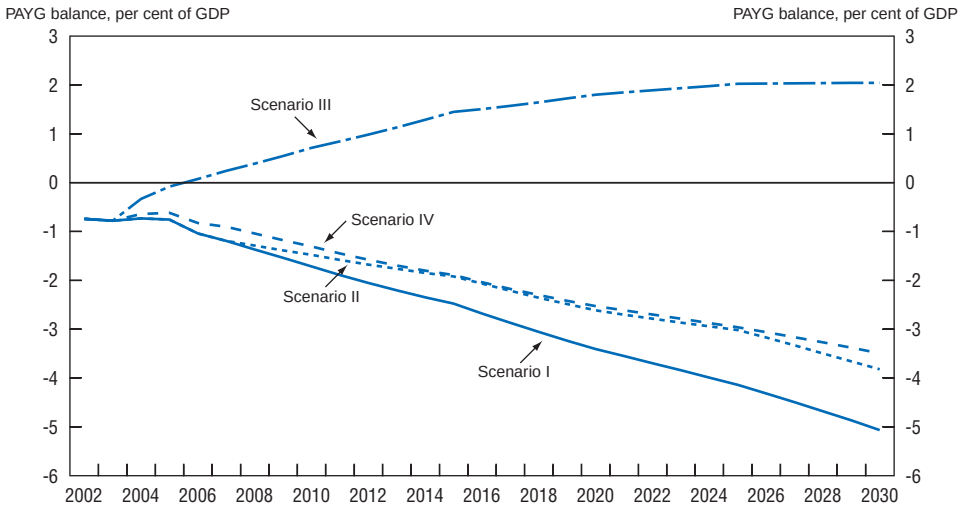
Figure 15. **Sustainability of the public pension system**



Note: Scenario I: assumes the continuity of the current public pension system with a constant replacement rate (RR).
Scenario II: same as scenario I except that the statutory retirement age increases to 65 years by 2025. Expects no impact on labour market (no impact on number of employees due to increasing retirement age).
Scenario III: same as scenario I except that pensions are indexed fully to consumer prices (from 2004). It means that RR declines from 42.3% in 2003 to less than 20% in 2030.
Scenario IV: same as scenario I except that regular inflows of 20 000 additional immigrants per annum (equally distributed in age group 25-34) take place from 2004 to 2030. Positive impact of extra immigrant to pension scheme highly depends on absorption capacity of labour market. Projection expects creation of extra jobs for immigrants from 15 000 in 2004 to 450 000 in 2030. In projection period there is no negative impact of extra immigrants on old age pension scheme, but in 2030 there would be roughly 7% more people in age group 50-60.
Source: Ministry of Labour and Social Affairs.

Conclusions

Since the last *Survey* inflation targets have been first reached and then undershot, supported by the deceleration of international prices and strong currency appreciation. In spite of successive reductions in policy rates, the pace of disinflation and currency appreciation have been rapid initially and real interest rates have risen and monetary conditions tightened until mid 2002. Since the second half of the year, additional cuts in policy rates and measures taken jointly by the Central Bank and the Ministry of Finance to contain the pressures on the currency resulted in a slight loosening of monetary conditions – which nevertheless remain tight by historic standards. A more appropriate easing of monetary conditions cannot be achieved by monetary instruments alone, but primarily requires a

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rebalancing of the macroeconomic policy mix with fiscal consolidation based on expenditure cuts.

Fiscal policy loosened massively in the electoral year 2002, with an additional fiscal impulse amounting to 1.7 per cent of GDP. This stimulus has played a key role in preserving growth but came at a very high cost. The fiscal stance is now far from the EU and EMU fiscal norms that the Czech Republic needs to begin to converge to, and room for countercyclical fiscal action has practically disappeared.

A radical fiscal reform is indispensable, not only to balance the general government fiscal position over the business cycle, but also to create further room for pro-growth tax cuts, notably of non-wage labour costs, which are necessary to stimulate the economy's growth potential. On the other hand, there are forthcoming pressures from the pension and health systems which will inflate the fiscal claims of social transfers in the coming years. An overhaul in the fiscal system, including adjustments in mandatory transfers, is the most urgent task of economic policy.

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III. Making high quality health care fiscally sustainable

The responsibility of the state to provide free, universally accessible and high quality health care for the entire population enjoys an even higher social and political consensus than observed in other OECD countries. A dense network of general practitioners, hospital and ambulatory services, maternity care and generous distribution of drugs and medical aids, all funded by public resources, provides wide health coverage. This has helped to achieve a remarkable improvement in the health status of the population since the early years of transition, at a pace unmatched in the region with the exception of Slovenia. However, cost pressures generated by the system threaten its sustainability. Policymakers' understandable efforts to make state-of-the-art medical technologies accessible on a universal basis, the future impact of the ageing of the population on demand for services (and its structure), and pressure from health professionals and pharmaceutical companies to align their wages and prices with those in Western Europe are the main forces threatening the fiscal stability of the system.

As regards fiscal sustainability, the Czech government is facing two concrete policy issues: 1) how to contain costs by making the large publicly funded health network more cost-efficient[50] and more aligned with medical needs; and 2) how to increase the scope for private funding without undermining equity of access to medically necessary services, and in order to allow the supply of additional health services according to society's needs outside public budget constraints.[51] The dividend of effective reforms in these areas is likely to be considerable. On the one hand it can be expected that these reforms will stabilise the fiscal pressures of the health system and on the other hand more private sector participation will allow a better use of available equipment and human capital and increase consumer satisfaction through more diversity.

The chapter will first review the health performance of the Czech population and the resources engaged for this purpose. It then identifies the pressures, which threaten longer-term sustainability, including the demographic trends, changing service demands, new medical and pharmaceutical technologies, and convergence of professional salaries and drug prices with Western European levels. After surveying the many recent – but rather piecemeal – reform attempts, the concluding

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section will examine broad reform strategies. One such strategy could concentrate public funding on necessary services, effectively enforce performance-based payments for care providers where this is feasible, help rationalise the structure of supply and liberalise private markets for complementary services (Box 10).

A well performing health care system with large resource requirements

Generally satisfactory health outcomes…

The health status of the Czech population has improved considerably over the decade of transition. While a deterioration in health status characterised most Central and Eastern European countries in the early years of that decade, health outcomes in the Czech Republic improved even faster than in the past. Consequently, it became one of the best performers in the region in most areas, just after the smaller and wealthier Slovenia. Most notably, the reduction of mortality from circulatory diseases was particularly marked, thanks to improved treatments and medication (Figure 16).

Authorities focus on EU and OECD benchmarks to gauge progress in the health system, as a matter of real convergence with advanced countries. Outcomes in many areas have indeed approached EU and OECD averages. In certain areas the country now does even better than most EU and OECD counterparts – notably in maternity and childcare. A strong surveillance and prevention network has led to an improvement of indicators concerning infant mortality, maternal mortality and underweight birth to internationally low levels (Figure 17). In contrast to many other countries, regional differences in health status remain minimal.[52]

However, certain serious inherited weaknesses in health outcomes have not shown improvement during the past decade. The incidence rate of cancers is most worrisome, particularly lung and intestinal cancers are major causes of mortality.[53] Certain new problems have also emerged and diabetes, obesity and psychological depression cases have risen above OECD trends (Figure 18). These may have been related to the structural changes over the transition period.

… with large resources engaged in health care

Czech Republic has inherited, from the pre-transition era, large human and physical resources in the health care system. These resources were not used efficiently – capacity utilisation was low, co-ordination of care was weak, while much equipment was technically obsolete – *i.e.* in large quantities rather than in best uses. At the time transition began, there were more physicians, more in-patient care beds, more acute care beds, more physician visits per capita than on average of OECD countries. Despite some rationalisation through the transition period, a dense network of care facilities has been preserved (Figure 19). Unlike in other countries in the region, no blunt rationing and across-the-board cuts were

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Figure 16. **The health status in Czech Republic relative to EU accession countries, 1985 and 2000**[5]

POSITION	1	2	3	4	5	6	7	8	9	10	Czech Republic	Accession country average	Minimum[1]	Maximum[2]
Life expectancy at birth (years)		←									**75.2**	72.7	70.6	75.8
Male versus female difference in life expectancy at birth (years)		←									**6.9**	8.6	6.6	11.2
Infant mortality rate per 1 000 live births	←										**4.1**	9.4	4.1	18.6
Maternal mortality rate from all causes per 100 000 live births[3]			→								**7.4**	17.6	6.6	38.3
SDR[4] from cardiovascular diseases, age 0-64 years		←									**85.7**	126.1	61.1	176.5
SDR from ischaemic heart disease, age 0-64 years		←									**44.2**	58.0	25.3	88.0
SDR from cerebrovascular disease, age 0-64 years			←								**16.3**	29.8	14.3	48.2
SDR from cancer, age 0-64 years								←			**107.0**	104.1	84.9	143.6
SDR from trachea/bronchus/lung cancer, age 0-64 years								←			**26.3**	24.0	17.8	41.3
SDR from cancer of the cervix among females aged 0-64 years		←									**4.3**	6.4	3.3	12.1
SDR from breast cancer among females aged 0-64 years		←									**14.7**	17.4	14.0	24.3
SDR from external causes of injury and poisoning			←								**62.3**	90.3	52.4	152.5
SDR from motor vehicle traffic accidents		→									**12.5**	15.1	9.8	25.8
SDR from suicide and self-inflicted injury			←								**14.8**	22.9	12.4	44.3

← Improvement in health status between 1985 and 2000

Note: The following candidate countries for the accession to the European Union were used as reference countries: Czech Republic, Bulgaria, Estonia, Hungary, Latvia, Lithuania, Poland, Romania, Slovakia and Slovenia.
1. Lowest value observed among ten reference countries.
2. Highest value observed among ten reference countries.
3. Three-year averages.
4. SDR: standardized death rate.
5. Maternal mortality 1998-2000, data for Slovenia in 1999.

Source: Institute of Statistics, Ministry of Health; World Health Organisation.

imposed on the system. Some elimination of redundant resources has occurred but additional investment has also taken place, often related to the introduction of more modern technologies on a more comprehensive basis. Finally, the use of modern pharmaceuticals became much more widespread (Figure 20).

... whose use was intensified by transition reforms

The Czech Republic was the first transition country to overhaul its health care institutions. This originated from a widely shared perception of poor outcomes despite the high level of public resources invested in this area and

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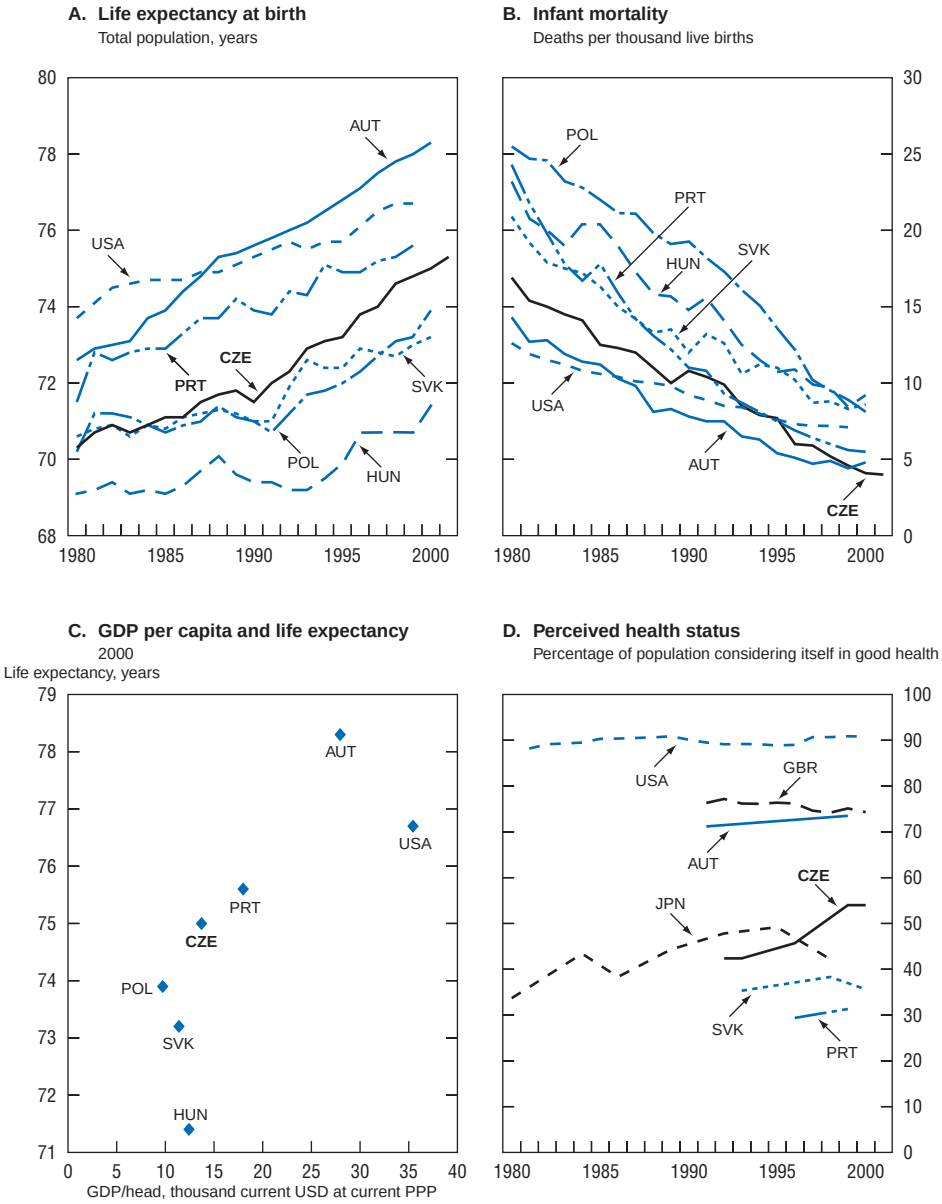
Figure 17. **The Czech Republic has been catching-up, and more, with OECD countries**



Source: OECD Health Data 2002 4th edition.

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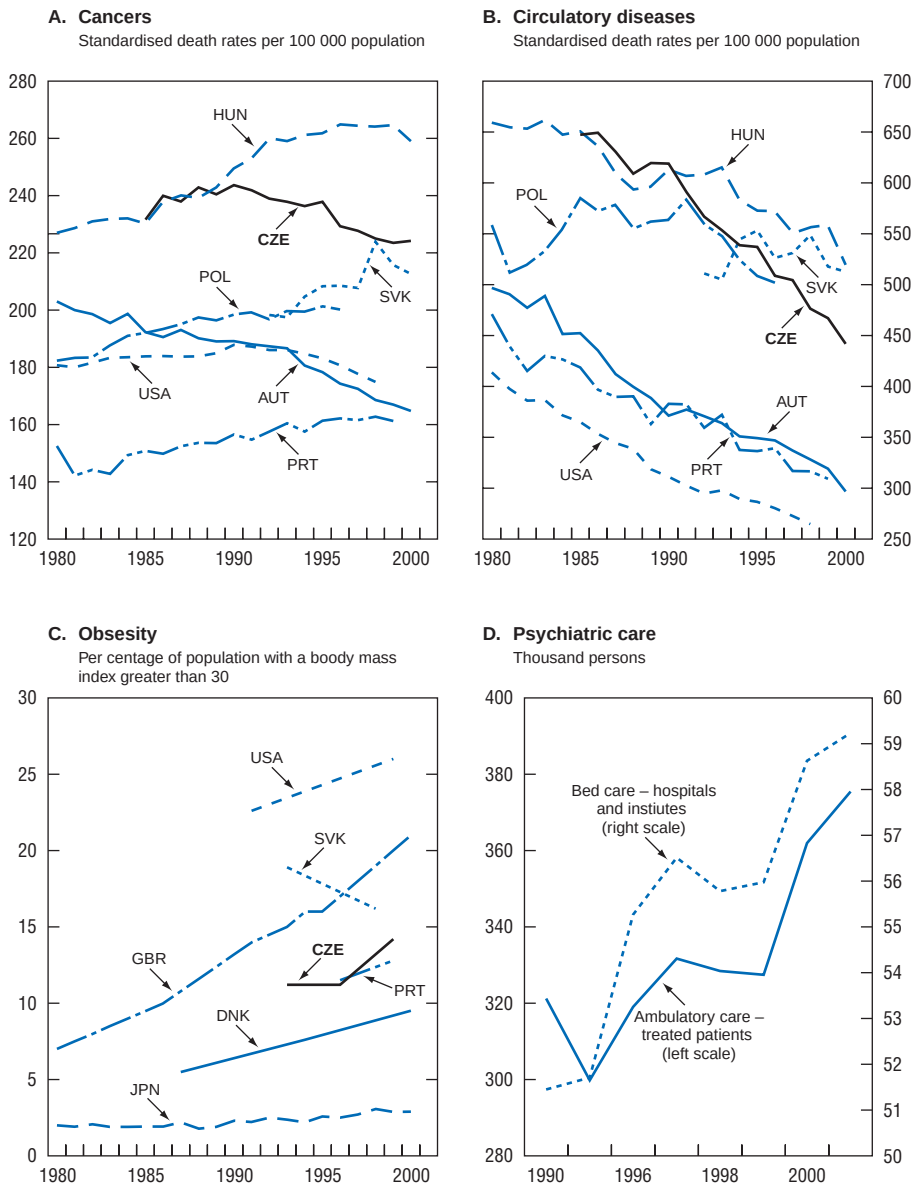
Figure 18. **Serious problems remain**



Source: OECD Health Data 2002 4th edition; Ministry of Health.

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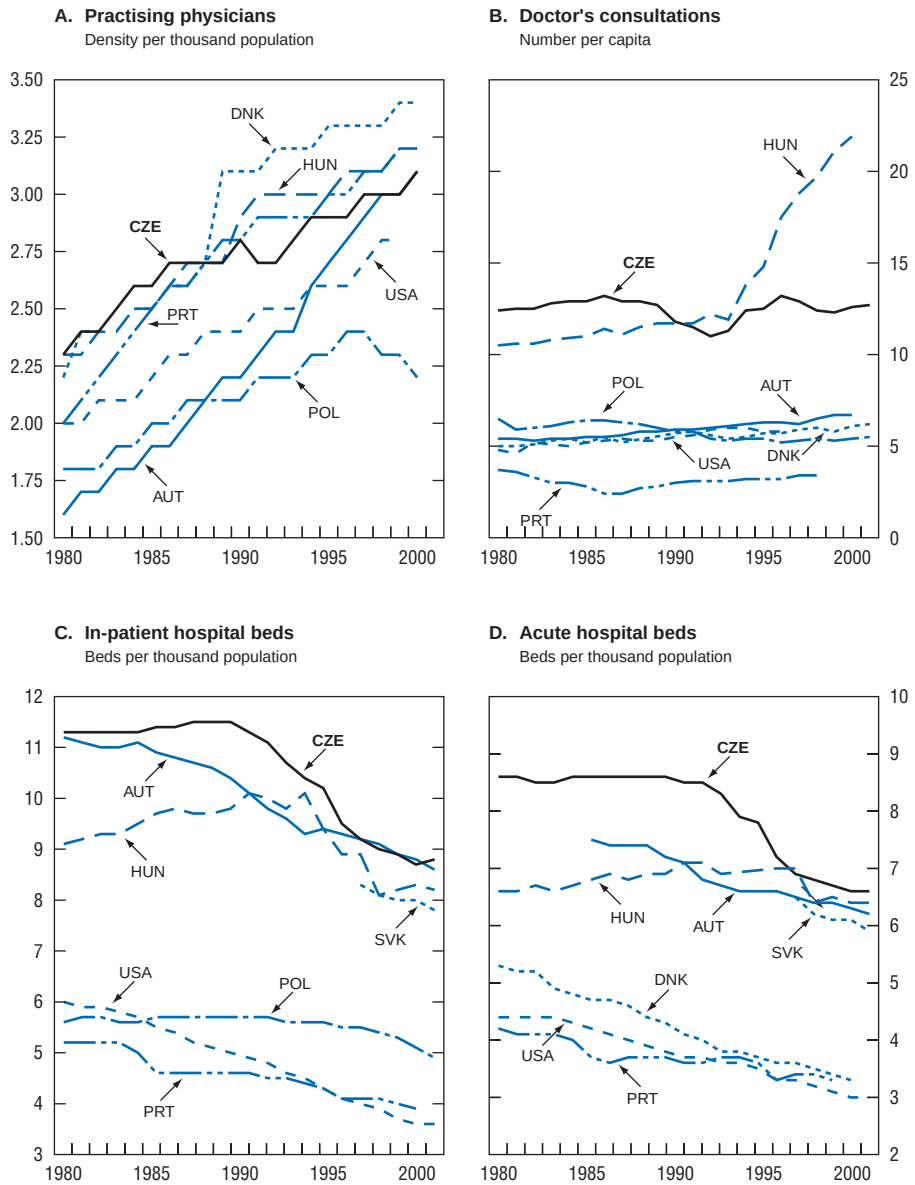
Figure 19. **The health network was rationalised through transition but remains dense**



Source: OECD Health Data 2002 4th edition.

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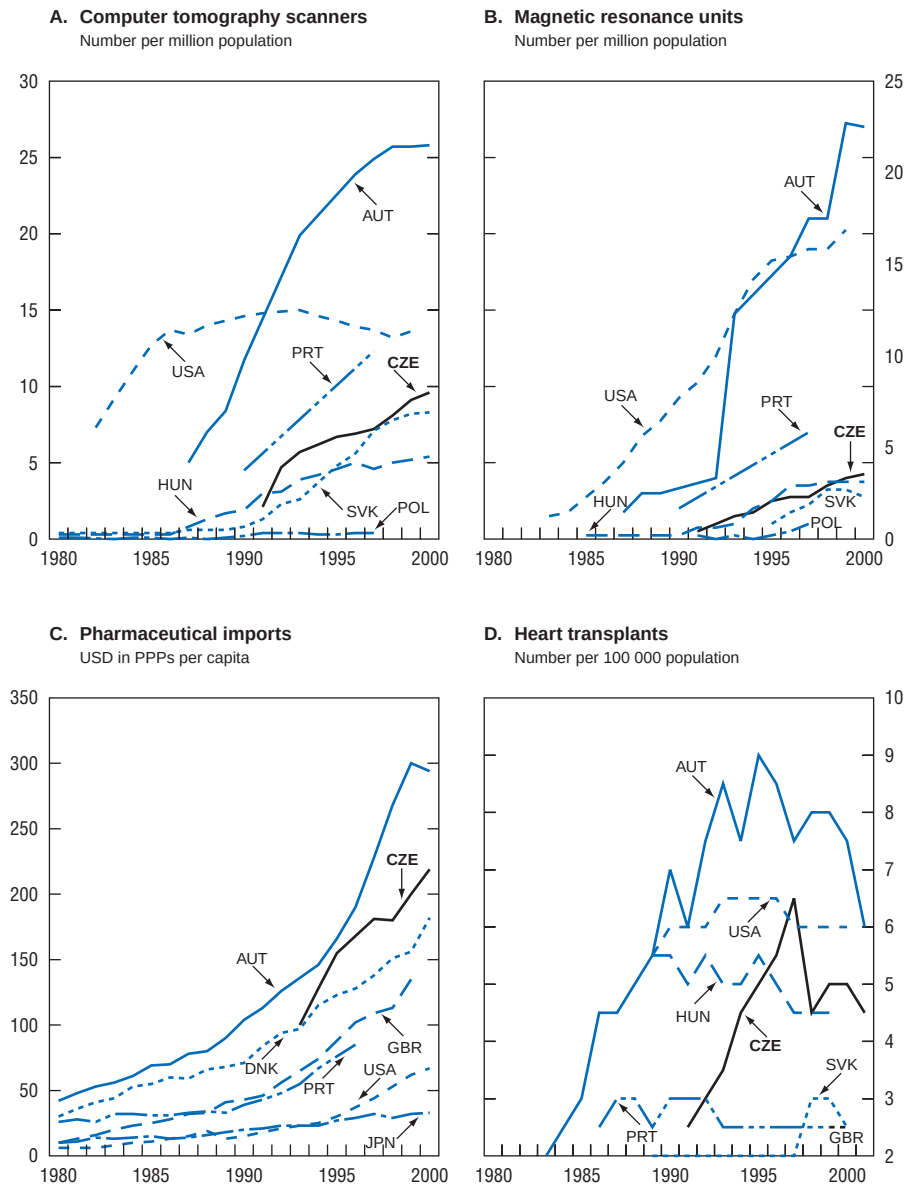
Figure 20. **Modern technologies have spread in the system**



Source: OECD Health Data 2002 4th edition.

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because of the important role of medical professions in reform politics. In the light of widespread public support for "equal and high quality care for all" principles,[54] the early transition reforms targeted the emancipation of the health care system from state control and aimed at independent social insurance, pluralistic supply and competition, and free consumer choice (Box 6).

The resulting increase in competition in health insurance and the impact of free choice by individuals for both their insurers and health-care providers led to improved quality and reliability of services. Physicians, hospitals and pharmaceutical companies all responded to these incentives. The impact of competition was more visible in the large urban areas, where there were more alternative suppliers and where the more educated and demanding part of the population lived. This expansion of the health sector in the early part of the transition period may to some extent explain the improvement of health outcomes unique to the Czech Republic.[55]

There was a downside to this early transformation of the health care sector, however, in the unsustainable fiscal consequences. Two major and interrelated problems arose: *i*) there was literally an explosion in the consumption of services and pharmaceuticals, lifting the share of health expenditures in GDP from 5.4 to 7.2 per cent in one year, from 1992 to 1993; and *ii*) the health insurance sector, where competition on premia and benefits surged and competing funds proliferated to 27, could not match the increased expenditure with revenues and multiple bankruptcies occurred. Prudential regulation to limit such developments was largely absent and there was a large domino effect of payment arrears diffused to care providers – physicians, hospitals and drug producers.[56] Large equipment and investment programmes nevertheless continued, due to capacity- and technology-based rivalry between decentralised hospitals. This expansion was financed not only by the government but also through private credits and international grants.

Policymakers had to react promptly, as they were also exposed to the other fiscal strains of transition, and had to rapidly stabilise and consolidate health care costs. Instead of having recourse to pure rationing and making entitlements uncertain, they largely introduced more transparent design changes. New measures rolled back certain of the earlier liberalisation measures (Box 7).

The present health care system reflects the effect of the recent restrictions which were superimposed on the earlier more radical reforms. It is formally competitive but *de facto* a centrally-managed social insurance system which finances, partly according to patients' choices and demand for services, and partly through fixed annual budgets maintaining infrastructures, an extensive care network. Independent physicians (capitated general practitioners in urban areas and ambulatory specialists) and drugs and medical aids are financed in general according to service flows,[57] while the hospital infrastructure (including the accompanying physician, nursing, and other technical infrastructure) and general

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Box 6. Early liberalisation reforms

The General Health Insurance Law and the Law on General Health Insurance Fund of 1991 implemented two major transformations:

i) ***Full separation of funding from supply***. Financial resources for the health care system are collected and allocated by compulsory health insurance, administered by competing health insurance funds independent from government. These are not-for-profit bodies with open entry and with at least 50 000 members. New funds can be created at the same conditions. Contributions are set by government regulation and are fixed at 13.5 per cent of the calculation basis. For employees the calculation basis is gross wage under a cap, paid two-thirds by employers and one-third by employees. For self-employed persons the calculation basis is 35 per cent of annual net income (the difference between reported income and expenditures) with a net income floor equal to 80 per cent of the minimum wage. Since a large proportion of these persons do not report their income accurately, they often only pay the minimum contribution. The state budget pays the premiums for persons who are not economically active (children, students, retired, mothers on maternity leave, unemployed etc.). A portion of the premia collected is redistributed between funds but this risk adjustment only takes the age composition of their members into account. The main fund, the General Health Insurance, VZP, insures 70 per cent of the population, including those insured on behalf of the government. VZP has a special status as the lead negotiator with providers and the manager of a central information system on healthcare facilities, and its provisional accounts are annexed to the yearly budget law. Health insurance funds finance all care providers directly, the physician and hospital services as well as the pharmaceutical and medical products. Fees for services are negotiated between insurers and providers and the government regulates pharmaceutical prices. Payment mechanisms used in such financing changed several times after the first introduction of reforms in 1991, in order to contain and preserve the financial balances of the social insurance system. Health insurance funds present their annual reports and plans including a financial section to the government and Parliament. The government also intervenes by funding the capital investments of hospitals, settling any conflicts in the fee negotiations between insurers and providers and by bailing-out health insurance funds in exceptional circumstances (including bankruptcies).* The flow of funding generally follows the flow of services, patients selecting freely their care providers and providers selecting the appropriate medical products on behalf of their patients.

ii) ***Decentralisation and pluralism in service supply***. The main method for decentralising health care supply was privatisation. Privatisation explains the phenomenal increase in the number of health service units from 142 state-owned facilities in 1989 to 24 500 by 1998. The vast majority of *primary* care providers are now private and they most often rent public buildings, offices and surgeries (full private ownership of facilities remains rare).

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Box 6. **Early liberalisation reforms** (*cont.*)

Sixty per cent of the more than 37 000 physicians work in private practices, and include more than 6 000 general practitioners, around 6 000 dentists and more than 4 000 ambulatory specialists. Thirteen thousand paramedical personnel are also employed in independent ambulatory practices. The more than 50 spas, pharmaceutical companies and almost all of the 1 500 pharmacies have also been privatised. In *secondary* care, a number of polyclinics and some small hospitals have been privatised, but the bulk of hospital capacity, *i.e.* regional and specialised hospitals, continues to be owned by the government. After the break-up of the regional health institutes, which previously owned the state hospitals, ownership of smaller facilities was transferred to districts and municipalities. A total of 215 hospitals are equipped with 70 000 beds, employ 14 500 physicians and 56 000 paramedical personnel, including large outpatient wards with 5 600 ambulatory specialists and 26 300 paramedical personnel. There are also approximately 500 physicians and 4 000 paramedical personnel in ambulatory facilities that belong to enterprises and other institutions. As reform laws and policies were not clear about the future of hospital ownership, and because of the operational, pricing and cost constraints imposed on hospital management, private investors expressed little interest in hospital acquisitions. The governance of hospitals was only tackled in a subsequent and ongoing reform (see the main text). Secondary and tertiary hospitals, most of which require the government to fund deficits, have ended up as decentralised public units.

* The state budget also may, in the event of serious emergency, help VZP by lending up to 50 per cent of its deficit.

Source: European Observatory on Health Care Systems (2000), Czech Association for Health Services Research (1998).

practitioners' facilities in rural areas are generally funded in terms of fixed costs. Physicians' practices are private but hospital facilities have remained public with no gatekeeper controlling access.

The profile of health expenditure growth reflects this institutional history, with certain specific characteristics:

- The system is less expensive than the amount of resources it employs would lead one to expect. This is largely due to low wages (relative to other domestic sectors) and relatively low pharmaceutical prices;
- Expenditures are almost fully publicly funded through insurance funds, especially if “gratuities” (common in areas where care capacities

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Box 7. The second wave of consolidation

The 1994 and 1997 Amendments to the General Health Insurance Law and to the Law on the General Health Insurance Fund have maintained the system, formally, as competitive social insurance. Free choice by patients of their providers has also been preserved, but new measures considerably restricted and reshaped service supply and funding principles:

i) ***From fees-for-service* (FFS) *to budgetary caps***. The 1997 legislation defined more clearly the insurance funds' empowerment to impose volume limits in the contracts with providers and permitted payment mechanisms other than FFS. This was the most radical transformation in health care funding since the establishment of the health insurance system. For *general practitioners* capitation fees per patient were introduced. These were differentiated into 18 groups according to the age of the registered citizens. The number of patients per physician was limited and exceeding that limit meant lower physician revenues per patient. For the services of *ambulatory specialists*, lump sum payments were introduced. Full payment depended on the provision of a service volume just equal to 70 per cent of the volume provided in 1996.[1] However, in January 1998, this system of reimbursement was changed again and an FFS mechanism was re-introduced, under certain funding limits.[2] Most *hospitals* continued to be funded by yearly negotiated aggregate budgets, in proportion to their bed capacities and medical speciality mix (each health insurance fund participating in a pro rata of the number of its enrolees). In addition to changes in payment mechanisms, the largest fund VZP was encouraged to restrict and when necessary discontinue contracts with hospitals, in order to reduce excess capacity. However, these efforts to rationalise capacity via the rationing of insurance financing had only limited effects and the hospital sector in particular, representing half of the total health bill, came out basically unscathed.[3] Overall, the 1997 changes have preserved the freedom of patients to select their providers, but transferred a portion of the financial risks to suppliers. This entailed a sudden 20 per cent reduction in service volumes. This was particularly evident in physician visits and hospital admissions in 1998, the year following these changes. No apparent negative impact on health outcomes resulted from this reduction in volumes, revealing a certain amount of fictitious supply. Suppliers have since begun to focus on their lump-sum and quasi-lump-sum fee levels, which are negotiated between insurers and providers under government arbitrage.

ii) ***Consolidation and homogenisation of the basic insurance package***. The universal coverage is defined in wide and general terms and has been kept uniform across funds since 1997. Benefits may differ slightly with respect to eligibility and reimbursement of certain pharmaceutical products, but the coverage of the basic insurance package is standard. No insurance fund can offer complementary services. The premia collected is also regulated and there is no fee competition between funds. A limited amount of competition on the basis of service remains, *e.g.* on payment delays to providers

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Box 7. **The second wave of consolidation** (*cont.*)

and information to enrolees on the performance of suppliers. Citizens can change funds once a year. This fragmented management of a uniform package generates non-negligible administrative costs, representing around 3 per cent of total health expenditures.

Following these second-generation changes, competition in the insurance sector became highly constrained. VZP, the largest fund, has "inherited" high-cost and low-revenue enrolees, with very rough premia compensation (with only 60 per cent of the premia collected centralised and redistributed according to the age composition of each fund's membership, a risk adjustment which is inadequate to compensate for the high risk structure of its members). On the other hand VZP has the advantage of size, permitting economies of scale in administration. Funds are entitled to the same contract conditions negotiated by VZP with providers – eliminating rivalry on contract features. No insurance fund is for-profit and this tempers competitive incentives and commercial dynamism in the sector. Nonetheless, VZP is loosing enrolees at a regular pace, as cream skimming occurs and certain clients fear future deterioration in service quality as a result of the high-risk structure of this fund. It lost 280 000 members in 2000, representing 4 per cent of its enrolee base.

1. This leeway reflected the Ministry of Health inquiries according to which approximately 30 per cent of the total volume of services was not necessary (they indeed reflected a "hunt for FFS reimbursements") and could be dispensed with.
2. Funding limits concerned the total working time and volume of services reported by the physicians, and their pharmaceutical prescriptions and specialist referrals. The monetary point value of reimbursements was made dependent on the number of hours worked, at a decreasing rate. Ambulatory specialists working up to 9 hours per day earned CZK 1 per point, while those working 9 to 12 hours earned CZK 0.8.
3. Certain hospitals successfully sued the insurance funds attempting to discontinue the contracts, arguing (convincingly in the eyes of the judiciary) that funds have a dominant position in the health care markets and are abusing this position.

are in short supply) are not taken into account. Formal out-of-pocket payments are of limited scope, as all services are reimbursable and very few complementary services are commercialised on the market;[58] and

– Health expenditures have grown at a smoother pace than the institutional turmoil might have implied. Somewhat surprisingly, the Czech Republic demonstrates the lowest annual variance of its health expenditures as a percentage of GDP among all OECD countries since 1995 (Figure 21, Table 14 and Box 8).

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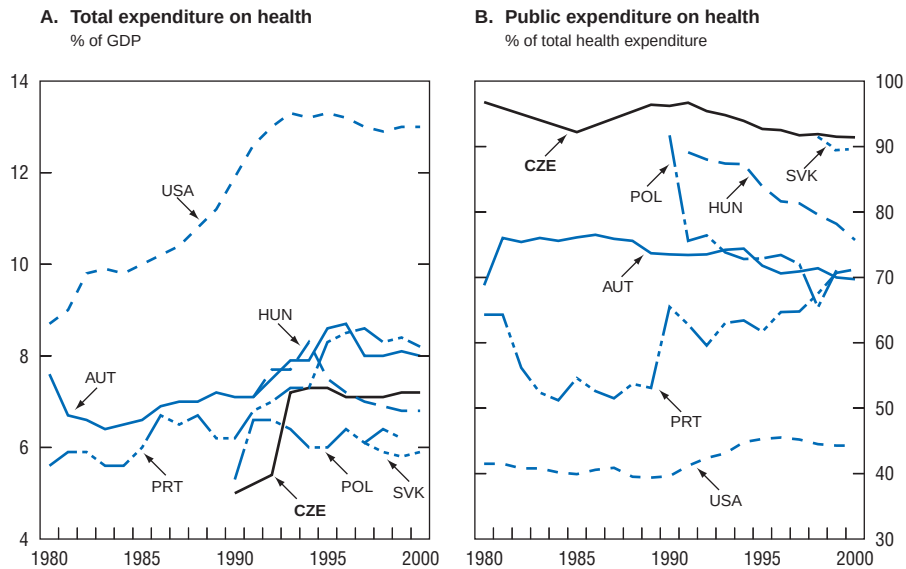
Figure 21. **The smooth growth of health expenditures**



Source: OECD Health Data 2002 4th edition.

The fiscal sustainability of the system is seriously threatened

The financial balances of the Czech health care system have been preserved partly by the reforms just outlined, but also to a considerable extent by revenue increases. However, persistent past pressures and important new challenges are threatening its fiscal sustainability. Further social security contribution rate increases do not seem to be opportune in the face of the already large tax wedges and associated labour market effects (see Chapter IV). It is therefore necessary to address the current and future cost pressures directly. This makes it necessary to eliminate over-capacity, remove incentives for over-consumption of health services, strengthen the primary care function and focus on medical necessity when defining reimbursable services especially considering the steady stream of new treatment becoming available.

Large excess capacity

Significant excess capacity persists today in publicly-funded facilities. The Czech economy might possibly make full use of the existing health care capacity in

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Table 14. **Revenues and expenditures of the health insurance sector**

	1998	1999	2000	2001 Preliminary	2002 Projected	2003	1998	1999	2000	2001	2002 Preliminary	2003 Projected
	CZK billion						In per cent of GDP					
Total revenue and grants	104.8	112.5	117.7	132.3	137.8	145.8	5.7	5.9	5.9	6.1	6.1	6.1
Health contributions[1]	80.0	83.4	88.7	98.1	105.7	111.4	4.4	4.4	4.5	4.7	4.7	4.6
Transfers from governments	23.4	27.4	27.3	29.0	30.7	32.6	1.3	1.4	1.4	1.3	1.4	1.4
Other	3.0	2.0	2.0	5.2	1.3	1.7	0.1	0.1	0.1	0.0	0.1	0.1
Total expenditure	107.5	110.3	116.1	130.8	137.1	145.8	5.8	5.8	5.8	6.1[2]	6.0[2]	6.2[2]
Payment of claims	101.5	106.4	111.5	126.6	131.9	139.7	5.5	5.6	5.6	5.9	5.8	5.8
Other expenditures	6.0	3.9	4.6	4.2	5.3	6.1	0.3	0.2	0.2	0.2	0.2	0.2
Overall balance	–1.1	2.5	1.9	1.4	0.6	0.0	–0.1	0.1	0.1	0.1	0.0	0.0

1. In 2001 the CZK 4.2 billion transfer (delinquent health contributions) from CKA to VZP is included.
2. Actual cash payments disbursed and planned for disbursement. These figures do not include the accumulation of arrears in the hospital and pharmaceutical system which appear to have grown in 2001-02. Accruals-based spending figures could be higher for these years.

Source: Ministry of Finance.

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Box 8. How was expenditure growth stabilised?

The smoothness of expenditure growth in spite of institutional changes arises from two possible factors:

i) A first hypothesis is that the health system's expenditures are largely shaped by the amount of installed capacity (the existing network of physicians and hospital capacity). Resources already committed in the system tend to earn a trend income, irrespective of policy reforms. Institutional changes may have short term effects but do not alter the long-term trend. Volume and price outcomes through the transition decade seem indeed to validate this explanation. Service volumes (output and consumption) grew rapidly when prices were tightly regulated (notably in 1992-93). When the health sector's revenues were made less dependent on the volumes supplied (by changes in payment mechanisms), output has decreased and health care providers focused their claims on regulated fees. They have defended the trend growth of their incomes, even if the absolute level of revenues remained low in international comparison.

ii) The second hypothesis is that the government in fact controls expenditures, even if funding is formally provided by competing and independent health insurance funds. The government achieves its spending objectives as the ultimate regulator of the volume and price of the services provided. It supervises the fee negotiations between funding institutions and providers *according to public interest* (as the law defines it) and intervenes when outcomes differ from its outlook. It approves the annual budget of the General Health Insurance Fund, which is annexed to the state budget. More recently, the government has also enforced lump sum payment mechanisms which are less responsive to volume or price changes. These new payment mechanisms included capitations in primary care, flat fees for in-patient treatments, and further regulatory mechanisms in specialist out-patient care. Investments are handled as a residual item, helping smooth total expenditures.

Both stabilisation factors seem to have operated in the Czech Republic. The bargaining outcomes between providers (physicians, hospitals and pharmaceutical companies) and funding institutions (social insurance funds and government) have actually maintained expenditures on a regular path. This "equilibrium rate of growth" was not granted *ex ante* but was obtained *ex post*, amid institutional turmoil.

the medium term, including of its human resources, if private funding sources can leverage the existing public financing.[59] However, for the purposes of the *publicly funded capacity only*, *i.e.* in order to produce the basic services currently guaranteed by the social insurance system, the existence of over-capacity is evident. It is most severe in the large urban areas, notably in Prague, and concerns primarily hospital and ambulatory specialist services.

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A major effort to gauge such excess capacity was undertaken in 1997 by the Ministry of Health, in co-operation with the health insurance funds, to determine "capacity norms" in hospitals and physician practices. Very detailed knowledge was mobilised on demand and supply behaviour across regions, taking account of their demographic trends, health status and installed capacities. The objective was to specify the capacity maintenance responsibilities of the health insurance sector in different medical specialities. Results from this inquiry were neither evaluated systematically, nor published and widely debated however, because they were politically sensitive and widely challenged. Findings of widespread excess capacity were nevertheless made public and recommended physician numbers (by speciality) and hospital beds (by functions) per 100 000 population filtered through health policy debates in the following years.

This inquiry and its methodological approach have been reactivated for the purposes of the ongoing territorial administration reform, which involves the transfer of hospital facilities to regional authorities (see below), and of a new draft health act which will accompany it. On the occasion of this transfer, the Ministry of Health, no longer owning the hospital capacity but in charge of its optimal dimensioning and funding, re-assessed the existing facilities and the needs of the social insurance system. Table 15 summarises a rough estimate by the OECD Secretariat of the excess capacity diagnosis implied by recent Ministry of Health analyses and recommendations in this area. It was derived by comparing the most recent “norm capacity” assessment by the Ministry against currently operating capacities across various medical specialisation.

Table 15. **Excess capacity calculated from Draft Health Act**

Specialised bed capacity per medical specialty	Recommended capacity per 1 000 inhabitants	Total recommended capacity	Actual capacity in 2000	Excess capacity in 2000	Excess capacity rate (per cent)
Internal medicine	1.12	11 500	13 499	1 999	15
Contagious diseases	0.2	2 054	2 023	–31	–2
Neurology	0.28	2 875	3 495	620	18
Pediatrics	0.55	5 647	4 918	–729	–15
Dermatology	0.1	1 027	1 361	334	25
Surgery	0.85	8 728	10 732	2 004	19
Gynecology	0.6	6 161	6 731	570	8
ORL	0.13	1 335	1 850	515	28
Ophthalmology	0.13	1 335	1 503	168	11
Urology	0.13	1 335	1 846	511	28
Anesthesiology	0.07	719	685	–34	–5
Subtotal specialised beds		**44 871**	**51 377**	**6 506**	**13**

Source: OECD, on the basis of draft health act assumptions.

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Table 16. **Regional benchmarks versus actual capacity**

	Benchmark per 1000 inhabitants	Total need according to benchmark	Actual capacity	Excess capacity	Rate of excess capacity (per cent)
Physician numbers	30	30 780	38 330	7 550	20
Health personnel numbers	200	205 200	230 000	24 800	11
Total bed numbers	92	94 392	112 000	17 608	16
			Prague region		
Physician numbers		3 480	7 355	3 875	53
Health personnel numbers		23 200	38 767	15 567	40
Total bed numbers		10 672	12 964	2 292	18

Source: OECD, Institute of Health.

Other evidence of excess capacity, of comparable magnitude, arises from the examination of health care capacity installed in different regions. It is admitted today that all regions have an adequate and sufficient network of health care resources and fulfil without any shortcomings the insurance system's basic obligations.[60] Regions with relatively lower health care resources per capita could therefore be seen as national capacity benchmarks for the others. From this standpoint[61] an approximation of excess capacity present through the territory can be derived. Notably, the Prague region appears as endowed with well above-average physical and human health care capacity.[62] The exercise is again indicative only but reveals non-negligible under-utilised resources in the system (Table 16).

Over-consumption

Excess consumption of health services, pharmaceutical products and medical aids is a classical distortion in public health insurance, arising from the asymmetry of information concerning the exact medical necessities between service providers on the one hand, and patients and their insurers on the other hand. Such over-consumption is difficult to measure rigorously, but currently appears to be less widespread in the Czech Republic, as a result of changes in provider payment mechanisms which partially lowered suppliers' incentives to entertain such behaviour. The early 20-30 per cent reduction in the number of physicians' consultations and hospital admissions when the “fee for service” (FFS) system was abandoned in 1995, signalled a reduction in excessive consumption. It must be noted however that when payments are based on installed capacity and guaranteed service coverage, such as in hospital and general practitioner services, excess capacity and over-consumption become blurred. Beyond this effect, specific superfluous consumption seems to be confined today to a number of special

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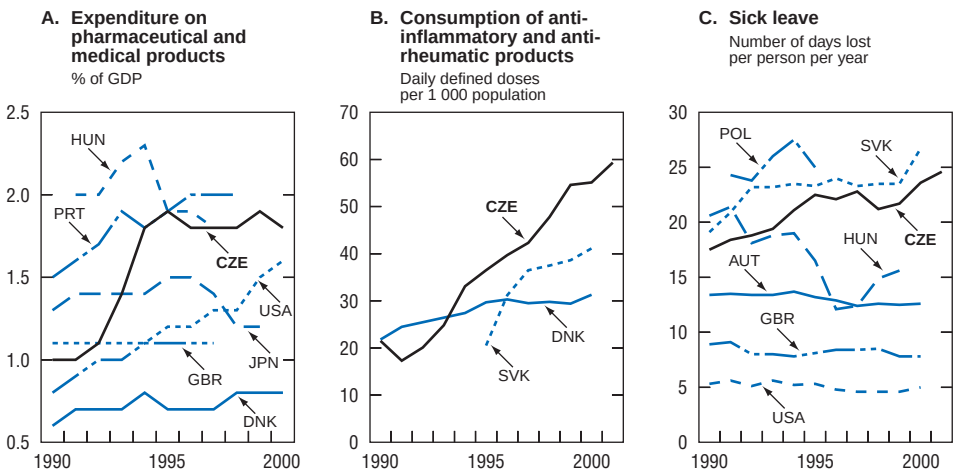
areas; outpatient specialist visits, drug prescriptions and sick leave consultations seem to be the most important of these (Figure 22 and Box 9).

An excessive number of consultations with ambulatory specialists is a chief concern for policymakers and insurance funds. These services have not benefited from the decrease in consumption observed in other large demand items such as generalist visits and hospital admissions. On the contrary, the cost of ambulatory care picked up in the second part of the last decade as a result of changes in payment mechanisms. When an earlier switch from fee-for-service (FFS) to capitation payments for ambulatory specialists was reversed in 1998, supplier incentives for generating additional visits were revived again (the pick-up in consumption is contemporaneous to this change). There are also signs of redundant tests in hospital laboratories where spirals of mutual referrals between ambulatory specialists seem to be in motion. As general practitioners play no gate-keeping role in these referrals, and patients can visit specialists and take tests as frequently as they wish without being able to judge the real needs, the frequency of specialist visits reaches one of the highest rates among OECD countries.

An area which suffers obvious demand distortions, and generates a large number of unnecessary medical visits, drug consumption and other social costs, is the sick leave insurance scheme. The documentation and management of leaves

Figure 22. **Over-consumption of drugs and sick leave**



Source: OECD Health Data 2002 4th edition.

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Box 9. Pharmaceutical reimbursements: a modern but costly system

The Czech Republic is characterised by a very high level of drug consumption, the share of pharmaceuticals in total health expenditures, at 25 per cent, being the highest among OECD countries. It compares with an OECD average of approximately 15 per cent. This is only partly explained by the relatively higher prices of drugs in comparison to other health services.[1] A more physical measurement through "daily defined doses" (DDDs) also confirms drug consumption far above average. A generous list of pharmaceuticals fully reimbursed by health insurance may encourage such behaviour. The inclusion in the reimbursement list of many over-the-counter (OTC) drugs probably fuels further the demand for drugs.

At least one reference product in each "therapeutic group" is fully reimbursed by health insurance. The prices of all drugs on the market are subject to maximum price regulation by the Ministry of Finance. A *categorisation committee* makes registration decisions according to a 1997 Law harmonised with EU legislation. The categorisation committee is an advisory board to the Ministry of Health and its task is to evaluate the clinical effectiveness of pharmaceuticals. New therapeutic groups can be created in order to allow new drugs to be reimbursed at a full rate following international technological developments. This open system has permitted the registration of the best internationally available products and drug imports have grown accordingly.

Generic pharmaceuticals are also widely utilised. The legal framework encourages the local reproduction of the generic substances in the international public domain. Reference drugs are selected when feasible from such substances.[2] National producers specialising in their supply have developed manufacturing facilities of recognised international quality.[3] Thanks to an encouraging legal framework, they are authorised to initiate tests and experiments on the still-patent-protected drug molecules (but which are close to patent expiration) without breaching the international intellectual property protection rules.[4] The share of generic products in total pharmaceutical consumption has therefore reached the sizeable proportion of 50 per cent of the total daily doses prescribed. This has tempered expenditures for pharmaceuticals somewhat.

Furthermore, year-on-year price adjustments for the small percentage of pharmaceuticals in the market reimbursement list have been very rigorous, and are effected at a discount over the consumer price index. This creates strong pressures on the producers of the well-established, traditional drugs, including the generics (the recent financial "squeeze" of which is largely recognised by all parties). Uneven price regulations for old and new drugs seem therefore to create a bias for new drug registrations and may explain the "paradox" of growing pharmaceutical costs, while pharmaceutical volume and price indexes remain stable.[5]

The functioning of the categorisation committee has been criticised as not being fully open to review and challenge by outsiders. Yet, its professional competence

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Box 9. **Pharmaceutical reimbursements: a modern but costly system** (*cont.*)

and responsiveness to international technological developments is generally recognised. Insurance funds solicit the right to participate and contribute to the deliberations of the committee. The categorisation committee co-operates with the Ministry of Health on evaluating the clinical effectiveness of pharmaceuticals with a view to reimbursement adjustments, in line with EU legislation.

1. At current exchange rates, drug prices gravitate around 60-70 per cent of international prices while other health service prices and fees are around 30-40 per cent.
2. As noted, this has not impeached the regular increase in the registration of innovative products following technical innovations by brand manufacturers.
3. Practically all Czech pharmaceutical producers have been granted international GMP standards which certify the technical quality of the production facilities and are rarely granted outside the advanced countries.
4. The Czech Republic has aligned itself with the so-called "Roche-Bolar" jurisprudence whereby generic producers are permitted to begin clinical and engineering research before a molecule falls in the public domain. However, they cannot initiate commercialisation before the original patent has expired.
5. Price indexes are based on old portfolios of drugs and do not include the more expensive new products.

of absence for health reasons is not under the control of the health insurance system, but is administered by a separate fund of the social-security administration, which grants extremely benevolent conditions for such leaves and replaces the lost worker incomes at generous rates, sometime exceeding 100 per cent.[63] Beneficiaries only need to receive a certificate of absence from a physician, frequently accompanied by superfluous drug prescriptions. General practitioners "competing" for capitations have no incentive to be tough with their clients. As leave certificates are issued to the social-security agency rather than the health insurance funds, checking dubious patient and physician behaviour is difficult.[64] The Czech Republic has therefore become the OECD country with the second highest incidence of sick leaves with the average absence period per worker having doubled from 12 to 25 days in the last decade – the operating period of this scheme.

Consequences of ageing

Since the mid-1990s, the birth rate in the Czech Republic has been the lowest in the OECD area and total population is shrinking by 0.02 per cent per year. Although the population is still younger than in Western European countries it is

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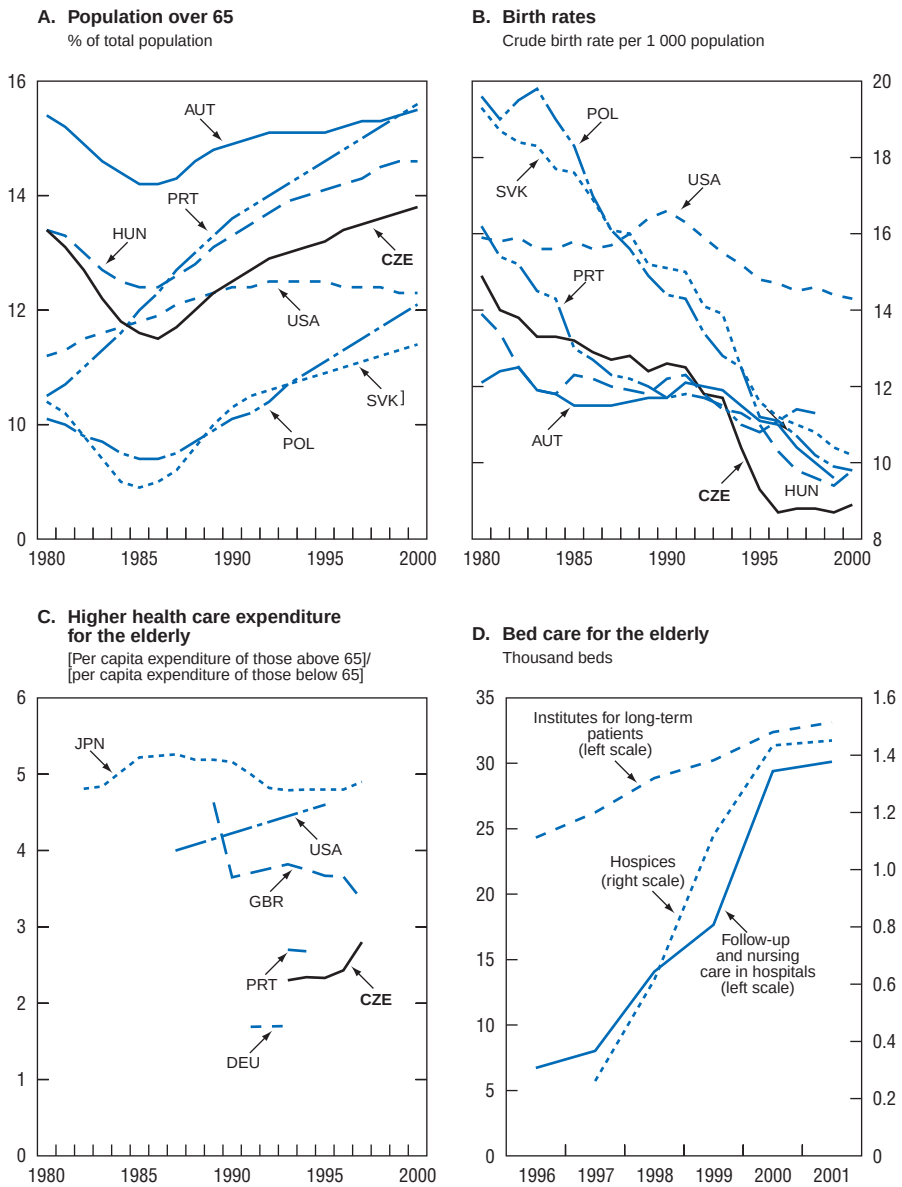
Figure 23. **Challenges of ageing**



Source: OECD Health Data 2002 4th edition; Ministry of Health.

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older than that of the more demographically dynamic countries. If these trends persist and are not offset by positive net immigration (the Czech government considers the possibility of an active immigration policy) there will be significant ageing of the population, and this will likely lead to increases in demand for health care services and changes in their composition (Figure 23).

Older cohorts are larger consumers of health care services, even if the difference in the Czech Republic is smaller than in other OECD countries.[65] Lower spending for elderly groups may have been due to the scarcity of long-term care and home care facilities. But as supply has risen, use of these care facilities has also increased over the past decade. In addition, older age groups are larger consumers of higher-cost drugs and are expected to contribute more than proportionally to future drug consumption. However, these expected developments may be partly offset by new care arrangements, some of which are being experimented with in the Czech Republic. Notably, private service agencies that are funded by municipalities and regularly catering to the medical and other needs of dependant old people (in co-operation with families) offer a low-cost form of care. Four hundred such agencies are reportedly in activity although some quality control issues remain to be addressed. Long-term nursing in hospital wards, including in expensive acute care beds, is nonetheless very widespread. Health insurance funds contest the "medical care" status of such services and contend that attendant costs should be funded from other social policy budgets and funds.[66] The government is currently elaborating an "integrated community care" strategy in co-operation with regional authorities, in order to sustain local services on an improved technical basis.[67] Such measures could provide further scope for reducing high-cost acute care beds.

Declining young cohorts add to the mismatch between demand and supply of health services. There is a dense network of child care and child support, including a Czech-specific network of "generalist paediatricians" funded by capitation payments. As the yearly number of births has declined by 5 000 since 1995, demand for paediatric, maternity and nursery services has faltered. It is not yet clear if services and expenditures dedicated to young cohorts will respond to the decline in demand, or if technical indivisibility or social obstacles will oppose adjustments.

New health technologies and the increasing scope for prevention require more efforts to assess medical need

While health status has improved, the Czech Republic has some way to go to meet society's expectations to attain the health status improvements and technological level of services available in the European Union countries. To reach such targets, which are "moving" and increasingly costly, policymakers will face further pressure on public finances if the principle of "free, equal and high quality

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health care for all" is maintained. In these circumstances, and to the extent they are also subject to budget constraints, policymakers will need to set priorities and find ways of reallocating available resources among existing and alternative new medical treatments.

A key policy issue concerns the balance between cure and prevention. On the one hand the government tries to make available the more advanced cure procedures, medical devices and pharmaceutical products, and mandate the health insurance funds to finance them,[68] on the other hand it also aims at more widespread and effective prevention, equally costly and technically demanding in many respects. The choice of the most effective prevention strategies is made more difficult by the wide range of competing claims in this area, and lack of common priorities and consensus among medical professions. The most prominent field of focus is the excessive incidence of malign neoplasm (cancers), which motivates intense efforts to enhance early detection. At the same time, the cost of screening tends to be high, because a large number of persons with a very low probability of having each disease needs to be tested.[69] Effective performance of these programmes also requires sophisticated resources. For instance, the successful completion of the mammography screening programme for breast cancer depends on the quality of the equipment stock and the "mammography reading" skills of physicians in this area – neither of them readily granted. Regular and concurrent increases in the costs and technical demands of cure and prevention strategies raise increasingly difficult priority-setting and arbitrage tasks.

Demand for complementary services

The average income level of the Czech population is on the rise, and the highly-skilled professionals' living standards approach middle-to-high income groups in Western Europe.[70] In contrast to households at the top end of the income distribution, who can afford medical treatment in commercial markets abroad, middle-to-higher income consumers seek more comfortable and diversified care in the local market.[71] If so allowed, for-fee complementary services may develop in order to respond to these demands. This sector could also help absorb the capacity which needs to be downsized in the public health sector. Long-term care for elderly is one of the areas where there is demand for such services.

In accordance with the international diversification of medical technologies, including comfort enhancing innovations in vision (certain types of eye surgery and advanced glasses and lenses), dental care (esthetical prostheses) and focused-to-purpose pharmaceuticals, but equally more convenient hotel-type boarding and catering facilities in hospitals, demand for differentiation becomes more pressing. Commercial innovation to address such differentiated demand is currently banned within the Czech Republic and as real incomes grow this may increasingly be seen as welfare reducing – particularly for those patients able to

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afford such complementary service but not to seek them abroad. In the future, authorities will need to distinguish between claims concerning the purely comfort and convenience aspects of services and those concerning the technical quality and efficacy of care – however difficult this distinction may be in practice.

Service supply structures are not well-adapted

The healthcare delivery system suffers organisational shortcomings when compared to international best practices. Blatantly redundant referrals and examinations, lack of co-ordination of care for persons with multiple diseases (the so-called multi-morbidity cases), and resulting quality shortcomings are recognised problems. The failures of the delivery system affect particularly the elderly, who are more numerous to suffer from chronic diseases and multi-morbidity. With the population ageing, these problems become more frequent and their impact increases.

The role, quality and organisation of General Practitioner (GP) practices can be improved.[72] Greater horizontal integration, in form of either group practices or contractual networks, would allow GPs to exploit economies of scale better, as practice equipment and staff can be shared between several physicians. Larger practices may also improve cost-effectiveness of care by broadening the range of services. For example, they could employ primary care nurses to deal with many routine aspects of care and offer off-hours urgent care as alternative to more expensive emergency rooms. Useful examples for such horizontal integration of primary care are found in several OECD countries but are missing in the Czech Republic.

Giving GPs a gatekeeper function would not only foster more rational utilisation of specialised and hospital care, but also ensure that patients get directed to the right providers and information gained is built into the continuity of care. Vertical integration of care in which GPs and specialists offer integrated services within multi-speciality group practices, or networks, is also an unknown form of organisation. This could improve care in particular for patients with chronic conditions who are known to benefit from co-ordination between different care settings. A basis for such practices indeed exists in the Czech Republic with polyclinics and could be modernised and strengthened.

Health care suppliers aim at international level incomes

Czech medical costs have been low through transition in comparison to international health costs, not only in current exchange rates but also at purchasing power parities (PPPs).[73] This gap in the absolute and relative level of health sector prices remains significant today, but the medical professions' salaries and pharmaceutical prices gradually converge with OECD benchmarks. International gaps are larger in medical salaries – 60 to 70 per cent lower than international references – than in pharmaceuticals – with prices 30-40 per cent lower than in equivalent product groups abroad (Figure 24).

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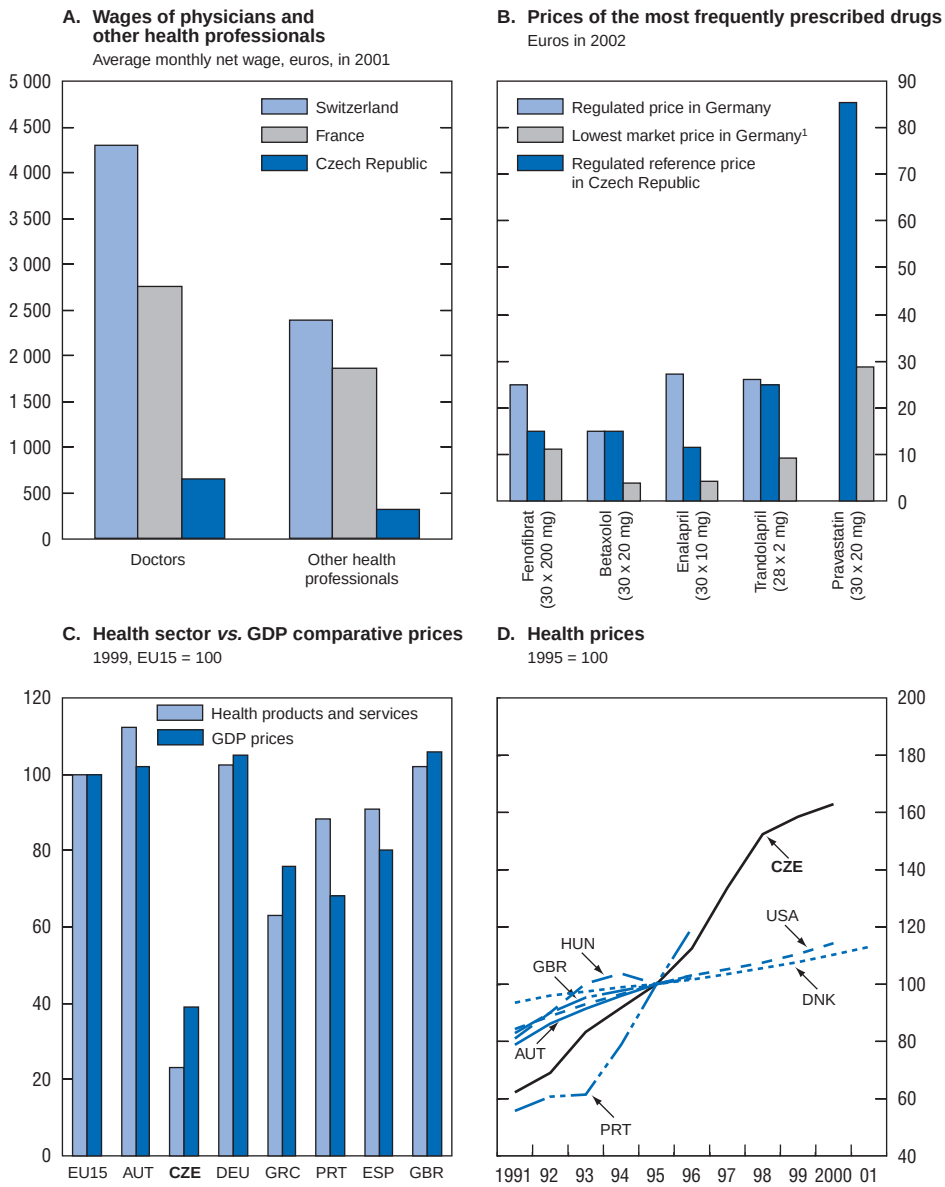
Figure 24. **Lower prices moderated health costs but catch-up begins**



1. Differs from the regulated price when an equivalent generic product other than the fully reimbursed reference product is available on the market.

Source: Eurostat; Ministry of Health; OECD.

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Price level differences originate from historical factors such as: the narrow wage differentials inherited from the socialist period, which tended to underpay human capital intensive professions and particularly medical professions; the continuing regulation of health wages and prices except for sporadic liberalisation periods; and global pharmaceutical companies' policy of pricing according to market. Local generic drugs also contribute to the low level of pharmaceutical prices. These price-moderating factors now face increasing upward pressures.[74] Most importantly, price and wage catch-ups are expected to accelerate in the future at a gradual rate, even if the full international convergence of fees and prices remain a more remote prospect.[75]

Medium-to-long term fiscal scenarios

To examine further the emerging wedge between the health care system's relatively well kept financial balances to date and the rising pressures upon them, some quantitative scenarios have been explored. The objective is to gauge if the mounting pressures identified in this *Survey* are likely to affect the fiscal claims of the sector significantly in the medium term future, and to what extent fiscal outcomes could be altered by an implementation of the main policy recommendations.[76]

Two scenarios have been outlined on the likely evolution of the general government expenditures for health,[77] and the narrower financial claims of the health system from the state budget, net of health insurance contributions (Figure 25). Scenarios draw on macroeconomic and sectoral baseline assumptions on the increase of health expenditures and contribution collections. They start from the expenditure and contribution levels of 2001, build on long-term employment and wage growth assumptions for the Czech economy[78] and assume, conservatively, a macroeconomic income elasticity of demand for health services equal to unity.[79] They incorporate the envisaged government policy of reducing funding for excess capacity in the hospital sector by 2004/05. On this baseline, Scenario 1 factors in the expected domestic price equilibration process and projects that the relative prices of health services and products in comparison to other goods and services will come close to the price *structure* in other OECD countries by 2030.[80] The share of general government health expenditures in GDP could increase by 1 percentage point of GDP by 2010 (from close to 7 per cent now to 8 per cent), and rise to 10 per cent in 2020. The fiscal claims on the state budget may increase from below 1 per cent of GDP in 2002 to above 2 per cent in 2010 and 5 per cent in 2020. A second scenario checks how an increase of private contribution to health financing (without specifying the form taken by these private payments – user fees, co-payments or private insurance – and therefore without taking account of feedback effects on demand), may alter fiscal implications. It assumes that the share of private funding rises from the present (OECD record

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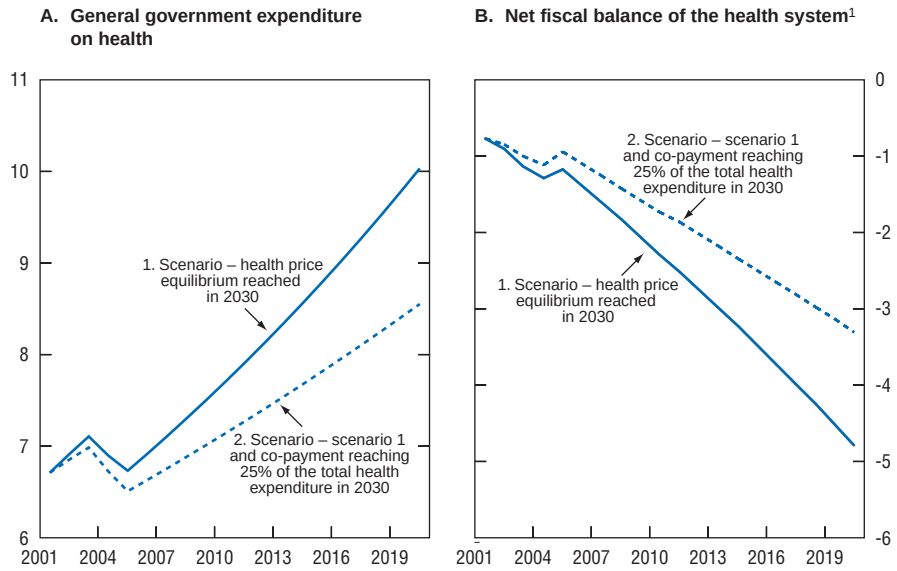
Figure 25. **Fiscal scenarios for the health system**

% of GDP



1. Health insurance contributions collected (contributions include payments by the state on behalf of public employees and the inactive) minus general government health expenditure.

Source: OECD.

low) 8½ per cent to a still limited but more common 25 per cent by 2030 – within three decades. The share of general government health spending in GDP may then be kept below 7 per cent by 2010, and below 9 per cent by 2020. The fiscal claims on the narrow state budget would remain at a low 1½ per cent in 2010 and below 3 per cent in 2020.

Policy responses: already initiated and desirable reforms

These stylised long-term scenarios, suggest that the additional fiscal drain arising from the looming pressures on the health care sector might range, under conservative assumptions, from 1 to 1½ per cent of GDP by 2010 and from 2½ to 3½ per cent by 2020. While policies in the first decade of transition succeeded in preserving the quality of care and stabilising fiscal costs, the magnitude of the forthcoming budget demands call for further policy responses. The excess costs of installed capacities, the missing focus on medical necessities, the potential role of

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user fees and co-payments, and the room for liberalising commercial services and complementary insurance need to be reassessed.

Recent initiatives

In spite of a demanding political environment for long-term health policy-making,[81] noticeable initiatives were launched to face the new pressures. The heightened "independent buyer" role of health insurance funds, the introduction of a pilot scheme to finance hospitals according to cost-efficiency, and the transfer of the ownership and governance rights of hospitals to regional governments are the most noticeable.

The growing role of insurers as informed buyers

The health insurance funds (HIFs) have gradually built-up their information, analysis, supplier assessment and bargaining capabilities, and are now becoming better equipped to fulfil their role as "purchasing agents" on behalf of the general government.[82] The operation of a joint information centre of the HIFs, which gathers all provider files and should gradually permit to monitor – longitudinally and comparatively – all provider spending actions, will contribute to this capacity. The separation of the financing and supply functions to make funding less dependent on supplier interests is becoming, through these independent funds and with a time lag, more operational.

HIFs benefit from continuity in management absent from national government.[83] Their policies on health reform and their negotiating stance on health care markets shaped them into autonomous actors not captured by provider interests. They are not profit-making commercial concerns, but tend to operate as business-like organisations. They have on certain occasions demonstrated their determination to trace the inefficiencies in the health system and to propose radical rationalisation solutions,[84] and have attempted to curb funding for less useful services.[85] They have begun to use some of the information at their disposal in the joint health insurance information centre to promote economically sounder behaviour.[86]

The jury is still out on the impact of the fragmentation of the social insurance sector between several funds. Nine funds operate under tightly regulated competition, offering almost identical services, collecting the same premia, providing the same insurance cover and enacting uniform contracts with health care providers. At first sight, such lack of effective rivalry creates only additional administrative costs.[87] The actual experience shows however that even under the present restraints and within the incentive-eroding constraints of the not-for-profit status, fund pluralism permits interesting experiments. The Skoda fund, for instance, offers "prizes" to particularly efficient providers, and funds emulate each other in improving administrative efficiency when dealing with providers and

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patients, and in the range of prevention programmes. This pluralistic structure might facilitate freer competition between funds in the future.

The DRG *experiment in hospital funding*

In 1997, a pilot Diagnosis Related Group (DRG) experiment was launched in 19 voluntary hospitals, with a view to generalise it to the entire hospital sector by 2004. This technique shifts hospital funding away from pure fee-for-service (the distortions of which are particularly costly in the hospital sector as once again confirmed by the Czech experience in the 1990s), but also from the current quasi-budgetary funding which causes inertia in resource allocation. The DRG device has proved to enhance efficiency in a number of countries, notably the United States and Austria, but effects on quality remain uncertain.

Meanwhile, the preliminary determination of "benchmarks costs" for DRG groups in the Czech Republic, destined to produce information on reference costs of treatment of selected diseases, proved useful. It has revealed large productivity and cost differences across hospitals, pointing to large potential sources of saving. A contemporary study has notably revealed a particularly high share of overhead costs in the cost structure of Czech hospitals.

DRG reimbursements will be generalised to all hospitals but the difficulties of such generalisation should not be underestimated. Hospitals participating in the pilot project did so voluntarily, while the remaining facilities may prove more reticent as DRG is a rigorous payment mechanism, unforgiving with respect to excess capacity and costs. It may lead to operating losses and financial stress for inefficient or over-sized hospitals. Since it creates hard budget constraints, it may also encourage inefficient providers to engage in creative accounting and "cost shifting" in order to generate artificial revenue sources (for instance by multiplying pre- and post-hospitalisation consultations and tests). If not properly regulated, it may create incentives for all hospitals to select less costly patients and avoid the more demanding cases. Finally, it may also risk weakening the quality of treatment if the authorities fail to enforce minimum quality standards – and if reputation effects do not prove powerful. These concerns suggest a strong need for careful design when moving ahead with the generalisation of DRG reimbursements. Nevertheless the very introduction of the experiment is a major step forward and the programme builds substantively on international experiences, notably creating a detailed data base on actual cost and quality outcomes which will be used in the future management and refinement of the system.[88]

Decentralisation of hospital ownership

The third and possibly most challenging reform initiative was launched not within the realm of health policy, but under public administration reform. A new Act on Territorial Government mandated the transfer of hospital ownership,

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along with other publicly-run facilities such as secondary schools, to regional governments. After a transition period, regional governments will take over all legal ownership rights and governance responsibilities of the so-called "district hospitals". These 61 district hospitals represent the vast majority of available bed capacity and of wage-earning physicians and nurses in the country.[89]

The decentralisation of hospital ownership will further advance, and indeed largely achieve, the separation of funding and provision of health care services. With this new arrangement the HIFs will procure services from regional governments. The latter will in principle be free to transform the legal status of the district hospitals into public commercial corporations, or into private businesses.[90] Decentralisation of hospital ownership may be a first step, provided that regional authorities concur with this policy, to introducing and experimenting with more economically driven ownership and governance forms, including foreign acquisitions and joint-ventures.

The territorial administration reform law foresees a five-year "grace period" (2000-04) before fully enforcing these principles in 2005, to temper the adjustment shocks for hospitals. Most facilities have never operated under hard budget constraints and had previously avoided, through political action, the constraints arising from the "separation" of social insurance funding.[91] If regional governments actually enforce the hard budget constraints, future adjustments are likely to be more painful. Instead of a fast application of the new rules (which may create local backlashes susceptible to delay actual implementation, including lobbying efforts by regional governments to increase central government funding), the authorities have opted for a gradual path. Reasons for gradualism are clear but it is important to preserve the rationalisation momentum.

If, at the end of the grace period, significant components of the hospital network prove financially not viable even after additional capacity and labour adjustments, national and regional authorities will have to make policy decisions. If excess capacity is needed to preserve the integrity of the national care network, subsidies by the central government, or by the social insurance budget, should be dedicated to their financing within the overall budget constraint and after assessing relative impacts on health outcomes. Such budget support should have an economic and social rationale, be fiscally transparent and remain susceptible to cost-benefit analysis.

The planning and funding of capital investments by hospitals is critical for their technical modernisation and future development. The present regulatory framework, including the territorial administration law, vests the central government with the task of funding these investments. In parallel, hospital funding by HIFs, including under the DRG system, does not include capital and depreciation costs in reimbursement rates, confining itself to the funding of operating costs. The resulting divide between the financing of current costs by highly reformed

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and quasi-market mechanisms on the one hand, and the financing of capital and infrastructure costs by the central budget on the other hand, is demanding, because it is keeping part of the responsibility for downsizing the hospital sector at the central government level. The rationale for this divide is probably the government's willingness to guarantee a steady development of the care network and to avoid the uncoordinated investment spending of the 1990s. However, it also raises serious political economy and capital budgeting problems. The divide between operations and investment exposes the central budget to lobbying pressures by interest groups (notably local and industrial interest groups) and distorts the pricing of health services by creating a bias for capital intensive processes, an undesirable outcome under forthcoming labour adjustments in health services.[92] Legitimate concerns with risks of uncoordinated and wasteful investment in expensive equipment under decentralised hospital ownership can be dealt with via direct capacity regulations. It is important to develop decision tools and processes, which link investment decisions to expected medical needs and outcomes.

Further reforms are needed

The Czech Republic has succeeded to improve its health outcomes significantly, with the support of a well-established publicly-funded care network. To face the emerging structural pressures and fiscal drains which threaten the sustainability of the system, the government has taken a range of important initiatives. These are significant steps, but require further strengthening within an integrated reform strategy. "Integration" between reform measures may determine their success as, on the one hand *demand-side* adjustments and reforms (mainly promoted by health insurance funds) and on the other hand *supply-side* initiatives (now determined by regional government policies under the co-ordination of the Ministry of Health) need to be consistent and mutually supporting. This will facilitate adjustments in installed capacity in the short-term and adequate human and technical capacity development in the medium-to-long term. At a more social and political level too, consistency is needed between all parties' understanding on which type of health services are medically necessary and should be funded by social insurance, and which others are more "comfort and convenience" enhancing and should be funded from private sources.

More specifically, there are five elements of reform which need to be introduced as an integrated package (see Box 10 for details):

- the boundaries of the universal health service package offered free-of-charge to all citizens need to be redefined by strictly focusing on medical necessities;
- in the course of overall convergence with EU income levels, a role should be carved out for user fees with appropriate means testing;

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Box 10. Recommendation for an integrated reform agenda

1) Focus the social package on medical necessities

A) Clarify legally the health risks covered in social insurance. The terms of access (for instance acceptable waiting periods for consultations and interventions) can be determined according to local conditions and needs and upgraded gradually in line with budget constraints.

B) The quality of care available and the results obtained should be systematically monitored, and public resources allocated on the basis of this information.

C) Once income convergence with the EU has made sufficient progress, user fees should contribute to the funding of social insurance benefits (social insurance benefits should not be 100 per cent free of charge). User fees should take into account the international practices and patients' ability to pay. Individuals and households who lack the ability to pay these fees, including those severely ill, those suffering costly diseases and very low income earners should receive direct support.

D) The pharmaceutical and medical device reimbursements should continue to be handled as of today, except for over-the-counter (OTC) drugs. The government should determine the list of the fully reimbursable drugs and negotiate and regulate their prices. Health Insurance Funds should be allowed to participate in the deliberations of the drug registration committee.

E) The full reimbursement of the OTC drugs should be discontinued in line with international practice. Reimbursements can be maintained for patients unable to pay as a direct social aid.

F) Reform the sick leave system. Reduce income replacement rates and activate insurance only after a minimum number of days (during which cost of absences must be borne by employers and employees). Merge the administration of the scheme with health insurance, and monitor the frequency of sick leave certificates by physicians, patients and employers. Investigate anomalies.

2) Modernise and reform service provision

A) General practitioners (GPs) should play a gatekeeper role in determining medically necessary access to specialist and hospital services.

B) Patients who short-cut GP referrals should pay the services they procure out-of-pocket, at regulated fees.

C) The technical proficiency and cost efficiency of primary care providers should be strengthened (both in their gatekeeper and genuine care provision functions). The constitution of horizontal (among GPs) and vertical (between GPs and specialists) care provision groups and networks, which share facilities, equipment and personnel, and make common use of patient and clinical information, should be encouraged.

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Box 10. **Recommendation for an integrated reform agenda** (*cont.*)

D) New payment systems for such horizontal and vertical networks should be developed, in order to create appropriate incentives for the constitution of such provider groups. These networks should be held accountable for the quality and efficiency of the care they deliver, as a group. International models can be studied and applied experimentally.

3) Strengthen Health Insurance Fund regulations and liberalise supplementary insurance

A) Regulations banning the selection and refusal of enrolees ("open entry" principle) should be preserved, so that health insurance funds do not engage in cream-skimming. The coverage and premia ("community rates") should remain uniform and regulated. At this stage, competition between health insurance funds should be limited to expediency and other ancillary aspects until the system is settled and safeguards against moral hazard have been developed.

B) The re-distribution of health insurance contributions across funds according to the risk structure of their enrolees should be revised. Parameters other than age groups, in particular actuarial information on morbidity in different groups should be incorporated in the risk equalisation scheme.

C) Insurance funds should be authorised to negotiate individual contracts with care providers and should in particular receive the right to refuse or terminate contracts with individual providers. Contract conditions can be established by group negotiations between insurers and providers. The government should preserve its right to disapprove these contracts according to public interest.

D) Collective action by health insurance funds should be encouraged, in areas of common interest. This includes the full development of a centralised information system on patient and provider records. Available information should be public under adequate privacy protection safeguards. It should be actively utilised in contract negotiations between all parties.

E) Individuals and households should be free to subscribe to *supplementary* insurance (covering comfort-enhancing services). Principles of equal access should be enforced in supplementary insurance as well, and "cream skimming" be avoided, via "open entry" and "community-rating" policies. *Complementary* insurance (reimbursing user co-payments for publicly funded services) may neutralise the demand restraining impact of user fees, the conditions under which it could be authorised need to be analysed.

F) For-profit domestic and international insurers should be allowed to offer supplementary packages.

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Box 10. **Recommendation for an integrated reform agenda** (*cont.*)

4) Liberalise complementary private health services

A) The complementary services not included in the social insurance package should be available on the market for a fee. Both public and private providers, including hospitals and polyclinics can be authorised to offer such services, under strict regulatory supervision. Regulations should protect both the equity of access to medically necessary services and avoid any cross-subsidies between medically necessary and complementary services.

B) "De-insurance" decisions should be made for over-the-counter drugs and non-medically necessary boarding and catering services in hospitals. Pharmaceutical and medical devices with special comfort elements which goes beyond medical necessity should also be deinsured. Deinsurance decisions should be made after a comprehensive review.

C) For-profit hospitals (taking over existing facilities under liquidation) should be allowed to enter these complementary health markets. Competitive long-term care services should be encouraged. Rigorous quality control should be enforced to avoid the risks of information asymmetry and quality deterioration which may increase in such an open and competitive environment – notably in the short term. Professional associations and chambers and consumer associations should participate in these efforts and apply sanctions against malpractice and violation of standards, under proper safeguards to protect competition.

5) Strengthen the payment mechanisms

A) Existing fee-for-service payment procedures (FFSs) should be reviewed and the availability of alternative payment mechanisms should be examined. Payment mechanisms which offer more room for risk-sharing and cost-saving by providers should be experimented with when possible. Taking account of international experiences, such mechanisms can be introduced on a local and experimental basis.

B) Capitation payments for General Practitioners (GPs) should be maintained. GPs can be given incentives for parsimonious use of referrals and prescriptions under arrangements preserving the equity and the acceptable delays of access of patients.

C) The Diagnostic-Related Group (DRG) experiment should be generalised to all hospitals after careful review of its results. Any undue increase in the volume of admissions and deterioration of quality should be monitored and contained after this generalisation.

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Box 10. **Recommendation for an integrated reform agenda** (*cont.*)

6) Focus national policies on capacity building and preventive strategies

A) The national government should systematically monitor the health status of the population. It should detect the areas where internationally available prevention and care techniques, including in lifestyles, nutrition and working conditions, present opportunities to improve outcomes.

B) To enhance the transparency of the objectives and achievements of public health policies, the government should present to the Parliament and public a periodical report reviewing the health status of the population, the effectiveness of social insurance and the efficiency of care providers. Objectives, achievements and costs of pharmaceutical reimbursements should be included.

C) The government should outline indicative projections of health service demand and supply, addressing the demand for and supply of critical professional skills and facilities. These projections should provide the general public, insurers, health professionals, market participants and training institutions with background information for their decisions.

D) If projections reveal likely shortcomings or excess supplies, policymakers should envisage corrective actions in co-operation with all other parties, including regional governments. Profession-specific immigration policies can be considered when necessary.

E) Regional governments faced with excess (hospital and physician) capacity should be supported by the national government in enforcing the necessary adjustments. Take-overs of redundant facilities by private investors may be encouraged, under safeguards requiring strong investor credentials.

F) Specialisation of hospital capacity across regions should be encouraged, through co-operation between regional governments. Regional ownership of hospitals should not slow down this process. If necessary, rationalisation must be mandated according to national health network development objectives.

– private markets for complementary services and supplementary private insurance to top up the basic social coverage should be liberalised;

– long-term health policy functions such as preventive health policies and human and physical capacity planning instruments should be developed; and

– installing methods allowing a comparison of likely outcomes across categories of treatment, hence among funding alternatives, could increase the benefits of these measures.

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IV. Structural policies for a robust economic performance

The first chapter presented recent economic developments, highlighting the ongoing dualisation of the economy, the relatively slow pace of productivity advance and the continued high employment rate. If the current trends continue, the OECD medium-term baseline (scenario I) described in the same chapter implies a modest improvement in living standards over the next five years. There are significant risks associated with this scenario that could easily generate an alternative outcome characterised by a more rapid productivity growth but also high and persistent structural unemployment (scenario II). A resolute pursuit of structural reforms advocated in this chapter would probably result in less spectacular productivity growth but higher and more sustainable employment and living standards (scenario III).

How has the Czech Republic progressed in the building of institutions that are supportive of a well functioning market economy? Privatisation of large state-controlled banks was successfully completed, making permanent the considerable hardening of budget constraints experienced by domestically-owned firms in recent years. Privatisation in the non-financial sector was also impressive as the state sold its majority stakes in a number of utilities (natural gas, telecom and water services). Rapid harmonisation of legislation with the *acquis communautaire* of the European Union (EU) in the context of pre-accession helped to improve the environment for doing business while massive inflows of foreign direct investment (FDI) continued to be driven by both privatisation and tax incentives. Consequently, the international competitiveness of the Czech economy has improved significantly.[93] A major policy shift in 1998 from emphasising Czech ownership towards FDI promotion has resulted in a significant pick-up of trend labour productivity growth from 1.8 to 2.7 per cent annum. Despite this, Czech productivity growth still lags that in comparable OECD transition economies. Nevertheless, its high employment rate has allowed the Czech Republic to enjoy the highest per capita GDP in this group (Figure 26). Transition economies with high productivity growth suffer either from very high unemployment levels (Poland, Slovakia) or very low labour force participation (Hungary). A major challenge facing the Czech authorities is to find a policy mix that preserves high employment while allowing

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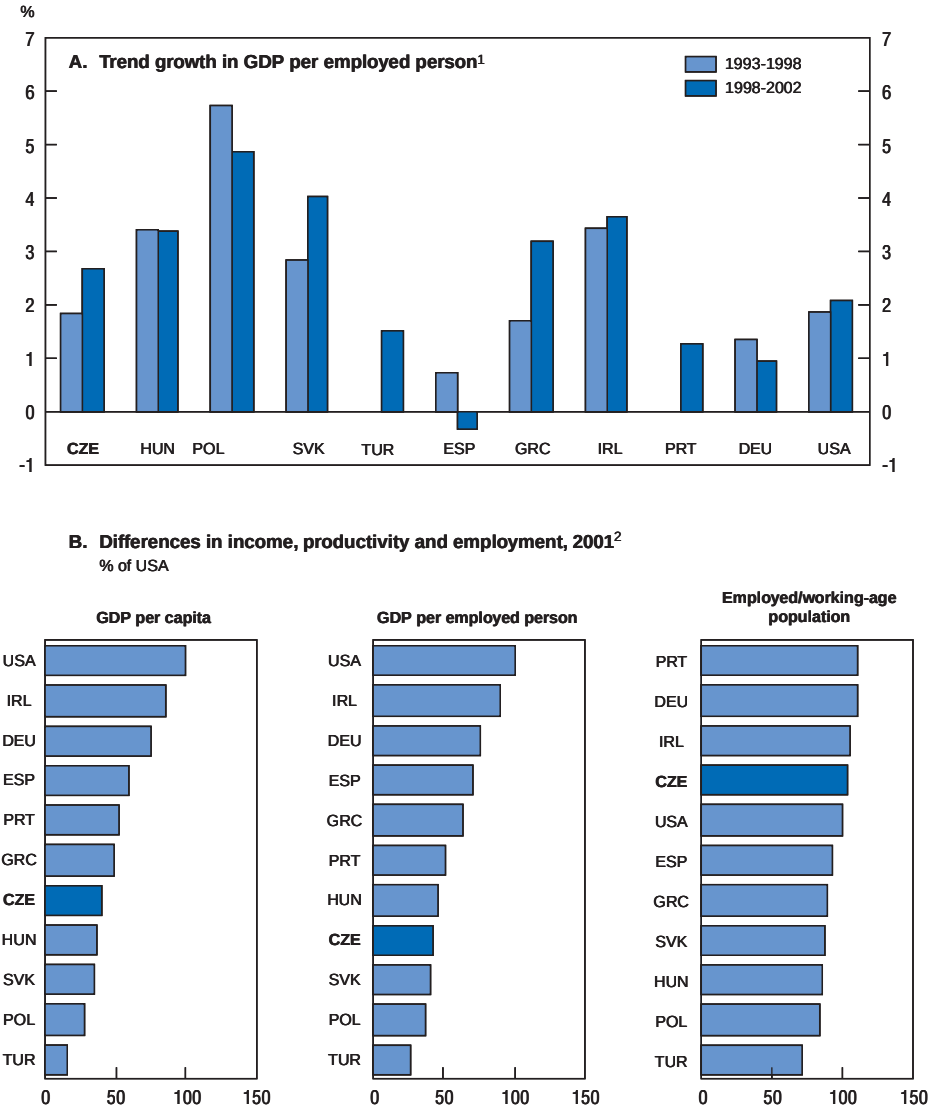
Figure 26. **Productivity**



1. Trends estimated using Hodrick Prescott filter with lambda 400 on semi-annual data from earliest available year to 2004. OECD projections used for 2002 to 2004. Caution is required in comparison since trend periods are much shorter for Germany and eastern European countries, some GDP values are chained (POL, GRC, PRT, USA) and some GDP values are expressed in other than 1995 prices (HUN – 1998, TUR – 1987).
2. GDP in current prices and PPPs. Working age is 15-64.

Source: OECD Economic Outlook Database.

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market forces to allocate labour to its most productive uses in order to enhance trend growth.

How efficient are the major sectors of the economy? Whereas the service sector has reached one-half of the US labour productivity level in recent years, output per worker in manufacturing has barely exceeded one-quarter (see Annex IV). A strong improvement of performance in manufacturing, a sector that was hit especially hard by delayed restructuring, is necessary for a successful catch-up to the most advanced economies. Even though the labour force participation rate has remained above the OECD average, it has declined in recent years. The containment and reversal of this shift requires, above all, a basic change in incentives that encourage withdrawal from the labour force and low mobility. While government policies have attempted to address some of the key issues,[94] a coherent strategy to tackle all of them in the Czech institutional context has not yet been adopted. The key structural issues related to establishing growth-friendly business environment, the progress achieved as well as the remaining challenges and follow-up recommendations are presented in Table 17.

The remainder of this chapter is organised as follows. The sections on product and financial markets review the structural progress achieved and evaluate policies in these areas. The subsequent section on labour markets examines the evolution of employment and unemployment, investigates best options for achieving and maintaining a strong labour force participation and full employment and outlines the challenges facing the education system. The section on the state sector discusses the stalled public-expenditure reforms and maintains that their implementation should significantly enhance long-term growth prospects for the nation's income and wealth.

Product markets

The agenda in product markets entails a completion of both institutional reforms and restructuring of industry so that its productivity can catch up to the levels obtaining in advanced economies. In the population of medium-sized and large manufacturing corporations, the share of vulnerable firms (loss-making corporations employing over 100 workers) in output and employment declined until 2001, remaining, however, at dangerously high levels of 25-27 per cent in recent years (Vintrová, 2002). This favourable trend was reversed in 2002 (see Chapter I). The continued existence of a large non-viable subsystem explains why the productivity level of Czech industry lags significantly behind that of Hungary, a transition country of comparable size and population. Both economies experienced strong inflows of foreign direct investment to manufacturing but Hungary has been much more aggressive in forcing non-viable firms to exit the marketplace by instituting strict bankruptcy procedures and imposing hard-budget constraints on firms (Kornai, 2001).[95] The previous *Survey* described the efforts of Czech policy

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Table 17. **Improving the environment for doing business: key issues**

Key issues/2001 recommendations	Action taken	Assessment	Follow-up recommendation
Panel A: Product markets			
Legal environment			
Improve the legal environment for doing business by reforming cumbersome bankruptcy, customs and registration procedures.	Bankruptcy and registration codes were amended. Authorities drafted a new Bankruptcy and Composition Act that remains to be submitted to Parliament.	Although the performance of bankruptcy judges, trustees and registration authorities improved, the legal framework for industrial restructuring remains unsatisfactory.	The government ought to make a timely passage of new bankruptcy legislation a priority. It should also enable firms to pay a premium for fast-track registration.
Restructuring			
Keep selling bad loans owned by the Consolidation Agency (CKA) to specialised private-sector firms.	After a pause of 1½ years, CKA resumed block sales of receivables.	The resumption of CKA asset sales in large blocks is welcome.	Continue the rapid disposal of CKA receivables through block sales while improving their transparency.
Complete the privatisation process swiftly.	The government resumed privatisation of petrochemical industry.	Privatisation ought to be extended to the remaining few state-controlled sectors.	The recommendation remains pertinent.
Part B: Financial markets			
Transparency			
Impose strict corporate governance standards on all listed firms.	The Czech Securities Commission (KCP) left the adoption of such standards at the discretion of listed firms.	The corporate governance code recommended by the KCP ought to be made obligatory for all listed firms.	The previous recommendation remains pertinent.
Regulation			
Raise the minimum capital requirement and transfer the oversight of credit unions to CNB banking supervision.	The cabinet proposed an amendment increasing substantially the minimum capital threshold for credit unions.	The amendment is a step in the right direction but still remains to be passed by Parliament.	The recommendation has been partly implemented.

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Table 17. **Improving the environment for doing business: key issues** (*cont.*)

Key issues/2001 recommendations	Action taken	Assessment	Follow-up recommendation
Panel C: Labour markets			
Welfare benefits			
Adjust non-employment benefits so that they are consistent with wages and productivity.	None. The government has not increased the minimum-living-standard (MLS) benefit levels since October 2001.	The relatively generous welfare benefits encourage voluntary withdrawal from the labour force.	Continue non-indexation of MLS benefit level. Implement the previous recommendation as soon as possible.
Education			
Implement standardised exams at the secondary level. Expand labour-market oriented college programmes.	The government's plan to introduce standardised exams has not been implemented.	Expansion of tertiary education is blocked by the absence of tuition fees.	The recommendation remains pertinent. Public colleges and universities should be allowed to levy tuition fees.
Panel D: Public sector			
Public expenditure reform			
To increase fiscal control over government spending, integrate extra-budgetary funds into the state budget.	This integration is proposed in the fiscal reform package prepared by the Ministry of Finance (MoF).	The recommendation has not been implemented.	The recommendation remains pertinent.
Introduce systematic programme evaluation.	Fiscal reforms proposed by MoF entail first steps towards performance – based budgeting.	The current spending programmes and tax breaks are still not subjected to systematic evaluation.	The recommendation remains pertinent.
Taxation			
Reduce non-wage labour costs, cutting the social-security charges paid by employers.	None.	High payroll taxes continue to discourage employment.	The recommendation remains pertinent.
Corporate income tax (CIT) appears to be excessive for a catching-up economy.	The government plans to reduce the CIT marginally.	High taxation of profits discriminates against smaller firms that cannot benefit from tax incentives for large investments.	Cut the corporate income tax rate to a level comparable to that in successful catching-up economies.

Source: OECD.

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makers to improve the legal environment for doing business and to restructure a limited number of large industrial firms through the so-called revitalisation programme. This section describes first recent developments in these areas. It then discusses the impact of investment incentives and privatisation on the FDI inflows that have been driving the economic modernisation. Finally, it reviews the price effects of the government's decision to liberalise network industries.

The environment for doing business

Has the legal environment for doing business improved since the last *Survey*? The government has striven to achieve such improvement by amending the bankruptcy and commercial codes, improving the skills of judges and trustees involved in the process of liquidation and composition of firms under financial distress, intensifying its campaign against corruption and modernising the legal system by introducing a new administrative court circuit. While it is too early to assess the effectiveness of administrative courts, it is also unclear whether the anti-corruption drive of the administration has been successful. Convictions for economic crimes have risen in recent years and some of the perpetrators have been sentenced to lengthy prison terms, creating a deterrent to financial misconduct. Detection of corrupt practices at the highest level of state bureaucracy has reportedly resulted in a tightening of the previously lax appointment procedures.[96] The government's recent decision to expand the use of competitive tenders in public procurement is another step in the right direction because it reduces the scope for bribery in the hitherto non-transparent realm of public investment processes. The authorities have also expedited the performance of commercial court registers, imposing time limits on registration of both new firms and changes of the existing data, subject to the requirement of full and proper documentation. Further, the government intends to transfer the responsibility for registration of new firms from courts to an independent authority to speed up the process further. Despite these reforms, the perception of pervasive corruption has not weakened. The 2002 report of Transparency International ranks the Czech Republic in the 55th position on the basis of its corruption perceptions index, along with Latvia, Morocco, Slovakia and Sri Lanka, and well behind transition economies such as Slovenia, Estonia and Hungary.[97]

Aside from corrupt practices, businessmen complain about widespread administrative inefficiency that prevents them from starting or expanding operations. In spite of significant improvements, regulation of entry remains cumbersome, requiring ten separate procedures and taking on average 67 days to complete. In contrast, only two procedures that can be completed within a day or two are required in the least restrictive OECD country for business entry (Canada).[98] The authorities emphasise that a fast-track entry in the Czech institutional context might well result in a huge burden on the court system through

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ex-post litigation, so that a slower but error-minimising regulation of entry is preferable. Moreover, businessmen who do not intend to apply for investment incentives can register instantly by purchasing pre-registered shell companies from specialised service firms.[99] Most firms that apply for incentives, mainly multinational corporations, are able to cope with the obstacles to entry with ease. However, smaller foreign-owned businesses continue to find entry requirements cumbersome and would benefit most from further streamlining of procedures.

Another key issue plaguing the Czech economy has been the dysfunctional legal framework regulating exit of non-viable firms from the marketplace. How did bankruptcies and compositions develop since the last *Survey*? Petitions for bankruptcy declined and the number of completed proceedings kept rising so that the backlog of unfinished cases declined slightly in 2001 (Table 18). The rising number of applications for composition by debtors has resulted in only a handful of approvals by courts. The low incidence of such voluntary arrangements between debtors and creditors is normal in a creditor-oriented bankruptcy framework.[100] The current legislation permits a prompt sale and reallocation of viable parts of bankrupt firms to outside investors, but the process depends unduly on the abilities of commercial court judges and of the trustees appointed by them. Therefore, instances of successful restructuring by either bankruptcy or composition procedures have been rare (see Box 11). The experience of recent years suggests that restructuring of large industrial firms, either by state-controlled agencies or by court-appointed bankruptcy administrators, can succeed in replacing weak management and preserving viable core activities. To accelerate this process, it appears to be necessary to improve the current legislation to permit fast-track restructuring of insolvent firms with the aid of straightforward composition procedures *and* to transfer the responsibility for managing the exit process from state-owned agencies to specialised private-sector firms.

Industrial restructuring: achievements and setbacks

What have been principal achievements of the government-sponsored restructuring programmes over the last year and a half? The authorities completed financial restructuring of three large industrial firms and subsequently sold them to foreign investors.[101] In all cases, the new owners have started to turn around the companies by aggressive cost-cutting, involving massive layoffs and termination of unprofitable operations. Following a considerable and lengthy effort by the authorities to revitalise the *Škoda* engineering group, the Consolidation Agency sold a major part of its equity stake to the closely-held Appian Group of the United States. Since its inception in 1999, the state-sponsored revitalisation programmes (described in the last two *Surveys*) have been modestly successful, with loss-making sales of six large companies to outside investors contributing to the overdue industrial restructuring at a considerable cost to the taxpayer.[102]

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Table 18. **Bankruptcies**

	1992	1993	1994	1995	1996	1997	1998	1999	2000	2001
New petitions[1]	353	1 105	1 826	2 400	2 996	3 311	4 306	4 339	4 650	4 036
Bankruptcies declared	1	66	294	727	808	1 251	2 022	2 000	2 491	2 473
Declared as per cent of new petitions[2]	0.3	6.0	16.1	30.3	27.0	37.8	47.0	46.1	53.6	61.3
Proceedings completed	123	418	921	1 117	1 716	2 047	2 418	2 964	4 087	4 539

1. Petitions for bankruptcy may be lodged by the creditor or the debtor. Only the courts may declare a debtor to be bankrupt. Motions of settlement are separate procedures also made before the courts. They are offers made by debtors to settle with creditors. Few are agreed to by the courts or creditors.
2. Calculated as the ratio of the declared bankruptcies to new petitions.

Source: Ministry of Justice.

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Box 11. Bankruptcy and composition

The 1991 Act on Bankruptcy and Composition had been revised 19 times to date. Whereas the original legislation emphasised liquidation of insolvent and illiquid firms, the amendments passed in recent years allow for a court-supervised restructuring of distressed firms under certain conditions. The government is preparing a comprehensive draft of a new Act that provides for fast-track composition procedures. Although the current legislation provides for a creditor-centred bankruptcy system, its application by the majority of Czech judges has favoured debtors instead (Schönfelder, 2001). Furthermore, debtors benefit from unenforceable rules and often low penalties for financial misconduct.[1]

The choice of procedure, *i.e.* bankruptcy or composition, is in the first instance at the discretion of the party filing the proposal, *e.g.* the debtor. Despite their sympathy for the plight of debtors, commercial court judges are eventually forced by provisions of the Act to reject the overwhelming majority of debtors' proposals for composition, declaring the state of bankruptcy instead.[2] Court judges can play a positive role in restructuring operations that permit a survival of the bankrupt firm or its parts providing that they choose a competent trustee and are able to act quickly and decisively while applying the law. To generate a positive yield for creditors, the court-appointed administrator has to be able to manage the bankrupt company, identify plants or smaller productive units that can function as going concerns on their own and find suitable buyers promptly. Once the bankruptcy is declared, the court suspends all creditor claims so that a competent administrator should be able to identify sources of positive cash-flow.

While the bankrupt firm or its parts can be operated under the auspices of the trustee, it is not allowed to obtain new credit. The creditors' committee plays an advisory role in the bankruptcy process and must approve restructuring or liquidation. In turn, the judge must approve the decision of the creditors' committee. In practice, *restructuring by bankruptcy* has seldom been successful. Debtors have often managed to delay the imposition of bankruptcy and the subsequent takeover of the firm by a trustee, stripping assets in the meanwhile. Since 2001 the courts had the option to appoint even before a declaration of bankruptcy an interim administrator to take care of the accounting documents and to secure the debtor's property. However, judges have sometimes acted too slowly and/or appointed administrators turned out to be incompetent. Professional standards for bankruptcy trustees have not been defined yet, *i.e.* anyone can become a candidate. The current bankruptcy legislation does not specify whether the sale of a viable part of the bankrupt firm should maximise its chances of survival as a going concern or the cash value for creditors.

In contrast, *restructuring by composition* does not provide for the sale of the firm or of its parts but rather its turnaround by reducing the debt burden. It is subject to the approval of all secured creditors who may, but are not obliged to, accept a reduction in the value of their claims that are not suspended during the procedure. Subordinate creditors must receive at least 30 per cent of their claims in cash within a couple of years. Large creditors (often banks) have been sometimes indifferent to the survival of a restructured firm or its parts as a going concern

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Box 11. **Bankruptcy and composition** (*cont.*)

while small creditors have been known to resort to greenmail, with the objective to force superior terms of settlement for themselves by delaying the composition process (OECD, 2001). Unlike in the bankruptcy procedure, the old management of the firm subjected to composition may be allowed to continue its work under the supervision of a court-appointed trustee. While the choice of procedure (bankruptcy vs. composition) is in first instance made by the debtor, the court then controls whether such motion fulfils legal requirements (including *e.g.* the 30 per cent recovery rate of the value of claims in case of composition), having the power to dismiss motion on such grounds, and final decisions on claims satisfaction are subject to approval by creditors within the limits set by the law.

The draft of the new Bankruptcy and Composition Act entails significant improvements by motivating debtors to initiate bankruptcy proceedings, by allowing creditors to propose terms of composition, by imposing professional standards on and improving the selection of trustees, and by harmonising the hitherto inconsistent provisions of the commercial code, civil procedures code, tax and banking acts. However, until this new legislation will have been adopted, liquidation in the aftermath of excessively lengthy proceedings is likely to remain the principal method for dealing with business insolvency.

1. The Bankruptcy Act stipulates that debtors have to inform courts of insolvency and provide court-appointed administrators with company accounts. In practice, debtors often fail to report insolvency and prosecutors are usually unable to prove that this reflects deliberate misconduct rather than mere incompetence. Therefore, successful prosecutions are extremely rare, albeit increasing slowly in recent years. In cases of asset stripping (known as 'tunnelling') debtors often refuse to hand over accounts, preferring to misplace them instead. The penalty for this infraction (a fine of CZK 50 000, equivalent to some $1 600) is to be paid by the insolvent firm and apparently not an effective deterrent.
2. This and the following paragraph are based on Rais (2000) and Rais (2001).

How much restructuring remains to be done? After a clean up of the banking sector, the problematic medium-sized and large enterprises with heavy debt burdens are mainly those active in the industrial sector, especially manufacturing. The Secretariat estimates that some 230 000 workers currently remain employed in over 500 distressed industrial corporations.[103] This means that about one-quarter of industrial employment is threatened. If one factors in threatened jobs in other sectors (construction, rail transport), there are probably still some 300 000 vulnerable jobs that account for 7½ per cent of dependent employment. The restructuring challenge is thus still extraordinary.

The portfolio of the Consolidation Agency (CKA), a principal creditor of vulnerable firms, has doubled in recent years as it received a huge batch of bad

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loans associated with the sale of the state-controlled *Komerční banka* (KB) to *Société Générale* of France and of the illiquid *Investiční a poštovní banka* (IPB) to the Belgian-owned *Československá obchodní banka* (CSOB)[104] as well as with the government's revitalisation programme. The outflow has also picked up as the Agency resumed sales of large packages of receivables to specialised private-sector institutions, after an unnecessary delay of 17 months, and made some progress in the wholesaling of smaller claims to private investors. Its remaining assets have a face value of some CZK 300 billion (about $9 billion) or 15 per cent of GDP. Ultimately, the firms that cannot service their debt held by the Agency will exit the marketplace through liquidations or takeovers.

This exit process will be partly managed by the government that selected a small number of larger debt-laden firms to be restructured through direct sales of CKA-held claims to strategic investors, followed by debt-equity swaps and reorganisation by new owners. Such claims have been excluded from block sales. The experience with this approach has been mixed to date – while CKA managed to conclude a few transactions, the majority of the firms selected for participation in this programme remain in a state of agony (their future being completely uncertain). Hence, a continuous sale of packages of receivables to highest bidders seems to be the best option available. The first large block of bad loans was sold in June 2001 to the highest bidder for 11 per cent of book value while the second one, sold in November 2002, netted 18 per cent of the book value. The recovery rate, although increasing, has remained significantly below the 50 per cent threshold associated with similar sales by the Korean Consolidation Agency in late 1990s. The third block sale was to include mainly overdue receivables of bankrupt firms at a small fraction of their book value. Another 3-4 block sales are planned over the next two years – the CKA portfolio would thus be reduced to 15-20 per cent of its present size and include mainly complicated transactions that involve lengthy court litigation. If the economic performance of industry is to improve appreciably, the remaining block sales ought to be completed as soon as possible. The successful bidders are likely to sell the CKA receivables and equity stakes promptly, accelerating the exit of heavily indebted firms or their recovery. In the first case, outsiders purchase the CKA claims and either take over and restructure the indebted firms or acquire their attractive assets through liquidation. In the second case, the owners of vulnerable firms buy back indirectly their debts at a significant discount that allows them to operate as viable businesses, without soft financing that had been available in the past.[105]

If the Consolidation Agency manages to complete the block sales contemplated over the next couple of years and assuming that about one-half of vulnerable employment disappears subsequently, then the number of vulnerable jobs should be reduced to about 150 000 or 3¾ per cent of dependent employment, *i.e.* to a level that is still about twice as high as in a smoothly functioning market economy. This underlines the need for a rapid implementation of the new Bank-

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ruptcy Act so that the number of job losses can be minimised through effective compositions. The main risks to the CKA programme to rapidly dispose of its portfolio are posed by the growing debts of Czech Railways and overdue liabilities of public hospitals that could be transferred to the Agency in the future. Another potential source of bad debt transfers to CKA is the distressed U*nion banka* (see the financial markets section).

P*rivatisation*: *ambitions* vs. *outturns*

Since the last S*urvey*, the authorities either completed or advanced privatisation of the banking, natural gas, petrochemical, steel and telecommunication industries, thus significantly curtailing the role of the state in the economy. The scope of change in the ownership of productive assets, illustrated in Table 19, indicates that the number of strategic firms has been pared significantly. Dominant electricity, petrochemical and telecommunication firms are likely to be fully privatised within a few years. Remaining state-owned firms such as Czech Airlines, Czech Airports Authority, Czech Post, Czech Railways and coal mines in northern Bohemia are not yet for sale but may be privatised in the longer term.

While the privatisation of large firms has usually ended in their takeover by strategic investors from abroad, there was a significant exception which has provided an unfortunate signal to foreign investors. While trying to sell its majority stake in a huge petrochemical conglomerate (Unipetrol), the government of the day decided to favour an undercapitalised domestic bidder (Agrofert) over a foreign investor (Rotch Energy of the United Kingdom), even though the latter offered a higher price. In the event, the domestic bidder tried to change the terms of the transaction retroactively and the sale fell through. The new government decided to call another public tender; meanwhile, the viability of some large firms within the Unipetrol conglomerate deteriorated significantly.[106] In another case of unsuccessful privatisation, the government restored a vertically integrated power utility, hoping to attract a significant premium from bidders. However, no bid matched even the minimum price limit so that privatisation of the state's dominant stakes in the power industry had to be postponed. Similarly, the state had to postpone full privatisation of the dominant telecom operator, having been unable to secure full co-operation of a minority shareholder. Aside from these three cases, privatisation of the natural gas conglomerate, a smaller telecom firm, the Prague water services utility and the last state-controlled commercial bank resulted in significant FDI inflows.

F*oreign direct investment drives the productivity catch-up*

The Czech Republic has continued to outperform its principal regional competitors for FDI inflows (Table 20). An overview of the investment incentives that have facilitated this performance are set out in Box 12. Responding to the

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Table 19. **Participation of the National Property Fund in strategic companies**[1]

Company	State's share in per cent		Employment in persons	
	December 1998	December 2002	December 1998	December 2002
Financial sector				
Privatised				
Ceska sporitelna (CS saving bank)	45.0	0.0	16 580	n.a.
Ceskoslovenska obchodni banka (CSOB)	19.6	0.0	4 987	n.a.
Komercni banka (KB)	48.8	0.0	13 861	n.a.
Ceska pojistovna (insurance)	30.3	0.0	8 423	n.a.
Energy sector				
Privatised				
Most Coal Company	46.3	0.0	9 260	n.a.
Paramo (refinery)[2]	70.9	0.0	824	n.a.
Transgas (gas transmission)	100.0	3.0	1 793	1 409
Central Bohemia Gas	48.5	0.0	535	n.a.
Eastern Bohemia Gas	47.1	0.0	658	n.a.
Northern Bohemia Gas	49.2	0.0	713	n.a.
Southern Bohemia Gas	46.7	0.0	273	n.a.
Northern Moravia Gas	47.2	0.0	1 092	n.a.
Prague Gas	49.2	0.0	865	n.a.
Southern Moravia Gas	47.7	0.0	1 350	n.a.
Western Bohemia Gas	45.9	0.0	770	n.a.
To be privatised				
Czech Power Company (CEZ)	67.6	67.6	10 600	7 250
Central Bohemia Power[3]	58.3	58.3	1 877	1 608
Eastern Bohemia Power[3]	48.1	49.6	2 114	1 627
Northern Bohemia Power[3]	48.1	48.1	1 884	1 459
Northern Moravia Power[3]	47.3	48.7	2 112	1 781
Southern Bohemia Power[3]	48.1	48.1	1 302	1 131
Southern Moravia Power[3]	46.7	46.7	2 346	1 787
Prague Power[3]	48.2	48.2	1 517	1 287
Western Bohemia Power[3]	48.1	48.3	1 487	1 377
UNIPETROL (oil and chemicals)[4]	63.0	63.0	8 574	6 483
OKD (coalmines)	45.9	45.9	27 098	18 349
No privatisation plan				
Northern Bohemia Coalmines	54.4	55.4	6 242	5 055
Sokolov Coal Company	48.7	48.7	6 863	5 531
CEPRO (sales and storage of oil products)	100.0	100.0	1 175	855
MERO CR (oil transport and storage)	100.0	100.0	167	161
Steel				
To be privatised				
Nova Hut (steel works)[5]	49.0	67.2	14 681	11 380
Vitkovice – Steel[6]		98.9	n.a.	1 800
Manufacturing				
Privatised				
Chemical Works Sokolov (Eastman Sokolov)	73.7	0.0	851	n.a.
Jan Becher-KV Becherovka (liquor factory	59.0	0.0	344	227
Plzensky Prazdroj (brewery)	0.0	0.0	2 558	2 706
Aero Holding	61.8	in liquidation	21	5
SEVAC (R&D manufacturing of pharmaceuticals)	78.9	liquidated	70	0

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Table 19. **Participation of the National Property Fund in strategic companies**[1] (*cont.*)

Company	State's share in per cent		Employment in persons	
	December 1998	December 2002	December 1998	December 2002
Manufacturing				
To be privatised				
Vitkovice a.s. (engineering works)	67.3	67.3	16 109	4 700
No privatisation plan				
SKODA Praha (engineering works)	54.8	54.8	1958	730
Transport				
No privatisation plan				
Czech Airlines (CSA)	56.9	56.9	4 010	4 455
Ceske drahy (Czech Railways)[1]	100.0	100.0	91 870	80 559
Telecommunications				
Privatised				
Ceske radiokomunikace	51.2	0.0	1 550	n.a.
To be privatised				
Cesky Telecom	57.1	51.1	22 277	13 717
Water				
Privatised				
PVK (Prague Water and Sewage)	100.0	0.0	n.a.	n.a.

1. The state is represented in Czech Railways directly rather than by the National Property Fund (FNM).
2. Sold and transferred to the Czech state-controlled Unipetrol petroleum and chemical holding in 2000.
3. The government approved sale of FNM's shares in the 8 regional power distribution companies to the state-controlled power generating company CEZ in May 2002 and the respective sale contract was signed in June 2002. Transfer of shares is contingent on the competition authority's approval.
4. Sale contract signed with private investor at the end of 2001. Since the buyer failed to pay the government decided (in September 2002) to withdraw from the contract and (in November 2002) to repeat the public tender process. In the course of 2000-2001 the Unipetrol holding acquired companies like Paramo, Spolana and Aliachem.
5. The government approved sale of state share to a Dutch investor (LNM Holdings N.V.) in May 2002 and the respective sale contract was signed in June 2002. FNM sold the first tranch amounting to 52.25 per cent of the Nova Hut equity to LNM Holdings on 31 January 2003. The second tranch amounting to 18.25 per cent of Nova Hut will be sold to LNM as soon as an arbitration dispute is settled.
6. Vitkovice Steel was separated from Vitkovice a.s. in 2001 and sold to OSINEK company (100 per cent subsidiary of the National Property Fund) in April 2002.

Source: National Property Fund.

relative weakness of the manufacturing sector, Czech policy makers attracted considerable inflows of foreign capital and know-how through such incentives as well as the privatisation and restructuring programmes described above. Overall, some 60 per cent of the cumulative FDI inflows have benefited the service sector (mainly trade, banking, transport, telecommunications and energy industries) while the remaining 40 per cent have moved into the goods-producing sector (mainly automotive, chemical and ICT industries). The Czech Republic has encouraged fuller ownership changes in state-controlled public utilities than other countries in the region. A year ago, the government extended incentives to technology

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Table 20. **Foreign direct investment inflows**[1]

	1995	1996	1997	1998	1999	2000	2001	2002	Period covered in 2002	Cumulative	Cumulative per capita
	US$ million										
Czech Republic	2 568	1 435	1 286	3 700	6 310	4 984	4 922	7 169	Jan.-Sept.	33 907	3 301
Hungary[2]	4 810	2 556	3 134	2 649	3 454	3 483	4 322	1 833	Jan.-Sept.	29 828	2 977
Poland	3 659	4 498	4 908	6 365	7 270	9 341	5 713	2 861	Jan.-Sept.	48 205	1 247
Slovakia	258	370	231	710	428	1 926	1 533	3 390	Jan.-Sept.	9 298	1 722

1. Refer to International Monetary Fund Balance of Payments Statistics Yearbook and Special Data Dissemination Site for details of methodological variations across countries and time.
2. OECD estimate of reinvested earnings was used to derive a comparable time series for Hungary.

Source: Balance of payments of respective national banks, national accounts and OECD.

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Box 12. Investment incentives: a strategic game in progress

As is well known, countries compete for investment. In case of two similar transition economies such as the Czech Republic and Hungary, this competition can be usefully viewed as a non-co-operative game, with one dominant strategy (provide incentives) and one non-dominant strategy (don't provide incentives). The country that pursues the dominant strategy is rewarded with a huge pay-off in terms of large FDI inflows, providing that its competitor chooses the non-dominant strategy. This unstable equilibrium obtained until 1998, with Hungary reaping the benefits of pursuing the dominant strategy. Subsequently, the Czech authorities decided to provide strong investment incentives as well. The new and *stable* equilibrium is characterised by a position in which both countries accumulate relatively large FDI stocks, more or less splitting the inflows over time. Each new initiative of one country, *e.g.* provision of incentives in the strategic services sector, is now promptly matched by the other.

Investment promotion has become *the* principal modernisation strategy of Czech policy makers in the late 1990s, following an unsuccessful experiment with policies that promoted national ownership of industry and banking in the earlier part of the decade. Incentives in the manufacturing sector pertain to investment projects exceeding a value of $10 million ($3 million in high-unemployment regions) and entail corporate income-tax relief for 10 years for new firms (or partial income-tax relief for 5 years for existing firms), provision of cheap serviced sites in industrial zones, and job-creation and training grants for local employees. Eligible investments must also meet some additional criteria, including a minimum share of expenditure on hi-tech machinery and full compliance with national environmental standards. Since their inception in April 1998, these incentives, together with the improving environment for doing business, have attracted greenfield investments valued at $5 billion over the first four years from over 100 predominantly foreign corporations and have created almost 40 000 new jobs in the manufacturing sector. A great majority of these projects appears to have been successful, with only a couple of firms deciding to leave. According to CzechInvest, some 90 per cent of FDI firms have re-invested their earnings in the Czech economy. In recent years, such reinvestments averaged $1 billion per annum and accounted for 20-25 per cent of FDI inflows reported in the balance-of-payments statistics.

In 2002, investment support became available also for strategic services and technological centres, including business customer contact, hi-tech service and repair, software development, and R&D centres. If a project meets specific objectives pertaining to the value of investment, employment, export orientation and location, the government provides a 50 per cent corporate tax relief for up to ten years, arranges for university co-operation and provides subsidies amounting to 50 per cent of eligible business costs, 35 per cent of special training costs per employee and 60 per cent of general training costs. The threshold for support is much lower than in the manufacturing sector at CZK 50 million ($1½ million). The actual amount available to each project is calculated as a percentage of the eligible investment expenditure (wage costs during the first two years of the project,

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Box 12. **Investment incentives: a strategic game in progress** (*cont.*)

capital outlays on buildings, machinery and equipment, including expenditure on intangible assets up to a predetermined limit). The percentage varies according to location from 20 per cent in Prague to 46-50 per cent in the other seven regions of the Republic. Additional incentives are available for structurally disadvantaged regions with declining industries and high unemployment levels. Each project has to be examined by the Czech competition authority that has to certify its compliance with EU rules on state aid.

The volume of incentives-driven investment projects located in disadvantaged regions exceeds the national average by four times, but the picture at the regional level is uneven, with central districts of Bohemia and Moravia outperforming the most depressed northern districts by a wide margin. The superior ability of central districts to attract FDI inflows is clearly linked to their good accessibility. The two most disadvantaged districts (Usti and Ostrava) have suffered from lack of modern road infrastructure that strongly curtails their ability to attract more foreign investors.

centres and the strategic services sector (including software development, ICT expert solution and high-tech repair centres) in order to stimulate further technological progress.

The superior performance of foreign-controlled firms is confirmed in Figure 3 and Table 21. According to CzechInvest surveys (*www.czechinvest.cz*), over 1 200 subsidiaries of multinational manufacturing companies operate in the Czech Republic. These FDI firms produce almost 70 per cent of manufactured exports, account for nearly one-half of sales, employ directly 300 000 workers (one-quarter of employment in manufacturing) and employ indirectly twice as many in some 10 000 local firms in both goods-producing and service sectors. This dynamic subsector creates on average 20 000 net new jobs (direct and indirect) per annum.

The sectoral productivity performance has improved in the wake of massive FDI inflows (Figure 27). However, the productivity of the Czech manufacturing sector still continues to lag its Hungarian and Polish counterparts. One notable exception is the automotive industry, where *Škoda Auto* (part of the Volkswagen group) as well as foreign-owned bus and truck producers can rely on an extensive domestic supplier network, experienced workforce and traditional know-how. The other branch with dynamic productivity growth that is driven by FDI inflows is manufacturing of electrical appliances and optical devices. The industrial strategy based on rapid inflows of modern technology from abroad is promising but entails a danger of sudden reversals triggered by changing comparative cost advantages.

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Table 21. **Financial conditions in industry**[1]

	Domestically-controlled firms		Foreign-controlled firms	Unincorporated firms	Total
	Public sector	Private sector			
	Per cent of total				
Number of firms					
1999	6	78	15	1	100
2000	5	74	20	1	100
2001	3	67	28	2	100
2002	2	65	32	1	100
Employees					
1999	12	72	16	0	100
2000	14	66	20	0	100
2001	7	61	31	1	100
2002	5	60	35	0	100
Output					
1999	16	59	25	0	100
2000	23	47	30	0	100
2001	11	46	43	0	100
2002	7	45	48	0	100
Pre-tax profit					
1999	–29	39	89	1	100
2000	19	35	45	1	100
2001	20	30	50	0	100
2002	18	36	46	0	100
Book value added					
1999	16	62	22	0	100
2000	22	53	25	0	100
2001	13	47	40	0	100
2002	9	46	45	0	100

1. Firms with 100 or more employees. Data for 2002 pertain to the first three quarters.
Source: Czech Statistical Office.

Recent transfers of production from Wales to the Czech Republic (Matsushita) or from Spain to Slovakia (Volkswagen) illustrate this possibility.

Although the Czech authorities were successful in attracting greenfield investment, these inflows remain well below per capita levels in more advanced countries. What are the obstacles keeping potential investment projects away? In addition to the cumbersome regulation of business start-ups, foreign investors complain about the customs rules and procedures that result in huge line-ups of trucks at all border crossings with consequent delays of delivery.[107] These prevent firms located on the Czech territory from taking advantage of up-to-date production methods, force them to hold excessive inventories of intermediate inputs and reduce their ability to develop a more intensive network of inward-processing

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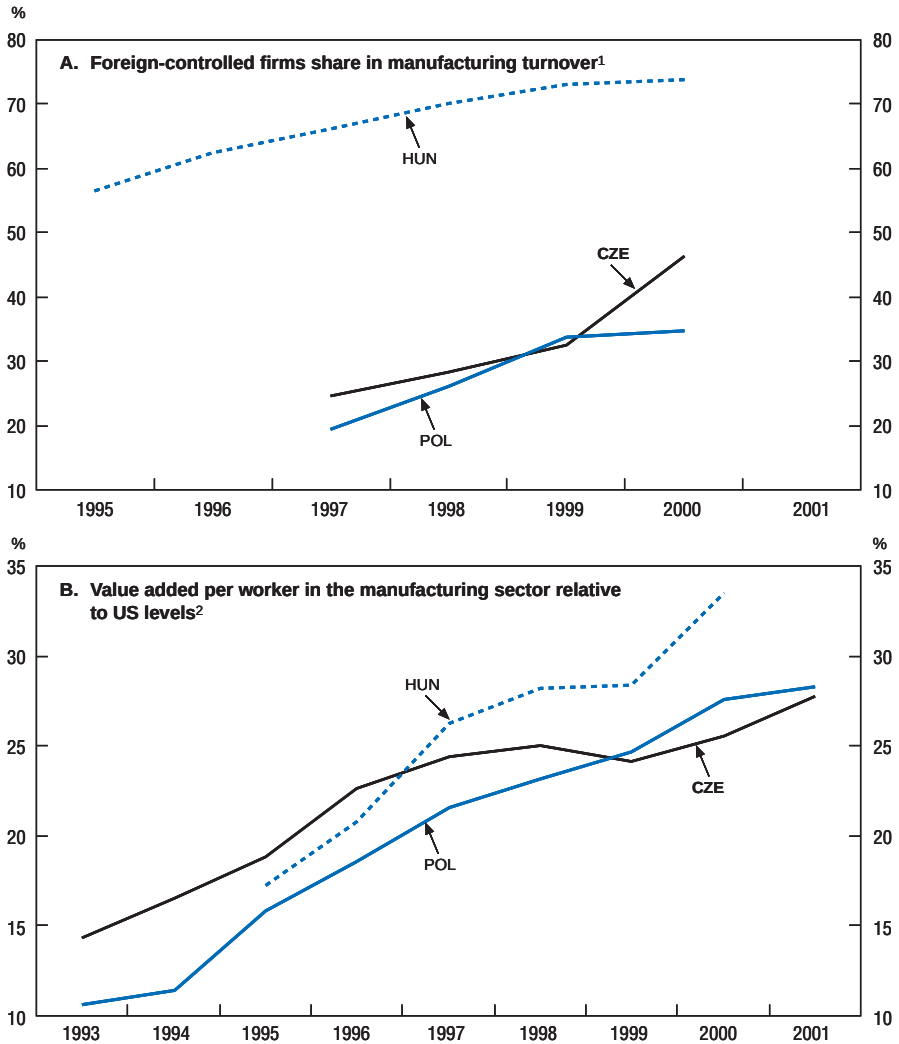
Figure 27. **Foreign presence and productivity in the manufacturing sector**



1. Foreign-controlled firms are those with a foreign capital share of more than 10% for the Czech Republic and Hungary and for Poland, those with more than 50%. For Poland from 1999, only enterprises employing more than 9 persons are included.
2. Value added per worker in current prices in the manufacturing sector, for each country, was converted to USD by dividing by a proxy conversion ratio. This ratio, an implied unit value ratio (UVR) for manufacturing, is the product of the UVR [national currency/DEM] in 1996 and the UVR [DEM/USD] for western Germany in 1987.

Source: Czech National Bank; National Bank of Hungary; OECD *National Accounts* and *Labour Force Statistics*; ICOP Industry Database, (*www.eco.rug.nl/GGDC/icop.html*); Bureau of Economic Analysis, US Department of Commerce.

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operations. Similarly, outdated legislation governing labour relations prevents firms from optimising employment levels, forcing them to hoard labour and rely excessively on overtime work. The development of road transport infrastructure is based on the implementation of plans elaborated before the emergence of high unemployment, resulting in worsening bottlenecks preventing investment inflows into some of the most structurally disadvantaged regions. Last but not least, foreign firms complain about red tape ranging from the impossibility of promptly obtaining visas for their executives to the refusal of authorities to accept national driving licences from countries such as Canada, Japan or the United States. If the authorities were able to address these concerns, inflows of greenfield and brownfield investment would probably pick up significantly.

Network industries

The administration's growth strategy has recognised that privatisation and liberalisation of network industries constitute an important precondition for successful modernisation. The government sold large stakes in network industries to foreign investors and established independent telecom and energy regulators. Despite these significant achievements, the expected benefits have not fully materialised to date. While the expansion of privatisation-related and greenfield FDI inflows is necessary for a significantly improved economic performance, it is not always sufficient. In particular, dominant operators face newly independent but inexperienced regulators.[108] This implies that excessive prices may well reduce the competitiveness of firms and the welfare of consumers for a number of years.

Telecommunications

Telecommunication tariffs for Czech businesses are the highest in the OECD area (Panel A in Figure 28); this is clearly a serious handicap for a country participating in the catch-up race. Also tariffs for households are among the highest in the OECD. The introduction of call-by-call carrier selection in July 2002 and carrier pre-selection as well as number portability in January 2003 would not yet have had time to make an impact on market prices, but should start showing some effects in the second half of 2003 if the regulator (Czech Telecommunications Office or CTO) ensures that effective implementation procedures are in place. The current Telecommunications Act does not provide the regulator with the powers necessary to operate as an independent authority. A particular problem is posed by CTO's financial dependence on the government that controls its funding through the state budget and requires the agency to hire and remunerate staff according to civil service regulations. CTO cannot recruit top professionals, being unable to offer competitive salaries, quite contrary to the dominant firms in the market.[109] Beyond this important shortcoming which should be remedied, the

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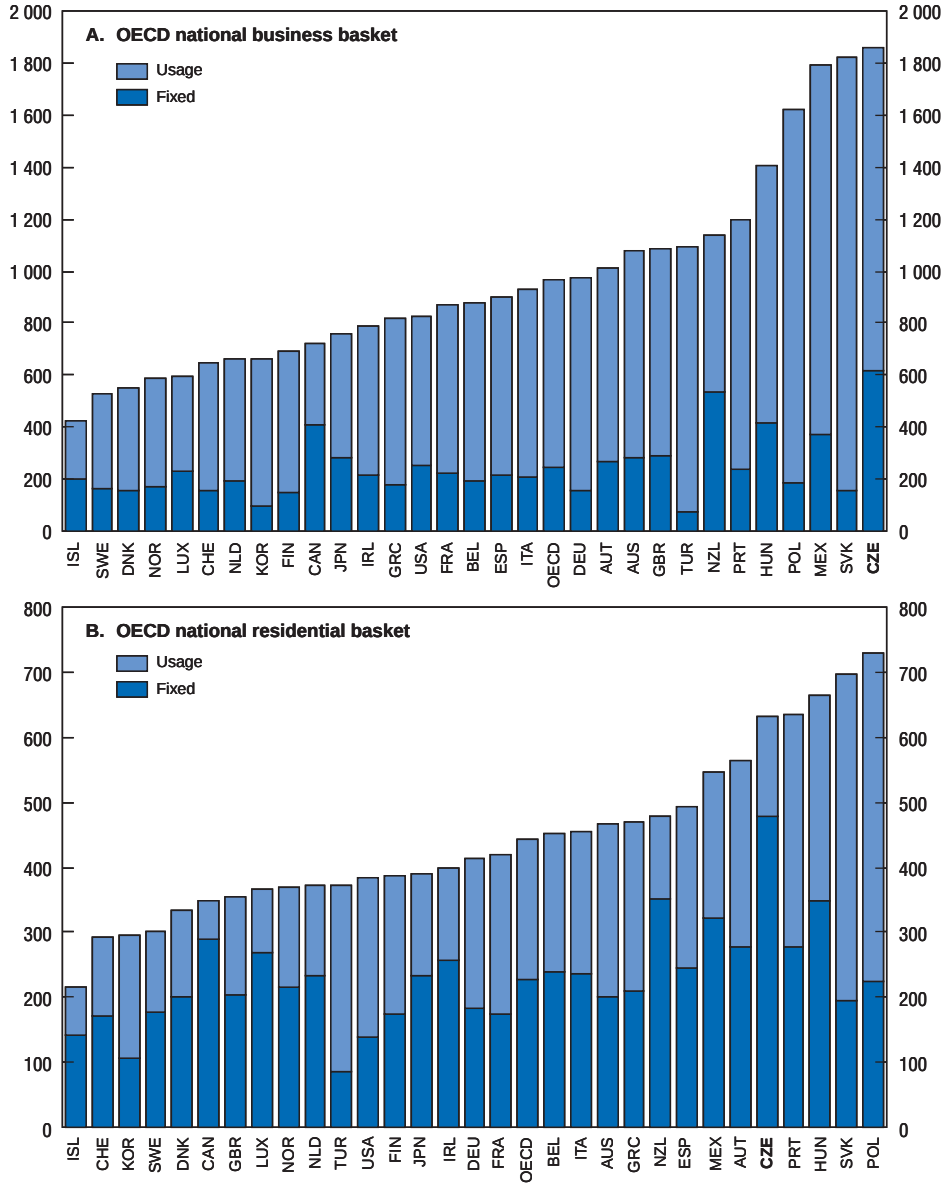
Figure 28. **Telecommunications tariffs**[1]

USD at PPP



1. As at May 2002. Excluding calls to mobile networks and international calls. Business basket excludes VAT. Residential basket includes VAT.

Source: OECD.

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authorities have decided to overhaul the Telecommunications Act in 2003, with the intent to force the partly foreign-owned *Český Telecom* to rent the local loop to any competitor on reasonable terms. Although this legislative advance is welcome, the previous recommendations remain pertinent because only a fully independent CTO can start playing a more active role by imposing rules that promote competition and cut monopoly profits.

In terms of access prices and the internet penetration rates, the position of the Czech Republic remains weak, although the density of secure servers that are suitable for e-commerce exceeds that in other transition economies and some EU countries (Figure 29). Given the comparatively high cost of internet access, the adoption of a pricing model that provides for untimed calls to all subscribers would be a major step in the right direction. Because Czech internet service providers (ISPs) have to pay the incumbent interconnection charges on a timed basis, they cannot offer untimed internet access at affordable rates. Some European regulators (*e.g.* in the United Kingdom) introduced a flat-rate internet access call origination option for internet interconnection, allowing the new entrant ISPs to offer untimed call packages for internet access.

Energy

The government imposed vertical integration on the natural gas and electric power industries, despite the serious misgivings of the OECD and IEA. Having effectively restored an integrated gas industry in 2001, the government sold its controlling stakes in the transit firm *Transgas* and six regional distributors, as well as large minority stakes in the remaining two distributors to RWE of Germany, for € 4.1 billion. This created in effect a quasi-monopolistic, partially integrated utility with substantial market power. Further, a contract providing for a takeover of five regional power distributors by the dominant state-owned utility ČEZ (Czech Power Company) was signed in June 2002. At the same time, ČEZ sold two-thirds of the equity in its high-voltage transmission grid to the state.[110] This partial separation of the grid is welcome, providing that it is neutrally managed.[111] While the merger of Transgas with regional distributors was justified by the need to maximise privatisation revenues, the authorities argue that in the case of the power industry it is desirable to create a strong national champion that can effectively compete in the EU market. The competition bureau approved privatisation of the gas industry with minor modifications, forcing RWE to divest its stake in the largest gas storage facility. The competition bureau has expressed serious reservations about vertical integration in the power sector and launched an investigation that resulted in a decision in late December 2002, approving the takeover of regional power distributors mentioned above but specifying that the state-controlled power generator must sell its stakes in four out of eight regional power distributors within a year and to exit completely from the power grid corporation. Despite

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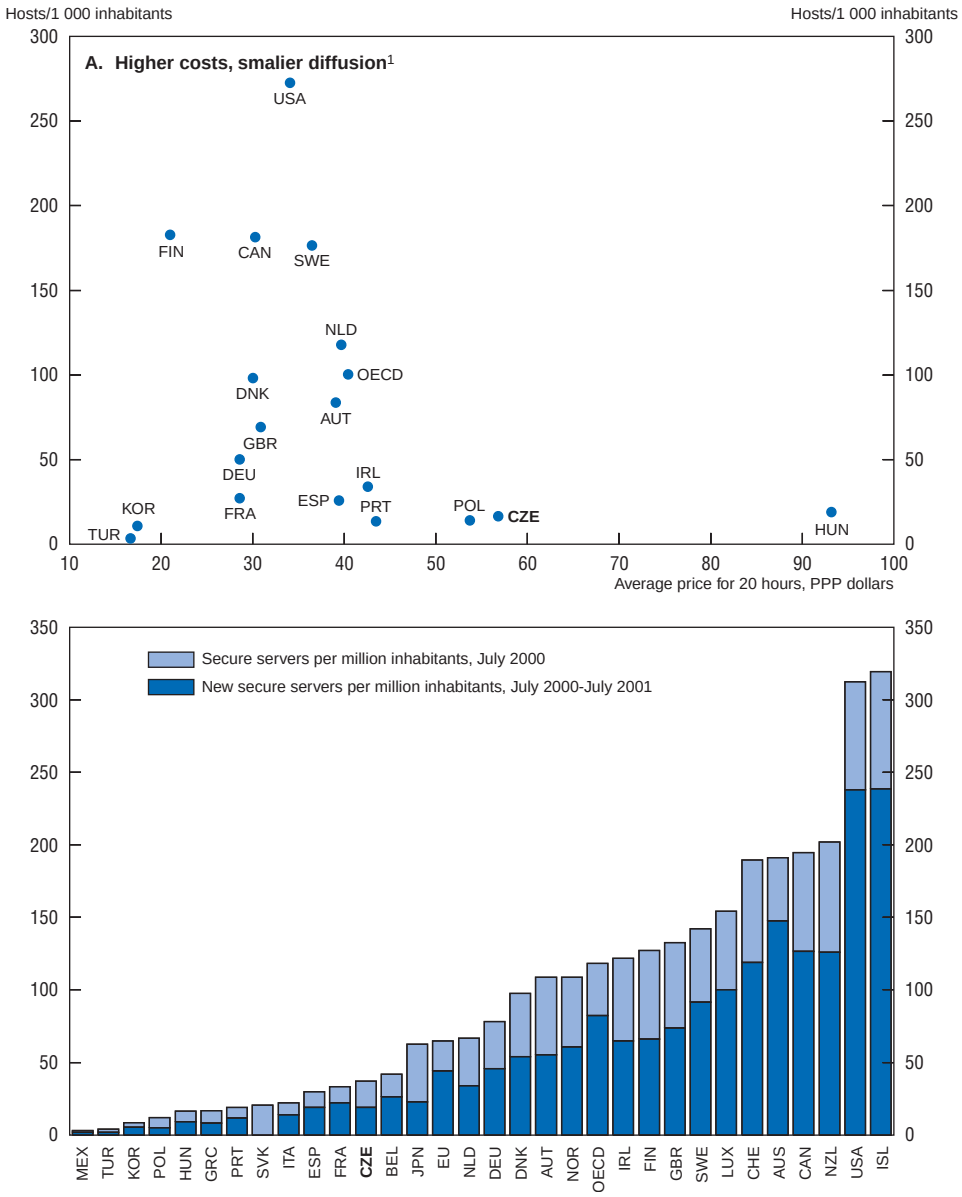
Figure 29. **Internet access costs and hosts**
2001



1. Costs include VAT and discounted telephone useage tariffs and cover both peak and off-peak.
Source: Netsizer (*www.netsizer.com*); OECD.

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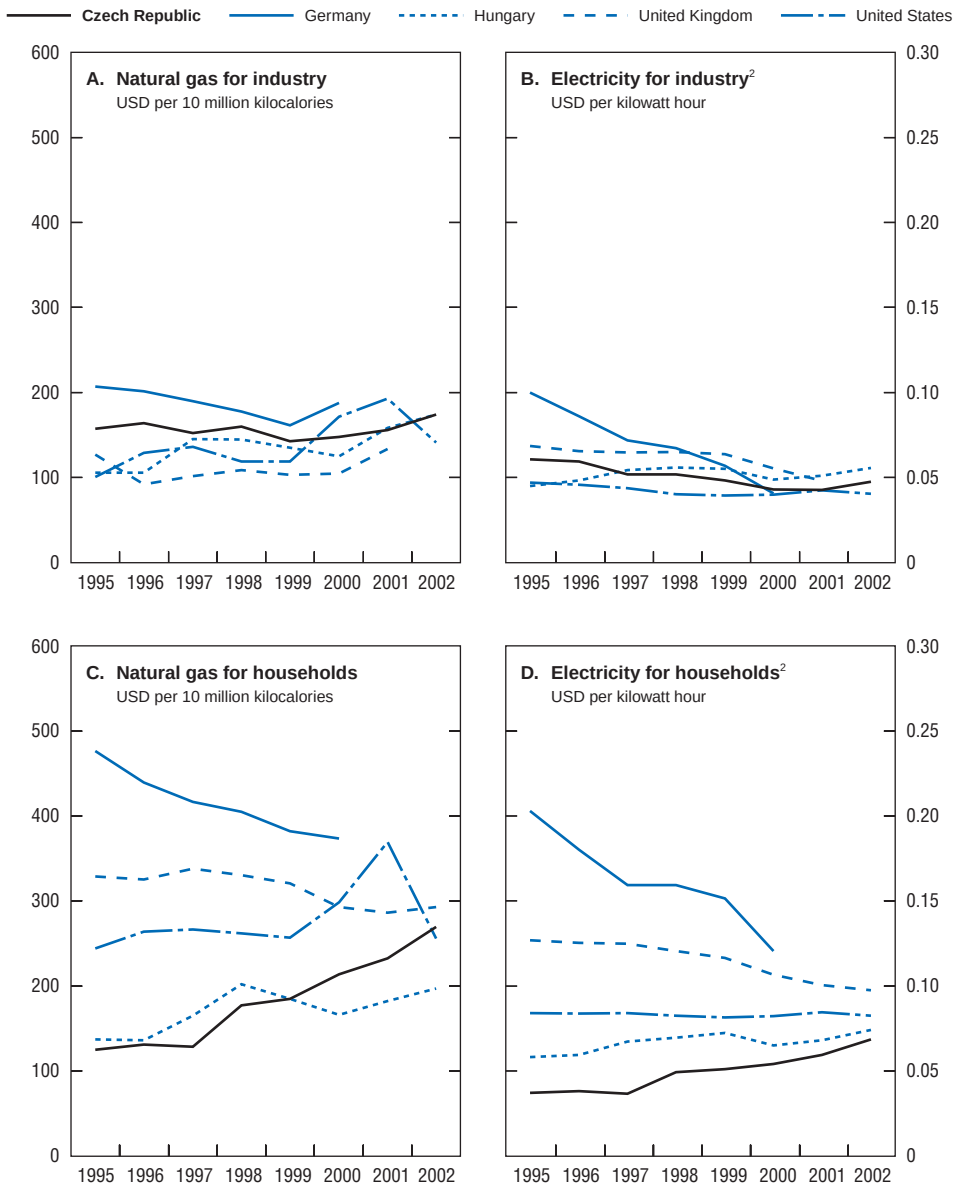
Figure 30. **Energy prices**[1]



1. Data for 2002 are for the first quarter.
2. United States: Electricity prices exclude tax.

Source: IEA, *Energy, Prices and Taxes*, 2002.

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this, the partially reintegrated Czech Power Company is likely to retain its dominant position, given its demonstrated ability to reduce wholesale prices that threatens independent power producers.

The vertical mergers described above threaten to reduce competition in the country's energy markets in spite of their gradual liberalisation. This would imply excessive prices for Czech business and residential customers in the longer term, despite some short-term cuts. In the gas market, such cuts reflect the time-delayed change in the decline of the world market oil prices and domestic coal prices[112] whereas in the electricity market, the dominant operator indicated that it could cut end-user prices comfortably by up to 10 per cent, providing that its take-over of regional distributors was approved by the competition bureau.[113] Nominal domestic prices are already at levels comparable to those of advanced OECD countries (Figure 30). Furthermore, the combination of comparable energy prices and much higher energy intensities (1.6 times above the IEA Europe average) results in relatively high energy bills, reducing the competitiveness. Unfortunately, energy efficiency has remained a low priority for the government despite the population and business needs (IEA, 2001). The Energy Efficiency Plan adopted in 1999 should be implemented with sufficient resources.

The electricity market opening has proceeded gradually, with the number of business customers eligible for competitive purchases increasing from 62 in 2001 to 300 in 2002. Preliminary data indicate that eligible firms enjoy a discount averaging 10 per cent of the regulated electricity prices. The market is to become fully open for both businesses and households in 2006. The opening of the natural gas market is scheduled to proceed at a much slower pace, with one-third of the market to be liberalised by 2006. In both gas and power industries, the pace of the market opening now seems to be dictated by the shifting EU minimum standards rather than by the need to improve the competitiveness of the Czech economy. The Energy Regulatory Office (ERO) remains weak, facing the same constraints as the telecom regulator that are described above. Nevertheless, the ERO imposed price adjustments in the first two years of its existence that eliminated cross-subsidies between customer types – industry and household – but not within each type; for instance, space heating continues to benefit from a substantial subsidy from another tariff category.[114] A more consequent realignment of the relative price structure would improve resource allocation.

Financial markets

The principal changes in financial market indicators are summarised in Table 22. Following the consolidation process of recent years, competition is expected to intensify in commercial banking, ultimately leading to better borrowing terms and services for firms of all sizes. A risk of another major banking crisis appears to be remote, given the new ownership structure (95 per cent of banking

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Table 22. **Financial markets**

	1995	1996	1997	1998	1999	2000	2001	2002 (Q1 and Q2)
	Per cent							
Sector size								
Sectoral employment/total employment	1.9	1.9	2.0	2.1	2.1	2.1	2.2	2.0
Financial assets[1]/GDP[2]	128.8	124.2	128.8	120.7	121.3	125.2	115.9	114.1
Stock exchange capitalisation/GDP[3]	34.1	33.8	28.7	21.8	24.4	21.6	15.7	20.5
Structure of financial flows								
Credits to non-financial sector (per cent of total banking assets)[4]								
Short-term	16.6	17.6	15.9	13.8	12.8	10.4	8.3	7.7
Long-term	20.3	20.9	20.5	18.1	17.0	14.9	10.4	10.1
Internationalisation of markets								
Credits granted by foreign banks incl. branches[5]/total credits[1]	10.7	13.3	16.9	20.4	35.6	63.5	94.8	94.5
Forex credits/total credits[1]	13.4	15.4	20.5	22.4	23.5	21.8	19.4	15.8
Prague Stock Exchange Index[1]				5 April 1994 = 1 000				
PX-50	450	530	521	440	455	552	411	432

1. End of period data.
2. Ratio of total banking assets to GDP.
3. Stocks only.
4. Credits in CZK only, from 1999 all credits are included (Sector S11).
5. Banks with more than 50 per cent of foreign capital.

Source: Czech National Bank; Czech Statistical Office; Prague Stock Exchange; OECD *Labour Force Statistics*.

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assets are now foreign owned) and the significant progress achieved in the area of banking supervision. All banks have maintained a solvency ratio above 8 per cent and most of them have improved profitability. The situation in capital markets is less promising. Following the tightening of supervision and the imposition of new minimum standards, the majority of firms had to be delisted, leaving hundreds of thousands of small shareholders with practically worthless paper. Not surprisingly, risk-averse investments in government bonds, pension funds and life insurance have become much more popular than investments in stocks.

Banking sector

Takeovers of large state-controlled commercial banks by Austrian, Belgian and French financial groups have resulted in a more prudential behaviour and subsequent credit tightening for domestically-owned firms. An improvement in the quality of commercial credits is clearly visible as the share of non-performing loans declined significantly (Table 23). Consumer credits, and especially subsidised mortgages have grown rapidly. The share of total long-term credits continued to rise (Table 22), despite the opposite trend in the non-financial corporate sector. However, dynamic non-financial firms, usually foreign-controlled, have enjoyed easy access to financing for a number of years, either from resident banks or cross-border capital flows comprising FDI, intercompany loans and direct lending by non-resident banks.[115] In contrast, private national firms have typically only limited access to outside finance. According to a recent survey of managers of such firms, about three-quarters of investment is now financed from retained earnings while the share of bank credits has fallen below one-fifth of the total.[116] As in all OECD countries, the majority of national firms are in the category of small and medium enterprises and thus unable to benefit from the generous investment incentives for large projects. In contrast to their counterparts in Hungary, Czech firms have to pay a steep tax on their profits, which increases the significance of outside finance.

The share of loans available to the non-financial business sector has declined in recent years while the household and government shares have increased significantly (Figure 31). While the rapid growth of consumer loans appears to be a natural development in a catching-up economy, the steep increase in the volume of loans to the government sector reflects an unhealthy rise of public debt. The associated crowding-out effect threatens to undermine investment growth unless the authorities pursue fiscal consolidation with more resolve than hitherto. Nevertheless, financing of the small and medium enterprises (SMEs) is likely to improve gradually as the recently privatised banks start competing with incumbents. The creation of a new loan registry, operated by the Central Bank, in the first half of 2002 is important in this respect because it should enable the banks to weed out poor credit risks much faster than before. Figure 31 shows that domestically-

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Table 23. **Banks: main indicators**[1]

	1994	1995	1996	1997	1998	1999	2000	2001	2002[4]
	CZK billion								
Total bank assets	1 215.9	1 469.8	1 704.2	1 949.0	2 046.4	2 110.8	2 255.3	2 500.3	2 512.4
Total bank credits (gross)	619.7	710.7	816.6	944.3	963.8	890.6	863.9	974.9	930.8
Total reserves and provisions		85.6	82.7	102.9	109.5	105.7	79.3	79.2	70.2
Bank profits[2]	5.6	10.1	12.3	–1.4	–7.2	–5.6	14.4	17.0	26.5
	CZK billion								
Composition of banks' assets	49.6	44.7	44.4	44.3	42.8	38.3	35.9	36.9	35.1
Total credits	11.2	11.0	10.1	4.9	4.9	7.6	10.0	11.9	12.8
Short-term securities	8.1	10.7	11.3	7.8	7.3	7.2	6.3	6.5	5.6
Securities in stock and for selling	0.4	0.7	0.5	2.9	2.8	2.7	7.2	6.5	6.6
Property participations and securities hold up to maturity	30.7	33.0	33.7	40.2	42.1	44.2	40.7	38.3	39.8
Other assets									
Distribution of credits by quality[2]									
Standard		67.0	71.9	73.3	73.6	67.9	70.2	78.5	82.8
Classified		33.0	28.1	26.7	26.4	32.1	29.8	21.5	17.2
Watch		7.3	6.7	6.2	6.0	10.2	9.9	7.8	7.6
Sub-standard		4.9	3.0	2.7	3.4	4.3	6.4	3.3	2.8
Doubtful		3.9	2.8	2.9	3.6	4.2	3.2	3.0	2.1
Loss		16.9	15.6	14.9	13.4	13.4	10.4	7.4	4.7
Distribution of credits by maturity[3]									
Short-term				42.0	41.3	38.6	36.5	33.9	28.4
Medium-term				24.2	23.1	23.5	21.3	21.6	24.3
Long-term				33.8	35.6	37.9	42.2	44.5	47.3
	Per cent								
Memorandum items:									
Total reserves and provisions/total assets		5.8	4.9	5.3	5.4	5.0	3.5	3.2	2.8
Total reserves and provisions/classified loans[2]		34.8	34.4	39.4	42.5	36.3	30.8	37.7	43.8
Loss loans/ classified loans[2]		51.2	55.5	55.8	50.5	41.6	34.8	34.2	27.3

1. Data are for the end of the year and concern banks with a valid licence as at 30 September 2002.
2. Without credit to Slovak collection unit.
3. Data concern banks with licence as of the end of given year and included CNB.
4. ata as of 30 September 2002.

Source: Czech National Bank.

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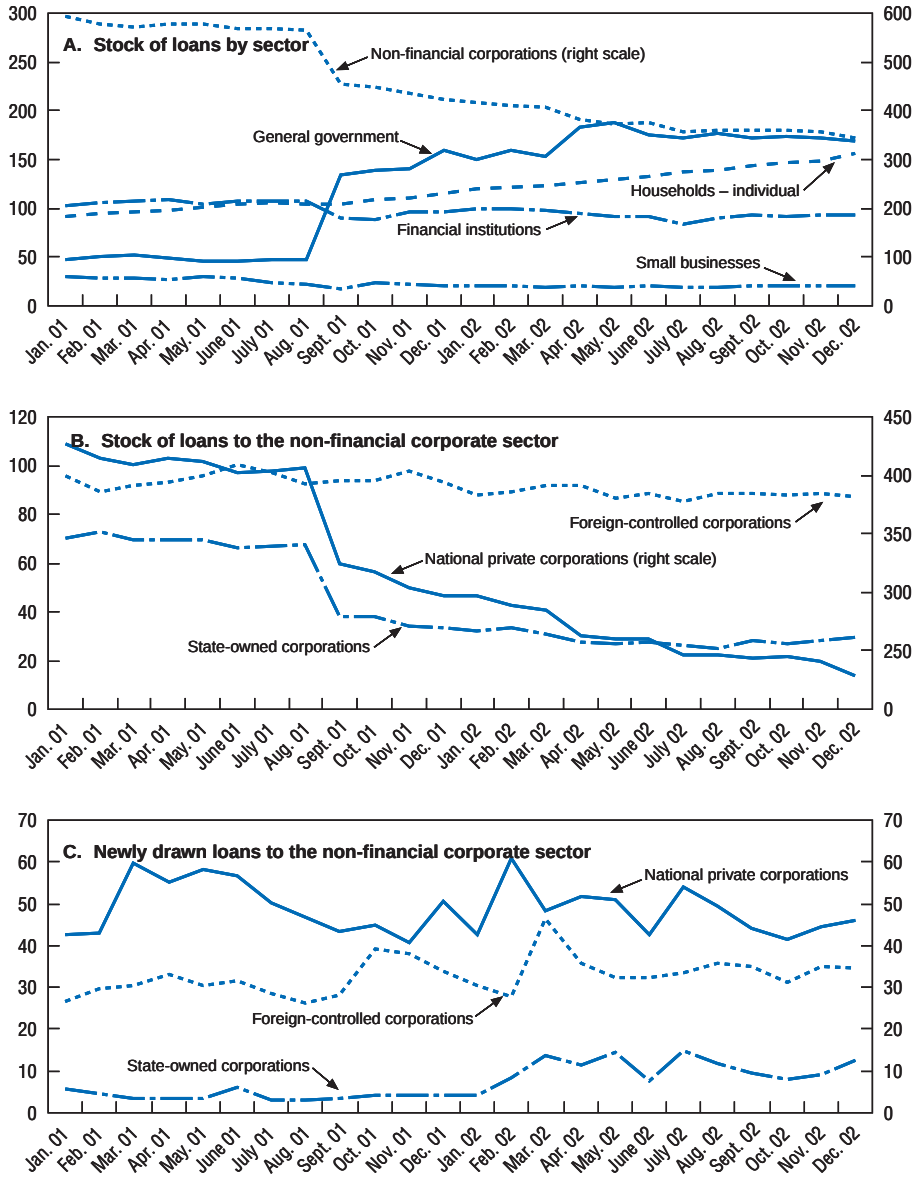
Figure 31. **Bank loans to the non-financial business sector**

CZK million



Source: Czech National Bank (ARAD Database, *http://wdb.cnb.cz/cnbeng/docs/ARADY/HTML/index_en.htm*).

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owned firms account for a falling proportion of bank credit to the non-financial sector. A state-aid financing scheme is available to SMEs but the amounts are relatively modest and unlikely to make much of a difference. Similarly, the amounts provided for SME financing by international financial institutions are low while the associated burden of paperwork exceeds the administrative capacity of most small businesses. Small firms benefit, however, from lax enforcement of various rules. In contrast to the small-business sector, the domestically owned medium-sized firms are in the most difficult position with respect to the financing of investment because they can hardly generate internal funds for investment by evading tax, environmental protection and labour-code statutes with impunity. Thus the best contribution to financing of viable medium-sized enterprises would be a cut in the corporate income tax rate from the current 31 per cent to the statutory levels obtaining in Hungary (18 per cent) or Ireland (12 per cent).

Although another major crisis in the banking sector appears to be unlikely, there are a few risks that deserve to be addressed by the authorities. U*nion banka*, the last medium-sized bank owned by domestic interests and the associated financial group, appears to be the residual loss-making part of the Czech banking sector. Following U*nion's* unsuccessful search for a strategic investor, it became a target for Invesmart, a little known Italian financial group; prudential regulators at the Czech National Bank (CNB) approved the takeover in late October 2002. The U*nion's* new management subsequently started negotiations with the government, requesting a bailout.[117] Clearly, the financial situation of the U*nion* group deserves to be closely monitored by the banking supervision department of the CNB.

The credit union sector remains another potential source of weakness, despite its recent consolidation and vastly improved supervision by the Credit Union Supervisory Authority reporting to the Finance Ministry. Nevertheless, the regulations pertaining to the creation and operation of credit unions remain too weak; the minimum capital required for a credit union is still only CZK 0.5 million (some $16 000) and should be strengthened significantly. The cabinet approved a legislative amendment in October 2002 that would increase the capital threshold 64 times to CZK 32 million ($1 million) but this welcome change has not yet been passed by Parliament. Even a capital increase to this still comparatively low level is likely to pose serious problems for some of the 47 credit unions that currently operate without restrictions.[118] Given the similarity of credit unions to banks, the recommendation of the last S*urvey* to transfer the supervising responsibility to the CNB remains pertinent.

Capital markets and corporate governance

Some progress has been achieved in the key area of corporate governance. The Czech Securities Commission (KCP) produced its own corporate governance code based on the OECD principles in 2001 and recommended its adoption

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to all listed companies.[119] KCP expects that most of them will be able to implement the code fully within a few years. Given the significance of good corporate governance for stock-market listing and robust performance of firms, the authorities may want to encourage modern corporate governance practices faster, although there are limits to enlightenment by fiat. A recent Ernst & Young survey has revealed that a large majority of Czech managers are not even familiar with the term "corporate governance". The number of corporate titles traded on the Prague Stock Exchange (PSE) declined further as some blue chip firms delisted, following takeovers by strategic investors. Consequently, seven large issues represent about three-quarters of market capitalisation. The dearth of tradable shares and the increasing public debt has resulted in the exchange becoming mainly a trading facility for government bonds.

How important are takeovers or mergers in the restructuring process? The Czech corporate sector experienced a takeover wave in the mid-1990s in the wake of voucher privatisation,[120] most of the takeovers being extremely hostile and often involving criminal activities. The introduction of strict requirements for the issuers of securities in 2001 reduced considerably the number of isuues admitted to trading. 458 non-liquid share titles were delisted from the public market organiser RM-System and another 18 firms from the Prague Stock Exchange; further 360 issues were excluded due to companies' own decisions, mergers and liquidations. This process continued in the first half of 2002 when 16 titles were delisted from the Stock Exchange and another 155 titles from the RM-S system. A more productive takeover wave took place since the late 1990s as multinational corporations became attracted to the Czech economy. However, these takeovers also resulted in delistings as the new owners acquired practically all the stock in the firms targeted. Moreover, the restricted free float available for trading of the remaining issues at the stock exchange and the RM-System implies that there is only a limited scope for takeovers via the stock exchange. However, continued sales by the Consolidation Agency of debt owed by vulnerable firms may well result in a rapidly rising number of takeovers as opportunities for debt-equity swaps become widely available.

The Securities Commission has recently decided to utilise EU technical assistance funds from the Phare programme to enable its employees to improve their skills by training with experienced regulators in Western Europe. Four brokerage firms went bankrupt in 2001; in addition to their non-compliance with rules for risk and liquidity measurement and management, some criminal activities might have taken place.[121] Furthermore, the share of insider trading has declined but there are signs that it might have remained high relative to developed markets.[122] The strengthening of supervision, along with adoption and implementation of stricter reporting rules, should then support a gradual revival of the equity market. The Securities Commission should persist in its efforts to encourage new market listings and equity investments, helping overcome the disenchantment

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resulting from the earlier voucher privatisation. Some of the vulnerable firms may return to the stock market under new management and with renewed economic prospects. Public listing would enhance opportunities for investors, notably venture capital investors, to recoup and recycle their placements.

Labour markets

Rising employment, falling unemployment, stable labour force

What have been the principal labour market developments since the last *Survey*? Quarterly labour force *surveys* (LFS) indicate that employment has risen since 2000 while involuntary unemployment declined. The labour force kept declining until 2001 and appears to have risen slightly in 2002. These changes are documented in Figure 32 which also shows that *registered* unemployment has increased considerably since the second half of 2001, probably as a result of ongoing layoffs associated with industrial restructuring and the tightening of early-retirement benefits that may well have pushed a group of elderly registered unemployed into the ranks of welfare recipients.[123] Concurrently, the *involuntary* long-term unemployment measured by the LFS declined. Dependent employment measured by the LFS was stagnant in 2002 while self-employment increased strongly. Registered employment data for the first half of 2002 indicate that dependent employment in firms with 20 or more employees declined by 1½ per cent in the business sector while growing by ½ per cent in the non-business sector. Within the business sector, employment of workers in the FDI segment increased as a result of privatisation and superior profitability of FDI firms.

School leavers who enter the labour market for the first time experience the highest unemployment rates (Panel A, Figure 33). As in other countries, unemployment is inversely proportional to the level of educational achievement. The unemployment rate of the least-educated group with primary or incomplete education rose sharply in the wake of industrial restructuring and stayed close to 20 per cent in recent years (Panel B). High unemployment exceeding 10 per cent remains a serious problem in two regions dominated by declining industries, mining (north-western Bohemia) and metallurgy (Moravia-Silesia). The third and fourth highest regional unemployment rates obtain in central Moravia and south-eastern Bohemia where traditional manufacturing and farming industries went through a considerable downsizing in recent years. The remaining four regions appear to be close to full employment (Panel C). The required labour market policy responses entail both labour supply and labour demand stimulating measures.

Labour-supply issues

Although labour force participation remains high, the welfare benefit system and the high tax wedge on employment income weaken work incentives. In

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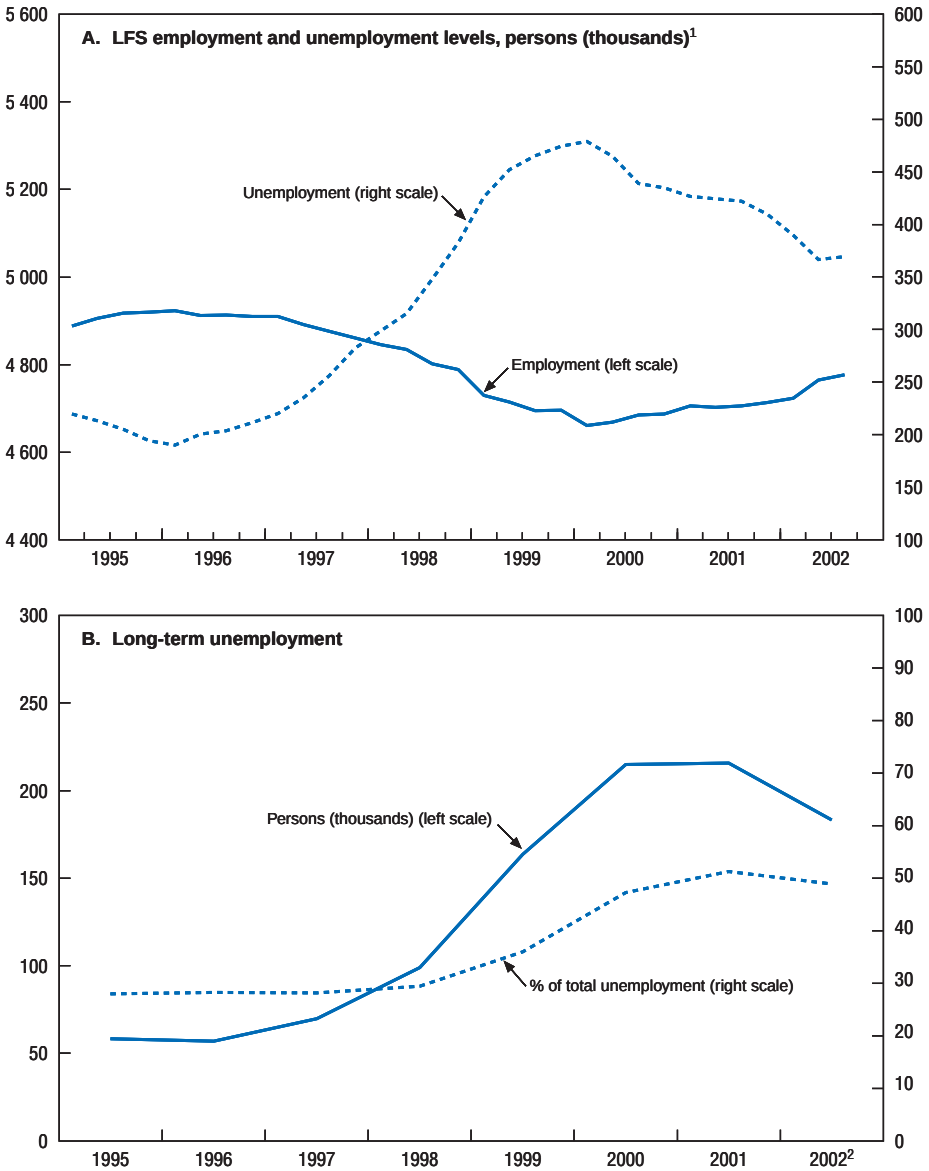
Figure 32. **Employment and unemployment levels and rates**



1. Seasonally adjusted by the OECD.
2. Q3.

Source: Czech Statistical Office; OECD, *Main Economic Indicators, Quarterly Labour Force Statistics* and *Employment* Outlook.

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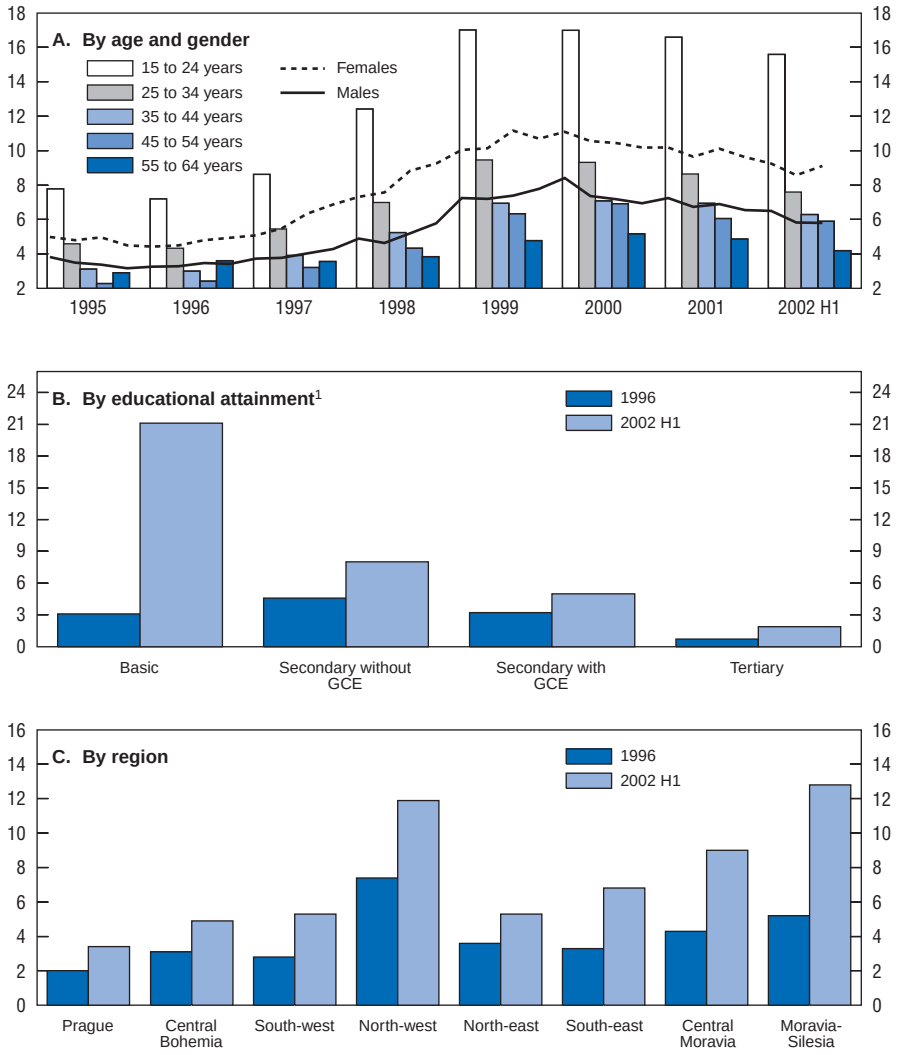
Figure 33. **Unemployment rates by age, gender, education and region**

Per cent



1. According to ISCED 97. "Basic" corresponds to primary and lower secondary education (completed usually by 9th form).
2. "Secondary without GCE" corresponds to lower secondary vocational education taking at most 3 years and providing leavers with no certificate for the labour market as well as postsecondary study not included in tertiary education.
3. "Secondary with GCE" corresponds to general or technical secondary education with a leaving certificate based on final examination.
4. "Tertiary" refers to education in colleges and universities leading to bachelor, master and scientific degrees.

Source: Czech Statistical Office; OECD, *Labour Force Statistics*.

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response to weak work incentives, the authorities have initiated a number of policy responses. First, the government tried to improve the employability of displaced workers by further integrating training grants into FDI incentive schemes while relying less on traditional active labour market policies where participant inflows decreased (Table 24). Second, new pension-benefit rules introduced in July 2001 made early retirement less attractive by imposing stricter actuarial adjustments.[124] Whereas early-retirement benefits (the main reason for growth in the non-active population) accounted for 58 per cent of new retirement pensions in 2001, their share declined significantly to 32 per cent in the first half of 2002, with the overall number of recipients stabilising and expected to fall in future years. Third, the government kept increasing the minimum wage, arguing that this would improve the incentives to work. Fourth, the government has frozen the nominal level of the basic cash-welfare benefit (known as the minimum-living standard or MLS) since October 2001, reducing its attractiveness in real terms. Fifth, the Minister of Labour announced a reform that would cut-off access to unemployment and welfare benefits for school leavers without any previous work experience; this group accounts for some 11 per cent of the unemployed. The contemplated reform is based on the idea that the money saved on such benefits would be better utilised for the creation of subsidised jobs.[125]

Have the new labour-supply incentives been effective? Although inflows of pensioners in pre-retirement age declined, they still remain significant, suggesting that early-retirement benefits may still be too attractive. The authorities might want to consider increasing the adjustment factors again. The significant

Table 24. **Benefit recipients by income support scheme**[1]

	1998	1999	2000	2001	2002
	Per cent of working-age population				
Unemployment insurance	2.1	2.7	2.5	2.2	2.6
Disability	7.4	7.4	7.4	7.4	7.6
Full	5.5	5.3	5.3	5.2	5.2
Partial	2.0	2.0	2.1	2.2	2.3
Early retirement	1.2	1.8	2.5	3.0	3.1
Permanently reduced benefit	0.9	1.6	2.2	2.8	2.9
Temporarily reduced benefit	0.2	0.2	0.3	0.2	0.2
Active labour market programmes[2]	0.7	0.9	1.3	1.2	0.8
Total	11.4	12.8	13.6	13.8	14.1

1. Individuals in receipt of social assistance benefits are not included.
2. Participant inflows in public employment services, training, measures for youth and the disabled and subsidised employment.

Source: Ministry of Labour and Social Affairs; Czech Statistical Office; OECD.

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increase in the number of light disability benefit recipients in 2002 suggests that some older workers have used disability pensions as an alternative to early retirement (Table 24). A tightening or a stricter interpretation of the existing access rules should be implemented. Rising numbers of registered unemployed who are not actively looking for work imply that a growing group of the older workers displaced by industrial restructuring choose welfare benefits over early-retirement benefits. Replacement rates for the long-term unemployed with children have been well above the respective OECD averages in 2001, the latest year available for comparisons (Table 25). In contrast, the unemployment benefit that is limited to six months does not appear to be excessive. The minimum-living-standard (MLS) benefit for adults remains too close to the minimum wage level, discouraging job search by the low-skilled registered unemployed (Table 26).[126] To liberate marginal workers from this unemployment trap, it would be more meaningful to transform MLS payments for single adults and non-child raising adults into in-work benefits. In case of single parents with children, duration of MLS benefits ought to be limited by compulsory schooling. Subsequently, the MLS benefit should be transformed into the in-work benefit applicable to single adults. Although the current legislation entails strict penalties for the abuse of welfare benefits by the registered unemployed not searching for work, it has never been effectively enforced. Thus the widespread abuse of benefits goes hand in hand with employment of illegal workers, mainly from Ukraine, in agriculture, construction and other activities considered undesirable by the Czech unemployed. There are reportedly some 100 000 illegal workers (about 2 per cent of the domestic labour force).[127] The lax enforcement of legislation outlawing such employment helps the smaller, predominantly Czech-owned firms active in these industries to function; however, this "greasing of the wheels" of the labour market constitutes at most a second-best solution. A realignment of welfare benefits that would improve the work incentives of the unemployed able-bodied residents would be a better alternative.[128]

Unsuccessful job-seekers continue to be hampered by their low mobility, lack of relevant skills and, if they happen to be Roma, prejudice on the part of employers (Vecernik, 2001b). Low mobility results from over-regulation of the residential housing market that keeps rents at artificially low levels and precludes an effective enforcement of property rights. Not surprisingly, the supply of new residential housing units has remained extremely low while the number of empty apartments has increased; moreover, the regulated rents are so low that they do not even permit proper maintenance of housing estates.[129] Owners of flats are scared to rent to prospective Czech tenants who are excessively protected. For instance, in the event of a breach of contract, no eviction can take place until the landlord finds a substitute rent-controlled apartment for the tenant. Moreover, the tenant has the right to refuse such alternative accommodation on spurious grounds. Therefore, landlords generally prefer foreign tenants from Western coun-

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Table 25. **Net replacement rates of the unemployed**[1]

	First month of benefit receipt				60th month of benefit receipt			
	Single		Couple 2 children		Single		Couple 2 children	
	APW	⅔ APW	APW	⅔ APW	APW	⅔ APW	APW	⅔ APW
Australia	33	45	62	77	33	45	62	77
Austria	60	61	76	82	55	58	72	78
Belgium	64	85	64	79	45	60	68	84
Canada	62	62	91	97	24	35	62	81
Czech Republic	**49**	**66**	**70**	**70**	**37**	**54**	**80**	**100**
Denmark	63	89	73	95	60	85	80	102
Finland	65	79	83	88	53	73	89	100
France	71	78	72	82	30	43	42	59
Germany	60	67	70	75	54	63	65	71
Greece	47	48	44	46	8	8	10	11
Hungary	48	65	60	75	28	28	38	39
Iceland	55	74	66	79	50	68	87	104
Ireland	31	42	57	67	31	41	56	66
Italy	42	39	53	49	0	0	18	21
Japan	67	82	64	77	33	49	68	87
Korea	55	54	54	54	6	9	18	27
Luxembourg	82	82	87	88	50	70	75	93
Netherlands	82	88	89	85	60	74	71	85
New Zealand	39	57	68	87	39	57	68	87
Norway	66	65	74	82	43	53	62	83
Poland	36	53	46	58	33	48	74	93
Portugal	79	88	79	87	49	70	63	87
Slovak Republic	79	77	78	77	38	54	80	100
Spain	74	76	73	76	23	32	39	57
Sweden	71	82	78	90	54	79	85	110
Switzerland	81	91	91	92	54	78	75	100
United Kingdom	46	66	49	54	46	66	80	88
United States	58	59	57	49	7	10	46	59
Average	59	69	69	76	37	50	62	77

1. After tax and including unemployment benefits, family and housing benefits. Replacement rates are calculated with respect to the average wage of a production worker (APW) and two-thirds this wage. Refer to source for details of measurement differences across countries.

Source: OECD, *Benefits and Wages* 2002 Edition, Tables 3.2, 3.5.

tries who can afford to pay higher rents and appear to be protected less zealously. In addition to its pernicious effect on labour mobility, rent control has been abused by debtors.[130] According to a recent estimate, a deregulated housing rental market would increase employment significantly by enabling the unemployed in disadvantaged areas to get jobs in more prosperous regions.[131] Such detrimental effects underline the need to strengthen property rights if the Czech economy is to become a well functioning market system. The solution to the other two problems facing the unemployed that are willing and able to work is less

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Table 26. **The minimum living standard and the minimum wage**

	Minimum living standard (CZK per month) October 2001				
	Adult	Age of child			
		0 to 6	6 to 10	10 to 15	15 to 26
Personal needs (food, clothes and essential goods)	2 320	1 690	1 890	2 230	2 450
		Size of household			
		1	2	3 to 4	5 plus
Household needs (shelter, heating and basic appliances)		1 780	2 320	2 880	3 230

	Minimum living standard as per cent of 2003 wages:		
	Minimum wage	⅔ average production worker wage	Average production worker wage
Single adult	66	37	25
Couple, 1 child (aged 0 to 6)	149	83	56
Couple, 2 children (aged 0 to 6)	176	98	66
Couple, 3 children (aged 0 to 6)	209	116	78
Couple, 4 children (aged 0 to 6)	236	132	88
Memorandum items:			
Minimum monthly wage, CZK, January 2003	6 200		
Average production worker monthly earnings, CZK, estimate for year 2003	16 588		

Source: Ministry of Labour and Social Affairs; OECD.

straightforward. The value of retraining without mobility appears to be questionable – in the chronically high-unemployment regions with extremely low vacancies, it is unclear what kind of skills ought to be provided by training. With respect to the Roma, the authorities continue to implement a special affirmative programme in public education (see the following section). According to the authorities, some affirmative measures pertaining to retraining and awarding of public contracts have been made available to the working-age Roma population that is characterised by an exceptionally low labour force participation; however, there is no evidence documenting outcomes of such measures. The authorities are encouraged to address this problem more systematically by evaluating and improving targeted programmes aiming to improve the employability and reducing the welfare dependence of members of this ethnic community representing some 3 per cent of the population.

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Labour-demand issues

Demand for labour is hampered by the inability of employers to hire workers on a flexible basis and excessive job protection measures, including the prohibition of firing employees who are on sick leave. An extraordinarily generous sickness benefit scheme, with practically unlimited access and allowing for payments even for weekend days, has become very attractive to low paid workers and employees who expect to be laid off.[132] The abuse of the scheme is widespread – the average incidence of sickness in the workplace increased gradually between 1993 and 2001 from 5¼ to 6¾ per cent of employed workers, and the number of working days lost per worker jumped to 25 per annum.[133] Medium-sized and large firms respond by hiring more labour than required by production technology or by offering additional bonuses (14th and sometimes 15th monthly salary) to "healthy" employees. These practices increase the effective cost of labour, resulting in poorer competitiveness and lower employment in the longer run. A number of small businesses allegedly misuse the scheme by "encouraging" their employees to book sick during periods of slow demand. In this case, social costs of production exceed private costs, a situation leading to resource misallocation and unnecessary public spending.

The previous *Survey* noted that provisions of the 2001 Labour Code concerning notification and compensation of employees are too onerous, contributing to a higher cost of firing. The experience of other OECD countries indicates that high institutional obstacles to firing significantly reduce the chances of workers to be hired and obstruct adoption of modern production techniques (Scarpetta and Tressel, 2002). Therefore, the authorities ought to reform the counterproductive sick leave and notification provisions. A more fundamental change is needed in the basic framework governing employment contracts, moving the Czech practice away from the cumbersome fully binding sectoral framework agreements toward much more flexible agreements between employers and employees on an individual or plant basis. In recent years, the government extended such agreements to non-unionised firms in construction, engineering, textiles and other industries, limiting relative wage flexibility that is essential for a better allocation of labour resources and, ultimately, increasing unemployment.[134] Furthermore, if the authorities intend to preserve high employment rates, then an employment-friendly legal framework encouraging part-time and temporary work practices should be adopted.

Demand for labour is also curtailed by the labour-cost increasing social-security charges that are highest in the OECD as a proportion of tax revenues. Especially low-skilled workers are likely to be priced out of the labour market by such statutory provisions.[135] To stimulate increased employment and promote competitiveness of the economy, the authorities should reduce significantly social-security charges paid by employers. In particular, the employer-paid

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charges on low wages should be cut to in order to increase demand for this type of labour. Further, the government SME programmes promoting entrepreneurship and business start-ups ought to be complemented by a simplification of the complicated tax system and cumbersome regulation of entry that remains more complicated, time consuming and costly than in many OECD countries.

Education and training

Recent OECD research in the Programme for International Student Assessment (PISA)[136] revealed that the overall literacy performance of Czech 15-year old pupils is close to the average of member countries, with some variation across the key indicators (literary – below average; mathematical – average; and scientific – above average). The outcomes are better than expectations based on the per capita national income or per student spending levels (Figure 34) and indicate the availability of human capital suitable for economic modernisation. However, the performance of Czech students is less stellar than in earlier, more traditional tests.

The OECD study mentioned above indicates that in both the Czech Republic and Hungary, literacy could be considerably improved by mitigating the adverse impact of low socio-economic status on student performance. In both countries, low status is strongly correlated with ethnicity. This suggests an effective way of speeding up the formation of human capital by investing more in special programmes targeting the Roma minority. The alternative would be to ignore the issue and thus create a growing underclass of unemployable population.[137] Czech authorities have allocated more funds and teaching assistants to special programmes targeting Roma pupils in the public school system in recent years but no evaluation of outcomes is available yet.

Another labour-market issue is defined by the low number of places available at market-oriented colleges awarding BA and BSc degrees.[138] One important obstacle to the expansion of post-secondary education is posed by the free access principle that largely limits supply to publicly funded services and results in strict limits on enrolment. Given the considerable returns to education, the economic logic of providing free post-secondary schooling is far from obvious. Equity objectives can be pursued by a competitive scholarship programme and a student-loan scheme ought to be considered. However, colleges and universities should be able to charge cost-recovery tuition fees while eliminating barriers to enrolment as far as possible. Further, a standardisation of the secondary school-leaving exams would permit a straightforward assessment of applicants for admission; it would also provide employers with meaningful information about the skills of prospective employees. A new draft School Act, including provisions for such standardisation, is to be submitted to Parliament in the first half of 2003 but it remains unclear whether and when it will be adopted.

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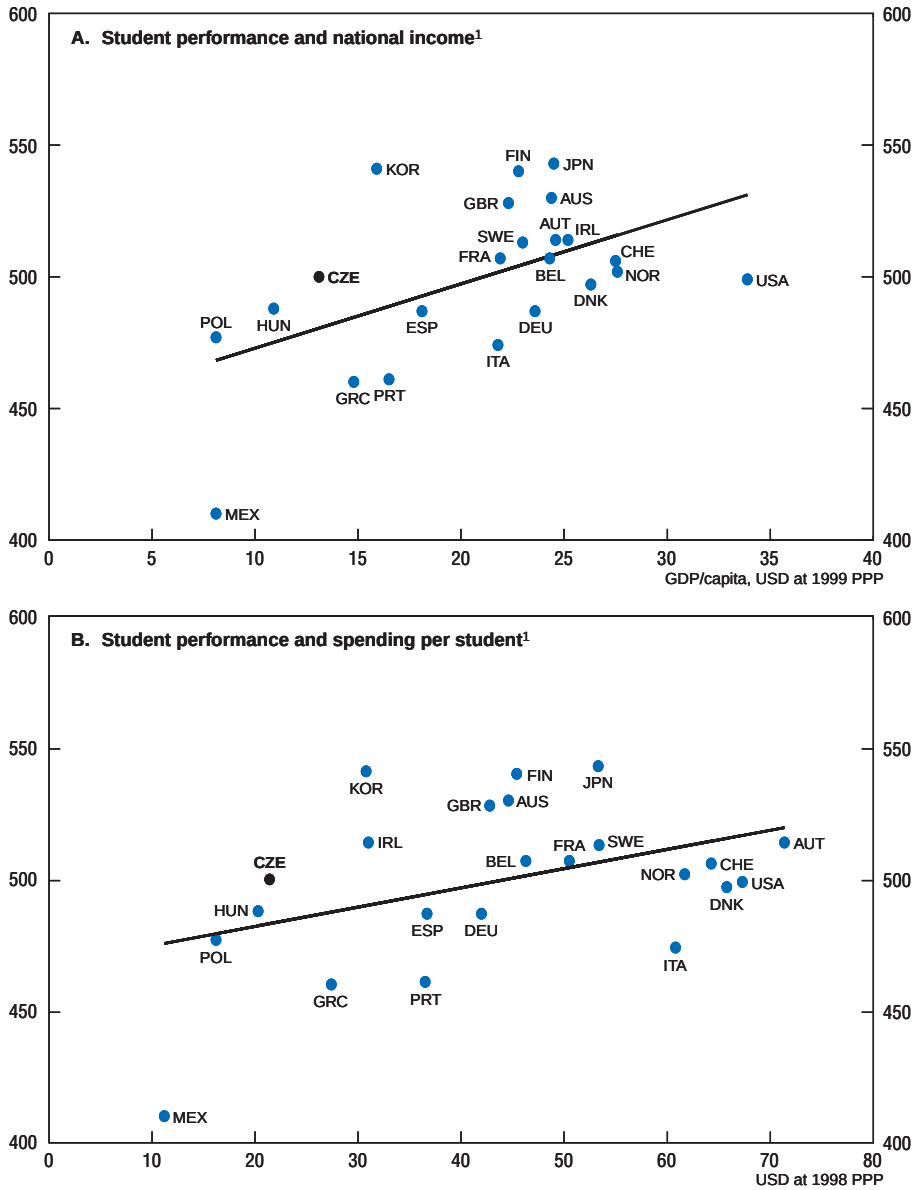
Figure 34. **A comparison of education outcomes**



1. Performance is the average of mean scores on the reading, scientific and mathematical literacy scales. Spending per student is cumulative expenditure on educational institutions for the student up to age 15 years.

Source: OECD Programme for International Student Assessment (PISA) 2000.

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The actual ability of their population to speak English and German effectively enables the transition economies of Eastern Europe to compete for foreign direct investment. While the proportion of Czech students enrolled in secondary schools who study at least one foreign language is impressive and the percentage of working-age population who are able to speak English or German fluently compares favourably with Hungary and Poland, the foreign-language competence still lags considerably EU member countries such as Finland or the Netherlands. A major disadvantage of the Czech public school system is that it cannot attract and retain competent teachers of Western languages. While there are no easy solutions, the authorities should provide for a greater differentiation of teacher pay on the basis of demand and performance than hitherto.[139] It will be also necessary to reduce over-employment in the primary school system. Since 1999, the intake of new pupils has been decreasing by 20 000 six-year old children per annum while the number of teachers has declined by only 100 persons, or just about 10 per cent of the decline that would have left the student-teacher ratio unchanged.

Public sector

Earlier sections of this chapter have shown how government policies have striven to improve the environment for doing business by modernising key commercial legislation, attracting strong FDI inflows through privatisation and investment incentives, opening telecommunication and energy markets, stabilising the financial system, maintaining good standards of education and providing a comprehensive social-safety net. The improved health outcomes described in the previous chapter contribute to enhanced capacity to work. However, all these important results of government activity come at a high price reflected in the considerable tax burden that impacts negatively on the nation's economic efficiency and discourages employment of labour. Moreover, the discussion of fiscal issues in Chapter II shows that this burden is likely to remain heavy in the medium term in the absence of radical changes to spending policies. This section discusses briefly the public administration reform, then examines efforts of the authorities to cope with infrastructure bottlenecks and closes with some taxation issues.

Public administration reform

The new Civil Service Act, adopted in 2002, has created conditions for impartial state administration since it limits political appointments to the deputy ministerial level and above and establishes a set of new financial incentives and performance criteria for professional administrators. Moreover, an Institute of Public Administration has been established in the Government's Office to ensure training and education of competent civil servants. While these changes are generally positive and desirable, there appear to be some shortcomings. Provisions of the new legislation should cover some 75 000 officials, *i.e.* about 40 per cent of

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employees in the public administration. The implementation of a new salary classification and incentives scheme, postponed for the time being, is estimated to cause additional costs to the state budget of CZK 7 billion per annum; it is worrisome that the authorities expect no savings from increased efficiency that should result in significant employment cuts in the overstaffed public administration.[140] An earlier section of this chapter signalled a concern with possible regulatory capture and recommended that the staff of the agencies regulating network industries should not fall within the scope of civil service legislation so that they can attract top talent while paying competitive salaries. The government chose to subject regulatory agencies to the new civil service pay scales; it remains unclear whether this is sufficient to deal with the financial incentive problems specific to these agencies.

Infrastructure development

Despite significant allocations of public funding, infrastructure development has continued to be impeded by the absence of cost-benefit analyses in the selection of priorities and the rare use of transparent tenders. Another difficulty results from the heterogeneous nature of financing of public expenditures on road infrastructure. The Ministry of Transport and Communications (MTC) is responsible for the planning of transport infrastructure development while the extra-budgetary State Fund of Transport Infrastructure (SFTI) disburses funding for the development and maintenance of roads and railways.[141] As its main revenue source consists of privatisation proceeds,[142] once the privatisation process is completed the SFTI will lack sufficient financing to meet its predominately long-term investment liabilities. These considerations imply that SFTI ought to be reabsorbed by the state budget and public infrastructure financed from general tax revenues.

In recent years, the authorities emphasised new investment to develop trans-European network (TEN) corridors. Given the share of public infrastructure expenditure in GDP, which has fluctuated since 1994 at between 3 and 3½ per cent, the emphasis on new development resulted in poor maintenance (World Bank, 2001). Furthermore, the priority TEN corridors have been chosen in the mid-1990s, *i.e.* before industrial restructuring created large pockets of high and persistent regional unemployment (see Box 13). The government decided in the late 1990s to overcome the problem with the aid of a new type of privately arranged project financing rather than by changing its spending priorities. The subsequent paralysis of decision making and the apparent non-viability of concession-based financing in high-unemployment areas imply that it would be more effective to eliminate acute infrastructure bottlenecks with the aid of public financing while reducing costs through open non-discriminatory tenders.[143]

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Box 13. Infrastructure investment issues

Roads

The central government has the administrative responsibility for developing and maintaining major motorways (500 km) and national highways (5 500 km). According to a recent report of the Auditor General (NKU),* 8½ per cent of these priority roads are in extremely poor shape (4½ per cent in 1998). Regional governments are responsible for secondary highways (15 000 km) and local roads (34 000 km). According to the same NKU report, 15½ per cent of the regionally administered network is in extremely poor state. Moreover, MTC has not prepared any integrated programme for reconstruction, modernisation and repair works of the motorways and highways network, which would specify priorities, terms or financial conditions. In addition, existing sub-programmes are often managed poorly and provisions of the Act on Public Tenders routinely violated, which results in wasteful allocation of available resources. E*x-post* cost analyses performed by NKU show that on average 12 per cent of programme expenditure is unnecessary because cost-minimising procedures are neither encouraged nor monitored by MTC.

Another problem is posed by two regions with extremely high unemployment (north-eastern Bohemia and Moravia-Silesia) that fail to attract sufficient FDI inflows due to poor road access. As a partial solution to this problem, the previous government decided in 1998 to prioritise a new motorway project (D47, 80 km) with the aid of private project financing. Nevertheless, this well-intentioned project has become quite controversial. It was approved hastily without any detailed legal and economic analyses and without a public tender. The chosen foreign company (Housing & Construction, an Israeli firm) agreed to build and then operate the D47 motorway for 25 years and transfer it to the state afterwards. During this period, the state should pay an annual toll fee of CZK 3-6 billion. Total costs should not exceed CZK 120-125 billion, including interest payments on €-denominated bonds to be issued by Housing & Construction. According to independent experts, the cost per km will be three times higher than that of a typical motorway financed with public funds. Repeated delays that are associated with interpretations of relevant contracts and the current government's attempts to renegotiate some provisions, imply that if the project proceeds, construction will start only in 2007 and be completed in 2009. To date, the government released no cost-benefit analysis showing that the construction of the D47 motorway would relieve the road access problem better than cheaper alternatives such as a completion of a missing section of the R35 highway that would also significantly improve the road connection between Ostrava and Germany.

Railways

Delayed restructuring of the railway services resulted in a continuous drain on the state budget, averaging about 1½ per cent of GDP per annum. Although employment was reduced over the 1990s, it remains excessively high in the estimation of the state-owned dominant operator, Czech Railways (CD). Despite the

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Box 13. **Infrastructure investment issues** (*cont.*)

separation in January 2003 of CD into a state-owned corporation providing passenger and freight services and an infrastructure state agency, no major rationalisation of the services is anticipated. Construction of new TEN corridors takes precedence over maintenance, resulting in a large maintenance backlog (World Bank, 2001).

A recent Auditor General's report (2001/25) on the use of the funds approved for modernisation of strategic railway corridors indicates similar drawbacks as in the case of road construction and maintenance. These shortcomings include poor project management of existing programmes, inappropriate target setting and uneconomical use of financial resources. Furthermore, it is pointed out that the Czech Railways had an inappropriate influence on the government's decision making. Lack of sufficient programme preparation and documentation, mismanagement and inadequate ex-post control of CD activities resulted in unnecessary cost overruns.

Other NKU reports indicate wasteful investment spending in other sectors as well, such as healthcare and regional development. Violations of public procurement legislation appear to have been massive. Administrative competence of line ministries (Transport, Industry and Trade, Health, etc.) appears to be very poor. The Finance Ministry is often powerless. For instance, an NKU report on support programmes for the Ostrava region states that 99 per cent of the funds were used inappropriately. The Ministry of Industry and Trade ignored Treasury warnings, continuing to disburse programme funds. Management of public finances appears to be still weak and bereft of adequate long term planing, programme assessment (cost–benefit analyses) and continuos control. Public investment funding is provided without sufficient financial analyses and overall programme integrity.

* This report was published on the Auditor General's website (*www.nku.cz*).

Heavy tax burden

The central government's failure to initiate expenditure reform throughout the public sector threatens to prolong the heavy tax burden for many years. The new government aims to stabilise the tax quota (including social-security contributions) at the relatively high level of year 2000 (39 per cent of GDP) and keep it fixed until 2006.[144] The statutory corporate income tax rate of 31 per cent is somewhat below the OECD average but well above the levels in countries such as Hungary (18 per cent) and Ireland (12 per cent) which have continued to modernise their economies with the aid of strong FDI inflows. High taxation of profits penalises national SMEs that, unlike larger foreign affiliates, do not qualify for the gen-

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erous tax incentives described above. Heavy social security taxes, with the highest share of GDP among the OECD countries, increase total labour costs considerably, contributing to unemployment. The apparent direct relationship between high labour taxes and high unemployment rates in EU countries suggests that the Czech authorities should address the high level of social-security contributions, cutting in particular those paid by employers. At the same time, the planned changes in the VAT rates and increases of excise taxes on tobacco products and alcohol beverages are unlikely to increase revenues sufficiently to compensate for significant reductions of taxes on capital and labour; this underlines the need for consolidation of public spending.[145]

The personal income-tax administration is still based on deductions by employers and only the self-employed and those with more than one source of income file individual returns. An introduction of mandatory individual tax returns, processed rapidly by a computerised system, would be beneficial. It would permit the authorities to rationalise the complex system of social benefits. Furthermore, this reform should be complemented by a cost-reducing transfer of responsibility for the collection of contributions from the social-security administration to the tax authority, creating a unified revenue agency. Tax collection costs are excessively high, amounting to approximately 2½ per cent of tax revenue, probably the highest in the OECD area. The fact that costs associated with the tax collection exceed the revenue from property taxes illustrates this inefficiency and points to the need for action.

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Notes

1. As a result of the corporate governance shortcomings of the unconventional privatisation and banking strategies, such as voucher privatisation and government-controlled banking ("banking socialism").
2. Inventory movements in national accounts also include an error term.
3. According to available estimates, the trend growth rate of the economy is currently around 4 per cent in Hungary, 3½ per cent in Poland and only 2¾ per cent in the Czech Republic.
4. The recently completed OECD research project on the sources of long-term growth found that the real increase in capital stock has been the single most important source of growth in OECD economies in the past decades (OECD, 2002a). The Czech economy has already an incremental capital stock/GDP ratio higher than in most other countries; however, this includes large portions of capital of undetermined economic value. Massive suboptimal capital allocation in the 1990s, both as reinvested earnings within firms subject to loose corporate governance, and investment projects financed by loans granted by state-controlled institutions outside conventional banking disciplines, helped build-up largely irrelevant capital stocks. The estimation of their share in the total capital stock is impossible but may represent a lion's share of investment effected in the 1990s.
5. The problem is less acute in the financial services industry where foreign banks already control over 95 per cent of assets. The weight of FDI firms in manufacturing has increased less rapidly but is nevertheless impressive in OECD standards; they account for about one-third of employment, one-half of sales and two-thirds of exports. However, the unfinished restructuring within the nationally controlled manufacturing subsector is large and keeps reducing the aggregate productivity level significantly (see Annex IV).
6. According to the current legislation, able-bodied welfare recipients ought to look actively for work but authorities have been unable to enforce this provision effectively.
7. These features of the labour market institutions are described and analysed in more detail in Chapter IV.
8. The unemployment rates in these four regions in the first half of 2002 were respectively 3.4 and 4.9 per cent in Prague and the surrounding area and 5.3 per cent in south-western and north-eastern Bohemia.
9. See Czech Republic Today, Intellinews, 18 July 2002.
10. Those unemployed for more than one year represent 50 per cent of the total unemployed population which is high in international comparison. A group of older job seekers that were unsuccessful in finding employment for more than four years

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account for 12 per cent of involuntary unemployment. These high proportions of the long-term unemployed suggest that the skills and/or location of a sizeable portion of the unemployed need to be upgraded, if they were to be given a chance of finding jobs at present labour cost levels. In contrast, the participation of persons over 30 years in the formal education system remains close to nil, while retraining courses are dominated by the employed. See Chapter IV.

11. Structural unemployment estimates are in the neighbourhood of 7 per cent. The OECD medium-term projections use a non-accelerating inflation rate of unemployment (NAIRU) of 6.8 per cent for the Czech economy. Assertive reforms in labour markets, notably labour tax cuts re-activating the demand for low-skilled labour, and regional reforms making high unemployment areas better accessible to outside investment and facilitating outward labour mobility, would lead many unemployed to move back to effective labour reserves. The Czech Republic has already improved the accessibility of many of its lower employment regions to foreign direct investment and needs to carry on these efforts. Effective training policies on a larger scale would also help (see Chapter IV).
12. Approximately from $190 to $210 – *e.g.* within the range of minimum wages in Poland and Hungary.
13. According to press reports, the Minister of Industry and Trade had advocated a more limited increase of 3.5 per cent, employers wanted no change while trade unions had demanded a 15 per cent hike.
14. Vulnerable jobs refer to employment in loss-making firms. Due to lack of statistical data on employment in the entire population of such firms, vulnerable employment is approximated by the number of jobs in larger loss-making industrial firms employing more than 100 workers. They account for some 7 per cent of dependent employment in the Czech Republic. For more details, see Chapter IV.
15. According to the latest Dun & Bradstreet credit rating survey completed in October 2002, the number of perfectly creditworthy (Category 1) enterprises in the total population of 4 987 rose to 422 (8.5 per cent, a jump doubling their share compared to May) while at the same time those "in jeopardy" (Category 4) also increased to 350 (6.9 per cent, also almost doubling from May). According to past records, 74 per cent of these vulnerable firms are expected to stop activities in 2003.
16. At present centrally-bargained wage guidelines are re-negotiated and implemented at enterprise level.
17. In earlier accession countries such as Greece and Portugal these EU transfers represented up to 4 per cent of GDP in certain years. However, full utilisation of these funds requires domestic participation in the funding of projects, which may be constrained by fiscal strains (see Chapter II).
18. This would happen because a second-tier of workers with below average human capital is made economically productive.
19. FDI and its positive consequences for the Czech supply structure also play a role.
20. As most of the required catch-up in regulated prices due to better cost-recovery is already completed in the Czech Republic – notably in energy and telecommunications – there is limited "repressed" inflationary pressures in this section of the consumer basket, as a difference from other countries in the region. Future pressures are nevertheless expected in pharmaceutical and housing prices (see Chapters III and IV).
21. This safeguard did not need to be exerted to date.

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22. See Kovacs (2003).
23. Given some legal aspects of the second requirement of the agreement, which were refined in May 2002, the obligation of the collection of 20 per cent of all privatisation proceeds started to be enforced only from June 2002 (after the Transgas privatisation). In other words, only the conversion part of the agreement has been implemented in 2002.
24. By the end of 2002, this agreement was actually implemented only as regards the conversion channel (*i.e.* off-market, bi-lateral transactions) while the bulk of the privatisation receipts were actually converted, the government paying CNB the agreed fees and CNB sterilising the growth in monetary base through its two-weeks repo facility.
25. Monetary authorities estimate that the trend real appreciation rate has decreased and is closer to 4 per cent per year. This deceleration may be explained by the maturation of the first wave of post-transition shocks and the possible narrowing of productivity differentials between manufacturing and service sectors. Even if the precise calculation of an equilibrium appreciation rate is elusive, CNB uses several indicators to diagnose the gap between actual and equilibrium appreciation – including mark-ups and competitive performance in the enterprise sector.
26. The unadjusted credit supply kept falling due to the impact of exchange rate and one-off factors related to the earlier restructuring of bank credit portfolios.
27. The interest rate channel in the monetary transmission mechanism in the Czech Republic works through CNB basic rates via interbank market interest rates (PRIBOR) to credit and deposit interest rates for clients. This relation is verified econometrically for the period of the big interest rate slow-down (in the period July 1998-December 2002, the two weeks CNB repo rate declined from 18.30 to 2.75 per cent, one year PRIBOR from 15.8 to 2.6 per cent, interest rates for newly granted credit from 16.0 to 2.6 per cent and for deposit from 11.0 to 2.2 per cent). Controlling for other factors, CNB estimated that a decrease in nominal short-term interest rates by 25 basis points induces a rise in inflation four quarters later of 0.3-0.4 percentage points.
28. Net aggregate outcomes of restructuring do not only depend on the rate of exits of low productivity firms, capital and employment, but also on their pace of recycling into higher productivity activities.
29. ERM II excludes the current free floating regime without a mutually agreed central rate, it re-establishes the exchange rate as an operational target. If the Bank were to choose the "right" reference rate, then it could remain fixed until the country joined the euro-zone.
30. The real rate of appreciation of the currency is driven by the catching up process, but the combination between inflation and nominal appreciation to achieve it depends on the monetary and exchange rate regime selected. Like other transition and EU accession countries the Czech Republic is at this stage implementing a low inflation target and floating (and appreciating) currency, but its future participation in the ERM II and subsequently in the EMU will reduce the room for appreciation. The additional margin remaining for higher inflation will also be limited by EMU rules but at that stage the natural (equilibrium) appreciation rate will be further reduced and can be more easily accommodated. Any brisk appreciation in the course of this adjustment path may take the rate of appreciation above equilibrium, with unwelcome consequences for the real sector if firms do not exhibit sufficient downward price and wage flexibility.
31. The authorities use the GFS86 methodology for fiscal policy evaluation because cash-based government accounts are available promptly and the national budgetary classi-

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fication is compatible with them, allowing for quick inter-temporal comparisons of expenditures and revenues (see Annex I). In contrast, the ESA95 framework that is fully compatible with Czech national accounts is more suitable for the fiscal policy stance assessment but is more demanding in terms of statistics, economic analysis and accounting.

32. The previous OECD *Economic Survey of the Czech Republic* (2001, p. 112) included a special chapter on fiscal spending reforms. Its main recommendations included budgetary reform, systematic programme evaluation and improved transparency.
33. This Fund was included in the general government sector since 2001. An act passed in 2000 has changed its main activity to distribution of subsidies. Up to 2000 the Agriculture Fund was included in the non-financial corporations sector because its main activity consisted of market intervention operations.
34. Fourteen elected regional governments were created by a new Law on Territorial Government. District offices, which represented the central government but were part of local governments until 2000 were phased out by the end of 2002, and part of their assets and personnel were transferred to the regional governments.
35. International fiscal reports exclude these privatisation-related expenditures and revenues from the scope of the fiscal stance, treating them "below the line" (see Annex I).
36. With regard to its income per capita level.
37. Hanousek and Palda (2002) suggest that the total tax burden may be resented by large segments of the population and tax avoidance and tax evasion may have increased. However, there is no further evidence on this issue.
38. And a registered unemployment rate of 9.9 per cent, inflation rate of 2 per cent and wage growth of 5.5 per cent.
39. This figure does not include a pending investment loan by the European Investment Bank for flood reparations and the related government spending. The transaction will be included in the general government accounts when approved by Parliament.
40. OECD projection.
41. Such as foreign and domestic private business investment.
42. On the basis of last decade's records, the elasticity of general government deficit to GDP expressed as a percentage of potential GDP may be estimated at between 0.7 and 0.9 per cent. However, this estimation is fragile because of lack of sufficiently stable cyclical GDP and fiscal records (see Table 12).
43. Outstanding liabilities of CKA for bank cleaning purposes are estimated at around 10 per cent of GDP, in addition to a similar amount that has already been disbursed.
44. Act on Budgetary Rules (218/2000). Only transfers to local governments are included.
45. With the exception of "environmental guarantees", which remain non-transparent in this document.
46. The medium-term budgetary outlook was introduced for the first time in 2001 and this practice continued in 2002, this latest outlook covers the time period 2003-05.
47. The medium-term outlook includes information on the yearly balance of the pension system but no estimates of the present value of longer-term PAYG deficits. Projections by the OECD Secretariat (see Box 5 and Chapter III) point to the likelihood of a total social-security deficit amounting to 6-8 per cent of GDP over the coming decades if entitlements or contributions are not modified. This is a tremendous fiscal challenge which begs for policy response. Generational pension accounts were introduced in the

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United States in 1993, followed by Germany, New Zealand, Norway, Sweden and the United Kingdom. Governments of Australia and Canada estimate implicit liabilities stemming from their public pension systems on a regular basis. In Hungary, since the late 1990s the annual state budget includes an attachment with a 50-year pension projection.

48. By contrast, domestic political pressures for fiscal consolidation have been rather slight.

49. Such a reform would help restore the financial sustainability of the public pension system and if it were implemented, the consolidated deficit could fall below 4 per cent of GDP by 2005 (see Box 5). The previous S*urvey* described how actual pension expenditure exceeded the minimum amounts implied by indexation rules. See OECD (2001).

50. The responsiveness of health care services to society's preferences determines their allocative efficiency, and their capability to minimise costs at given quality their technical efficiency.

51. Health services and products funded from private sources and excluded from the scope of social insurance will be labelled, through this chapter, "complementary services". This includes services or comfort elements, which are not considered as medically necessary (and therefore not reimbursed) and medically necessary services which are demanded outside the public health system for non-medical reasons (such as convenience of access, preference for certain technologies, etc.). Services considered as "complementary" in many other countries are in the Czech Republic either categorised as "medically necessary" or altogether banned – as there is practically no free market for privately funded health care.

52. Relatively small interregional differences in life-expectancy may be related to differences in environmental, working and living conditions – for instance northern Bohemia has suffered from intensive combustion of poor quality cool. Improvements in health status seem to benefit to all age groups and there is no evidence of noticeable inequalities across social groups, other than the discriminating influence of education. There are symptoms of health status differences according to ethnic origin (the Roma minority might be disadvantaged) but no study has checked if differences remain after controlling for education.

53. Even in these areas however, mortality rates are less than proportional to incidence rates in international comparison – possibly pointing to the ability of care providers to deal with the detected cases. Improvements may also be due to the availability of modern technologies and drugs following liberalisation.

54. During 1919-24, the newly independent Czechoslovak Republic was one of the first countries to extend obligatory health insurance to the entire wage-earning population. In 1966, the Czechoslovak law on health services promised full and free health care services on the basis of citizenship alone (and not according to employment status and employer affiliation as in other socialist countries). The "Basic Charter of Citizen Rights" of 1990, which is a part of the post-transition Constitution, re-asserted the principle of free and equal health care. Article 31 declared: "Everybody has the right to the protection of his/her health. Citizens are entitled under public insurance to free medical care and to medical aids under conditions set by law." Health insurance entitlements are therefore defined by law and not by government policies and regulations.

55. It must be admitted that the health status of the population depends only partially on the quality of health services. It is equally influenced by factors such as income levels,

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education, nutrition, working conditions etc. Diets have considerably improved, compared to the late 1980s when the Czech population had a very low consumption of fruits and vegetables, 37 per cent of the population smoked, and the levels of blood cholesterol were the highest in Europe. In 2000 by contrast, the Czechs consumed 155 kg of fruits and vegetables per capita against 132 kg in 1993, the largest improvement in OECD countries. Nonetheless, the upgrading of treatments (including emergency interventions and surgeries) and medication (including the administration of more effective drugs) had major effects, in particular in the area of circulatory diseases.

56. For example, the losses incurred by the two large Prague hospitals equalled their annual turnover. In the course of the big payments crisis some providers refused to offer services without direct cash payments by patients, a big step back from social insurance.

57. Capitation payments follow service flows to the extent each physician provides a "coverage service" to a variable pool of patients and is paid in proportion.

58. Only certain over-the-counter drugs, categories of aesthetic surgery, in-vitro fertilisation, sophisticated dental care and certain medical devices are paid out-of-pocket, under maximum price regulations. They make up only a small share of health expenditures (8.6 per cent).

59. The "equilibrium" amount of health care resources remains unknown, as markets for privately-funded services are not authorised. With demand for health care by certain population groups being highly income elastic, additional demand is likely to develop in an environment of liberalised transactions.

60. This is confirmed formally in the annual report of the General Health Insurance Fund, 2000.

61. After eliminating the outliers, and referring to the third most stringently endowed region in each medical speciality as a benchmark for others.

62. The approach adopted here fails to control for the special status of the Prague area as a medical excellence centre, necessarily a more intensive employer of sophisticated human and technological resources. Yet anecdotal evidence reveals that the region, beyond its technological sophistication, also suffers from mainstream excess capacity.

63. Leaves of absence are compensated from the very first day, at a "social income" rate calculated as a percentage of the minimum wage. This income may assure a replacement rate superior to 100 per cent for low wage earners, as it is also paid during weekends and holidays. Large numbers of low-income workers take sick leave for weekend periods (when they do undertake undeclared work, including on the surrounding Fridays and Mondays). Sick leaves are also utilised to postpone job cuts by declining firms.

64. The Czech social-security administration employ physicians who check sick-leave claims on a random basis. However, the low number of such controllers and the frequent collusion between the sick-leave claimants and their physicians preclude any detection of massive fraud.

65. Two factors underlie the higher health spending for older cohorts. First, a large proportion of health expenditures are incurred at the end of the life cycle. This effect concerns therefore only the oldest cohorts, and not the generations below them, even if they are also ageing. Secondly, older and frailer population groups generally recourse to more frequent services and many health technology innovations cater to their needs.

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66. Since 1998 the General Health Insurance Fund has foregone annual government subsidies of CZK 800 million to be (partly) freed from such funding responsibilities.
67. An EU-sponsored co-operation programme with Netherlands aims at transferring recent experience and know-how in the area of integrated community care.
68. Newly introduced or more widely provided care includes, hip and knee endoprostheses, advanced pacemaker implantations and bone marrow transplantation.
69. All screening tests have also a certain share of false positive results, *i.e.* subjects with a positive test but no disease, so that all positives have to undergo additional and often expensive testing.
70. Vecernik, 2001b.
71. Citizens have at present access to complementary services and products in a small number of markets in stomatology, artificial incubation, esthetical surgery and, unrestrictedly, in pharmaceutical markets where drugs with additional attributes (in addition to the fully reimbursed reference product in each therapeutic group) are paid out of pocket. In care markets *stricto sensu*, such commercial differentiation of services, including more convenient and comfortable and therefore more expensive hospital wards and examination techniques are not developed. Commercial development of such services is banned, but quality differences which naturally arise within existing capacity are arbitraged through out-of-market means, notably under-the-table payments to parties controlling access to such resources and by superior information of the elite groups who know which specialists to consult.
72. Except for "child GPs", a well-established Czech speciality. An individual paediatrician follows a baby from birth to up to 18 years of age, providing a range of testing, preventive and referral-to-specialist services. This surveillance was compulsory before the transition and continues to be voluntarily used by large numbers of parents.
73. PPP exchange rates equalise the price of a representative basket of consumption goods and services in domestic and international markets. This adjustment does not suffice to equalise the price of health services and products to their level in partner countries, because local health prices are lower than the other domestic prices. This concerns principally physicians' and health personnel's salaries and to a lesser extent medical product prices.
74. Physicians' and other medical professions' wage claims are reinforced by the growing international standardisation and transferability of their skills, and their emigration prospects after EU accession. The Czech Medical Chamber has been energetically contesting the government intervention in medical professions' wage and fee negotiations with health insurers since 2000. Pharmaceutical producers also request faster price increases and threaten to discontinue production of the most "price repressed" products, notably generic drugs.
75. Service sector prices tend to converge internationally in proportion to productivity and wage growth across sectors (the so-called Balassa-Samuelson effect). Health sector prices will in principle converge internationally only when productivity and wage catch-up between countries will be completed. Higher labour mobility in the health sector may however accelerate this process more than in other sectors.
76. The methodology utilised in these projections is inspired by the approach taken in OECD, *New Directions in Health Policy*, 1995, which is now refined for more elaborate projections in the framework of the OECD Health Project. A similar but less detailed approach was utilised in the special chapter on health care reform of the 2000 *Economic Survey of Hungary*. Annex III provides a summary of this methodology.

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77. All mandatory health insurance expenditures (even if funds are not formally in the public sector) and direct health-related spending from the state budget have been aggregated as general government expenditures. This approach is consistent with recommended national accounts principles.

78. Projected in the framework of the growth scenarios of Chapter I, Box 2.

79. This is a conservative assumption, not allowing for any "superior good" character for health care services (which would imply an above-unity elasticity of health service demand to income, at macroeconomic level). It also implies a relatively limited aggregate impact from ageing, in line with lower Czech elderly spending coefficients.

80. This is a conservative price evolution path because it projects only a domestic price equilibration process, without any direct catching up to international and European prices.

81. The Minister for Health has changed once a year from 1990 to 2001, and none of the many draft Health Acts prepared has been adopted by the government and submitted to Parliament. Health policy is a contentious area within the winning coalition since the June 2002 elections and only a very short general statement on health policies has been made by the new government.

82. It may be argued that health insurance funds are purchasing agents on behalf of the entire population. However, as health care coverage is a formal constitutional liability of the general government, health insurance funds operate as the spending agents of the general government.

83. Their boards and executives have been in charge for longer periods than government ministers. The CEO of the largest fund (VZP) has not changed since 1991.

84. The important role that they played in the 1997 "capacity norm" exercise has been a significant contribution. In line with the Ministry of Health recommendations and following this assessment VZP refused to conclude new contracts with 176 providers and terminated contracts with 130 others (Czech Association of Health Services Research, 1998). Health insurance funds have also contributed knowledge and been a negotiation party in the settlement of reimbursement rates in the DRG experiment.

85. These attempts have not been always successful. HIFs are not entitled to refuse contracts to providers except under rare circumstances and face political and regulatory difficulties in enforcing quality, performance and other standards. They nevertheless act in this direction.

86. Legal and regulatory rules and political influences do not always facilitate the utilisation of the available information. On the providers' side, information on the efficacy of treatments and the performances of alternative (and competing) providers cannot be made public on grounds of "privacy of information". On the other hand, HIFs are entitled to present and recommend the best performing suppliers to their enrolees. HIFs also follow the drug prescription behaviour of physicians and inform them yearly on their prescription behaviour, in comparison to colleagues of same disciplines. On the patients' side, the most blatant area of waste, namely sick leaves, the identity of the physicians involved in granting the needed certificates cannot be traced by HIFs as benefits are handled by another social security agency.

87. True competition is lacking but there are strong incentives for risk selection. While 60 per cent of the premia collected are centralised in a compensation fund, risk equalisation is based on age and grouped only into two categories – ordinary enrolees and enrolees older than 65 – without regard to differences in morbidity.

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88. The incentives and decision rights that the DRG system will create for hospital managers and physicians will need to be monitored. Hospital managers, now exposed to hard budget constraints, will see their governance rights strengthened. Physicians will remain less driven by financial considerations and are expected to continue to act as quality agents. Tensions between the two parties (*i.e.* between a previously secondary and previously omnipotent party) would be counterproductive and should be avoided.

89. The 11 university and teaching hospitals, which represent around 23 per cent of acute bed capacity are not affected by this law and will be managed by the Ministry of Health.

90. Regulatory safeguards will be necessary to ensure the transparency of such operations. Private investors need also to demonstrate, and financially guarantee, their ability to run these essential facilities in the public interest.

91. Hospitals had managed to obtain changes in payment mechanisms in late 1990s, shifting their financing away from FFS and restoring quasi-budget funding on the basis installed capacity. See above.

92. Labour-intensive care strategies and technologies are penalised when hospitals do not need to amortise capital and depreciation costs but need to fully fund current costs including labour and pharmaceutical inputs.

93. The Czech Republic's position in the IMD World Competitiveness Scoreboard moved from the 40th place among the 49 economies assessed in 2000 to the 29th place in 2002. See IMD (2002). The latest available comparison based on the economic freedom index and comparing 123 countries, ranks the Czech Republic in the 38th position, second to Estonia (35th position) among the transition economies. See Gwartney and Lawson (2002).

94. For instance, the three-year old government's pro-growth strategy recognised the need to improve the legal environment for doing business, corporate governance, industrial restructuring, and liberalisation of network industries and professional education. However, it has not addressed the need to improve significantly the efficiency of the public sector and work incentives.

95. Productivity growth over the 1990s was also considerably faster in Poland than in the Czech Republic. See Landesmann and Stehrer (2002).

96. For instance, a former high official appointed to implement the government's anti-corruption drive in the Ministry of Foreign Affairs was taken into custody in July 2002 and charged with embezzlement, arranging a contract killing of an investigative journalist and other crimes.

97. The 2002 corruption perceptions index for the Czech Republic has the value of 3.7 points (on the scale of 0 to 10 points between the poles of extreme corruption and its complete absence), well below 4.9 points awarded to Hungary (33th place), 6 points for Slovenia (27th place) and 9.7 points for Finland (1st place). See Transparency International (2002).

98. See Djankov *et al.* (2000). According to the data provided to the Secretariat by the authorities, the Czech performance improved considerably since late 1990s, with the average entry time declining from 97 to 67 days, the number of procedures falling from 11 to 10, and the cost of entry falling from 25 to 4 per cent of per capita GDP. The entry time can be reduced by 34 days if the applicant obtains relevant documents from the Criminal Register in Prague and the registering court personally rather than by mail;

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however, this option increases the entry cost for the entrepreneurs not residing in the capital.

99. Even in case of a purchase of a pre-registered company, the records must be updated in the Commercial register with names and addresses of new owners, directors, etc. Reliable data in the publicly accessible Register improve transparency of the business environment.

100. In mature market economies with creditor-oriented bankruptcy rules such as Germany and the United Kingdom, the number of successful compositions represents about 1 per cent of bankruptcies. In contrast, the incidence of compositions is significantly higher in the debtor-oriented bankruptcy systems of the United States or France.

101. The truck maker *Tatra Kopřivnice* was sold to the US-based SDC financial group, the tractor producer *Zetor* to a Slovak entity (HTC holding), and the integrated steel mill *Nová Huť* to the LNM holding controlled by Ispat International, the 8th largest steel producer in the world. The prospects for the sale of the second state-controlled steel mill (*Vítkovice Steel*) and its principal supplier of coke (OKD) are unclear, while a domestic group owns the remaining integrated steel mill.

102. Sales of two other firms participating in the revitalisation programme (*Vítkovice Steel and ČKD Holding*) as well as the residual part of the *Škoda* engineering group remain to be completed.

103. Each of these vulnerable firms employs more than 100 workers. See Ministry of Industry and Trade (2002).

104. For a description of the IPB collapse and its subsequent sale to CSOB, see OECD (2001), p. 144.

105. CKA is not allowed to resell bad loans to the original owners of distressed firms. According to numerous press articles, these owners are sometimes able to buy back discounted claims on their firms through a chain of transactions following the CKA block sales. See *e.g.* *Hospodářské noviny*, 20 November 2002.

106. Unipetrol was created by consolidating both profitable and loss-making firms in the petrochemical industry with the aim to minimise post-privatisation job losses. Provisions of the public tender for privatisation of this artificial conglomerate included clauses limiting the right of the prospective new owner to close unprofitable parts of the conglomerate for a period of eight years. Low bids reflected the impact of such restrictions.

107. Despite a simplification of customs procedures in July 2002, border crossings for trucks appear to have remained congested.

108. These dominant operators are either fully controlled by a foreign conglomerate (natural gas industry) or partly state controlled (major telecom firm) or fully state controlled (largest electricity producer and distributor).

109. Technical assistance provided by the Spanish telecommunications authority as part of an EU programme helped to somewhat offset this handicap by upgrading skills of the current CTO staff. Moreover, the government created a working group of representatives of the regulatory agencies and the respective line ministries to address the problem; this group started to meet in November 2002.

110. A subsidiary of the FNM purchased 51 per cent while the Ministry of Labour and Social Affairs acquired 15 per cent of the high-voltage grid. The latter transaction is supposed to provide the yet to be established Social Security Agency with initial funding.

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111. The partial separation of the grid is insufficient to ensure neutrality as long as CEZ keeps exercising management control on the basis of its minority share.

112. The linkage between the domestic price of coal and the regulated price of natural gas appears to be unique in the OECD area.

113. CEZ makes it clear that this is the maximum price cut it considers acceptable, regardless of the price decision of the regulator. See *Profit*, 5 August 2002.

114. The energy regulator plans to remove this distortion within two years.

115. See Hájková, (2002).

116. See *Trend*, 31 July 2002, p. 6.

117. If these negotiations result in a rescue plan, the competition authority will have to assess its terms and approve the bailout only if it conforms to the state aid rules of the European Union.

118. Government-appointed administrators run two credit unions while 29 have been subjected to bankruptcy proceedings. Another 51 credit unions have been liquidated while some 90 000 clients received up to 90 per cent of their savings from a guarantee fund financed mainly by the state budget.

119. For principal features of the KCP corporate governance code, see OECD (2001), p. 149.

120. For a description of the Czech voucher privatisation and its unfavourable impact on the capital market and industrial sector, see the 1998 and 2000 *Economic Surveys*.

121. The largest bankruptcy of this kind took place a year ago, resulting in losses of CZK 2.2 billion to some 30 000 clients of the KTP Quantum brokerage. Its chief executive has been in custody since May 2002. See *Respekt*, 16 December 2002.

122. See Hanousek and Podpiera (2002).

123. According to the labour force survey data, the group of registered unemployed who are either unable or unwilling to work grew from 35 to 57 thousand persons between the first quarters of 2001 and 2002, *i.e.* by 60 per cent.

124. At the same time, delayed retirement was made more attractive by increased benefit levels.

125. This initiative appears to have been inspired by the UK programme for unemployed school leavers.

126. In addition to the MLS benefit paid by the state, welfare recipients also qualify for housing and other benefits provided by local authorities. Therefore, the incentive to accept a minimum wage job is quite weak.

127. Another 100 000 foreigners work in the Czech Republic legally. Over one-half of them are Slovak citizens who need no work permit, given the bilateral labour-market agreement between the Czech and Slovak Republics.

128. The government has submitted recently to Parliament an amendment to the Act on Social Needs (No. 4821/1991) that regulates welfare benefit levels. The amendment stipulates that only 70 per cent of earned income should count in the calculation of the welfare benefit, motivating recipients to seek low-paying jobs. While the amendment would somewhat improve work incentives, it is unclear whether Parliament will adopt it.

129. The poor maintenance of housing estates has already resulted in growing transfers on an *ad-hoc* basis.

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130. "Rent control is so effective a means to devalue collateral that on the eve of execution or bankruptcy debtors frequently have been renting out their property." Schönfelder (2001), p. 414.

131. The estimated increase of employment (50 000) persons would generate budget savings that are equivalent to 1 per cent of GDP. *Prague Business Journal*, 2-8 December 2002, p. 5.

132. The sickness insurance scheme is also available on voluntary basis to self-employed persons.

133. The experience of Flextronics, a multinational manufacturer of electronic products, provides a good illustration of the problem. Once the firm announced that it would close its plant in Brno (the second-largest Czech city), the incidence of sick leave increased so drastically that labour had to be imported from neighbouring Slovakia at higher cost, in spite of high local unemployment in Brno.

134. The number of non-unionised employees affected by administrative extension of sectoral agreements increased from 173 000 in 2000 to almost 270 000 per annum in 2001 and 2002 (*i.e.* 8½ per cent of the dependent employment registered in the business sector).

135. At the same time, self-employment is promoted by artificially low social-security contributions that remain below the levels paid by minimum-wage earners.

136. See (*http://pisa.oecd.org/Docs/Download/*PISA2001(*english*).*pdf*).

137. Growing because the fertility rate of the Roma minority and its age structure imply a much faster population growth than that of the non-Roma majority. See Kalibová (1999).

138. According to feedback received by the CzechInvest agency, some secondary and post-secondary education programmes have become increasingly divorced from labour-market realities, resulting in growing numbers of graduates with irrelevant skills and shortages of those whose technical skills and language abilities are needed in the private business sector.

139. Some measures to remedy the problem are to be provided in the draft of a new Act on Teaching Staff that is to be submitted to Parliament in the first half of 2003.

140. The number of employees in the public administration sector increased steadily from 132 675 in 1993 to 182 358 persons in 2001.

141. In a limited way the European Union also provides some funding (ISPA and optionally SAPARD for local infrastructure).

142. Apart from road tax, a percentage of the excise duties on hydrocarbon fuels and lubricants, and user fees on some motorways.

143. The current law provides for a 10 per cent cost advantage for domestic bidders that may result in unnecessarily high project costs.

144. While the Czech Republic's tax to GDP ratio is only a little higher than the OECD average, it exceeds by 5 percentage points the average of the low-income group of member countries that includes Hungary, Greece, Korea, Mexico, Poland, Portugal, Spain, Turkey and Slovakia. This finding is consistent with a recent study of the World Bank on taxation in transition economies (Mitra and Stern, 2002).

145. The planned changes in VAT and excise duties are driven by the need to harmonise Czech tax regulations with those of the EU. The Finance Ministry's medium-term revenue projections indicate that these changes will not generate enough revenues to allow deep cuts in profit and social-security taxes.

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Glossary

AUT	Austria
AUS	Australia
BEL	Belgium
CAN	Canada
CHE	Switzerland
CEZ	Czech Power Company
CKA	Czech Consolidation Agency
CNB	Czech National Bank
CSO	Czech Statistical Office
CZE	Czech Republic
CZK	Czech koruna
DEU	Germany
DNK	Denmark
ESP	Spain
EUR	Euro
FDI	Foreign Direct Investment
GBR	United Kingdom
GFS	Government Finance Statistics
GRC	Greece
FIN	Finland
FRA	France
HUN	Hungary
HIF	Health Insurance Fund
IMF	International Monetary Fund
IRL	Ireland
ISL	Island
ITA	Italy
JPN	Japan
KCP	Czech Securities Commission
KOR	Korea
LUX	Luxembourg
MEX	Mexico
MoF	Ministry of Finance
NOR	Norway
NLD	Netherlands
NZL	New Zealand
POL	Poland
PRT	Portugal
SNA	System of National Accounts

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SVK	Slovakia
SWE	Sweden
TUR	Turkey
USA	United States
VZP	General Health Insurance Fund of the Czech Republic

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Annex I

Government accounts

OECD adjustments

The OECD adjusted accounts used in this survey are based on the Finance Ministry's consolidated general government accounts (GFS 86), which cover the state budget, extra-budgetary funds (seven state and two privatisation funds), social security funds (health insurance companies) and local governments (municipalities and since 2001 regions), while transformation costs, related to prior privatisation or banking sector stabilisation, and privatisation revenue received by relevant agencies (*i.e.* the National Property Fund and the Land Fund), are excluded. Privatisation revenue is treated as a financing item without any direct impact on general government balance, being viewed as a financial transaction resulting from the exchange of one financial asset (shares) for another (cash). Transformation costs which are ultimately related to the privatisation process and represented by transfers to so-called transformation institutions – the Czech Consolidation Agency's financial group and Ceska Inkasni (a state agency set up to collect claims pertaining to old debts of the former state-owned trade bank) – are treated as financing items in the OECD adjusted accounts. Loans extended by the government and receipts of principal payments are also treated as financing items in the OECD accounts while appearing as either expenditure or revenue in official GFS accounts. The OECD also does not consolidate social-security contributions paid by the government on behalf of its employees, in contrast to GFS accounts.

Aside from the changes mentioned above that modify fiscal aggregates, the OECD adjusts the composition of general government revenue and expenditure as follows. Health payments for the treatments paid by the compulsory insurance system, which are treated as transfers to households in the GFS, are reclassified as government non-wage consumption. Subsidies to "contributory organisations" and non-profit organisations that provide social services on behalf of the government are also reclassified as government consumption. Total government consumption is decomposed into wages and non-wage consumption by subtracting from the adjusted GFS aggregate the product of the average general government wage and employment in the non-business sector.

The OECD adjustments should increase the correspondence between the GFS and SNA categories. Once the Czech Statistical Office (CSO) starts producing its SNA accounts on a timely basis,[1] the OECD will replace its adjusted GFS accounts with the official ESA95 accounts. Aside from the issue of timeliness, the recent reclassification of the Consolidation Agency in CSO general government accounts implies that the 2001 ESA95 data are not fully comparable to the corresponding 2000 and 2002 data.[2]

Reclassification of the Czech Consolidation Agency (CKA)

In the official GFS general government accounts CKA is still classified as a part of the financial institutions sector (outside the general government sector), although following the

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Consolidation Bank's transformation into the Consolidation Agency in 2001, CKA should have been integrated into general government accounts. However, CKA has a fully accrual accounting system and does not produce any cash flow or cash-transactions statements, so that it was impossible to transform its accounts into cash-based terms. Moreover, a reclassification of CKA as a general government agency would have generated a major inconsistency in the actual time series. Nevertheless, in the context of a joint project with IMF, starting in spring 2003 and concerning an implementation of the new accrual-based GFS 2001 methodology, GFS 2001 accounts will be compiled on an experimental basis and include CKA in the general government sector. At a later stage, when the GFS 2001 government accounts will have been produced regularly, it should be possible to derive conformable SNA accounts instantly with the aid of a simple transformation matrix.

Meanwhile, the CSO acting in line with Eurostat recommendations has integrated CKA accounts into the general government sector in the ESA 95 methodology,[3] since the last quarter of 2001. The main reason for this decision was that the Consolidation Bank (KOB) ceased to exist upon the expiry of its banking licence on 31 August 2001. CKA has been established as of 1 September 2001 as KOB's legal successor and is obliged to complete all activities assumed from KOB, the main difference being that CKA is an institution of non-banking character (without a banking licence). For this reason, it is not allowed to receive deposits from public and provide loans; however, it continues to manage state property and the State fully guarantees its liabilities and is committed to cover its losses. On the contrary, CKA's subsidiaries (Ceska Financni, Konpo, etc.), that form – together with the Consolidation Agency – the CKA financial group, have remained in the financial institutions sector, even though they are fully owned and financed by CKA. To date, CSO has not accepted Eurostat's recommendation to reclassify its annual time series of general government accounts in a consistent manner, while including the Consolidation Bank/Agency in the general government sector since 1993. This makes meaningful comparisons over time extremely difficult.

Notes

1. CSO compiles general government accounts according to ESA95 norms but publishes them with a lengthy delay.
2. Another consistency problem results from the variable treatment of military procurement. Whereas purchases of fighter planes are treated as investment expenditure in the 2001 national accounts, such purchases are treated as government consumption in the 2002 accounts.
3. Pre-accession economic programme 2002 has already assumed CKA as fully incorporated into the general government sector.

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Annex II

Extra-budgetary funds

The National Property Fund (FNM) which owns the majority of entreprises to be privatised and collects and allocates most privatisation proceeds, and the Land Fund that plays a more modest role in the privatisation process are quasi-commercial entities governed by special statutes. Their operating budgets (administrative expenses) are approved by Parliament but their mainstay fund collection and distribution activity is fully controlled by internal management, acting according to relevant laws and implementing decisions under government guidance. The Auditor General may control specific FNM activities that implement government decisions but cannot audit its overall performance. Unlike other XBFs, the FNM and the Land Fund are not bound by the public sector pay scales.

Seven other extra-budgetary funds (XBFs) are also in operation,[1] but in terms of resources and expenditures, the Property Fund is the most important. It recycles a large share of privatisation proceeds to the cleaning up of the balance sheets of the privatised banks. For this purpose, FNM funds the Czech Consolidation Agency (CKA), which "purchases" the old and non-performing loans inherited by the privatised banks. It tries to extract the highest possible economic value from them – a difficult task.[2] Even if this is not its formal legal status, CKA should also be considered an extra-budgetary fund as well. Its predecessor (Consolidation Bank) was classified as a financial institution outside the general government, although its activities were fully subsidised and had no prospects of generating profits. In September 2001, following the transformation of the Consolidation Bank into CKA, its accounts were integrated with general government accounts, in conformity with the ESA95 framework. Upon completing its mission in 2011, CKA will have dedicated around 20 per cent of the present yearly GDP to the cleaning up of bank balance sheets.

Significant post-privatisation liabilities also result from the "environmental clean-up guarantees" granted to industrial firms upon their privatisation. These guarantees cover privatisation investors for *ex-post* increases in their cleaning costs following tightening environmental regulations. While banks' bad loan assets are clearly identified in the budget documents presented to Parliament, environmental guarantees and their underlying costs are non-transparent. The outstanding financial liability arising from environmental guarantees, as estimated by FNM, appears to have increased significantly in recent years. Additional stress for government finances is due to the Agricultural Intervention Fund that was recently shifted into the state sector. This fund is heavily dependent on the state budget, implements agricultural policies according to government decrees and should administer agricultural subsidies from the EU in the post-accession period.

In general, all XBFs may threaten long-term public finance sustainability (Table A1). Most XBFs run permanent deficits, financing them mainly by sales of remaining assets and depletion of reserves from earlier years. However, the Agriculture Intervention Fund has also resorted to bank financing over the last couple years and the State Fund of Transport

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Table A1. **Extra-budgetary funds**[1]

Revenues and expenditures, consolidated basis

	1995	1996	1997	1998	1999	2000	2001	2002[2]	2003[3]
	CZK billion								
Revenue									
Revenue and grants	15.4	8.7	8.0	7.1	5.8	8.5	35.2	31.3	37.0
Revenue	15.4	8.7	7.9	6.8	5.8	5.4	30.8	28.3	32.3
Current revenue	15.3	8.6	7.8	6.8	5.8	5.4	30.8	28.3	32.3
Tax revenue	0.1	0.0	2.6	2.3	2.0	1.7	18.8	19.5	20.3
Non-tax current revenue	15.2	8.6	5.2	4.6	3.8	3.6	12.0	8.8	12.0
Capital revenue	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Grants	0.0	0.0	0.2	0.2	0.0	3.1	4.3	2.9	4.7
Expenditures									
Expenditures and net lending	2.7	–1.1	7.2	10.7	3.8	17.9	10.8	–1.7	76.8
Expenditures	25.5	17.7	18.7	24.6	21.1	37.1	70.8	121.6	87.4
Current expenditure	21.5	14.4	15.7	21.1	17.8	28.0	50.2	82.6	54.2
Expenditure on goods and services	0.7	1.0	1.2	1.8	1.4	1.4	2.5	7.3	8.2
Interest payments	1.6	0.5	0.3	0.0	0.0	0.2	1.3	0.9	0.3
Subsidies and current transfers	19.1	12.9	14.2	19.3	16.4	26.4	46.4	74.5	45.6
Capital expenditure	4.0	3.3	3.0	3.6	3.3	9.0	20.6	38.9	33.3
Fixed investment	0.0	0.0	0.1	0.0	0.0	0.0	0.1	0.1	0.1
Capital transfers	4.0	3.2	3.0	3.5	3.3	9.0	20.5	38.9	33.2
Lending minus repayments	–22.8	–18.8	–11.4	–13.9	–17.3	–19.2	–60.0	–123.3	–10.7
Extra-budgetary funds balance	12.7	9.8	0.8	–3.6	2.0	–9.4	24.3	33.0	–39.7
Extra-budgetary funds balance excluding lending minus repayments	–10.1	–9.0	–10.6	–17.6	–15.3	–28.6	–35.6	–90.3	–50.4
Memo:									
Privatisation revenue	27.1	25.7	13.8	15.5	26.0	20.5	59.9	126.1	14.3

1. GFS 86 basis. Extra-budgetary funds include the National Property Fund, the Land Fund, the Environmental Protection Fund, the Cultural Fund, the Cinematography Fund, the Soil Fertilization Fund, the Housing Fund and the Transportation Fund (both since 2000), the Agricultural Intervention Fund (since 2001).
2. Preliminary.
3. Adjusted budget programme and plans of privatisation funds.

Source: Ministry of Finance.

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Table A2. **Guarantees and off-budget liabilities**

	1994	1995	1996	1997	1998	1999	2000	2001
	CZK billion							
Consolidation Bank (KOB)/Czech Consolidation Agency (CKA)	81.4	78.9	70.4	86.0	84.6	133.0	164.0	163.7
Ceska inkasni	29.8	24.9	32.2	32.2	27.0	20.4	12.8	6.1
State risk-adjusted guarantees[1]	3.0	6.0	28.0	74.0	107.0	112.2	104.1	237.1
Guarantees and off-budget liabilities	114.2	109.8	130.6	192.2	218.6	265.5	280.9	406.9
Guarantees and off-budget liabilities (per cent of GDP)	**9.7**	**7.9**	**8.3**	**11.4**	**11.9**	**14.0**	**14.2**	**18.9**
Reported gross government debt	207.8	210.9	206.7	217.5	240.0	275.2	332.4	404.5
Reported gross government debt (per cent of GDP)	**17.6**	**15.3**	**13.2**	**12.9**	**13.0**	**14.5**	**16.7**	**18.7**
Memorandum item:								
FNM environmental guarantees[2]	15.5	18.4	31.2	35.6	34.7	33.6	32.4	29.9
FNM other guarantees[3]	5.1	5.0	4.8	4.6	4.5	3.7	5.6	5.3
Implicit pension date (per cent of GDP)[4]	127.9	119.9	115.0	117.4	117.7	124.0	128.0	130.0

1. Including state guarantee for CSOB (IPB case).
2. Risk weight (30 per cent) derived from long-term observation of the actual settlement as compared to notional amount guaranteed.
3. Exclusive of one guarantee for KOB/CKA which will not be called.
4. Assets which would have to be built up to cover the pension system deficits over the next 50 years. Based on data submitted by the Ministry of Finance for the purpose of the OECD Fiscal Implications of Ageing project.

Source: National authorities; OECD.

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Infrastructure has utilised its revolving credit facility. Financing of the housing and infrastructure funds still depends mainly on privatisation revenues that cannot be generated permanently. The State Fund of Transport Infrastructure receives a portion of the excise taxes on petrol whereas the Environment Fund is entitled to pollution tax revenue. For the time being, the debt of XBFs other than CKA has remained relatively limited. In the future, the planned creation of the Social Security Agency is bound to generate huge contingent liabilities because its endowment (15 per cent of equity in the national high-voltage grid) cannot finance projected deficits of the PAYG system. Even if in accounting terms the projected agency will be part of central government it is designed as an autonomous institution, with capitalised liabilities not showing in government debt. The present value of such liabilities exceeds significantly 100 per cent of GDP (Table A2).

Notes

1. These are the Cinematography, Culture, Soil Fertilisation, Housing, Transportation, Environment and Agricultural Intervention Funds.
2. See Chapter IV on the consequences of this process for the restructuring of debtor enterprises.

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Annex III

Fiscal scenarios for the health system

Two scenarios have been developed to describe the likely evolution of fiscal costs of the health system, by distinguishing two types of such costs:

a) *General government healthcare expenditure* refers to a sum of disbursements by health insurance funds (around 90 per cent of public healthcare spending) and direct health-related spending from the state budget and sub-national government budgets (such as direct grants to hospitals and research institutions, representing 10 per cent of public healthcare spending).

b) *Net fiscal claim of the health sector* consists of yearly transfers from the state budget and local governments to health insurance funds,[1] together with other direct public health-related spending. This narrower accounting approach considers health insurance funds as service providers, which are fee-funded by health insurance premia. The fiscal claim of the health system is calculated "net" of these premia collections.

Total health expenditure, *i.e.* the sum of general government healthcare expenditure and private health expenditure by households, has been estimated as follows. Starting from the actual level in 2001, total health expenditure has been projected through 2030, with the aid of three assumptions:

Assumption 1. The elasticity of real health expenditures to real GDP growth is equal to unity in the coming three decades. In the context of health expenditure projection exercises, this assumption is conservative.[2]

Assumption 2. Relative prices of health services and products in comparison to the prices of other goods and services composing GDP reach gradually a structure similar to other EU countries by the end of the projection period (2030).[3]

Assumption 3. A rationalisation of publicly funded healthcare capacity takes place during the period 2004-05. A reduction of the general government healthcare expenditure of 5 per cent from its trend level is factored in each year.

On the basis of this total health expenditure projection, the evolution of the general government healthcare expenditure has been described by the following two scenarios.

Scenario 1. The share of general government funding in total health expenditure remains frozen at its 2001 level (91.35 per cent) throughout the projection period.

Scenario 2. This share decreases gradually to 75 per cent, with the share of private payments in total health expenditure increasing to 25 per cent in 2030.[4]

On the basis of these general government healthcare expenditure projections, the net fiscal claims of the health sector have been derived by projecting and netting out the

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health premia collections. Health premia collections have been estimated on the basis of the OECD projections pertaining to active population, employment, productivity and wage growth,[5] assuming constant health insurance contribution rates at 13½ per cent of gross wages.

Notes

1. Transfers made to fund deficits of the health insurance funds. Such transfers do not include premia contributions paid on behalf of government employees and inactive persons.
2. It projects a moderate response of expenditures to ageing, technological innovations and growing service expectations of the population.
3. Compared to the experience of other late-accession countries (such as Greece, Portugal and Spain), this assumption is also conservative. In these countries health prices came close or went above other GDP prices within less than two decades of EU accession. See Figure 24.
4. Independently from the form taken by these private payments – user fees, co-payments or private insurance.
5. These are also used in other parts of this *Survey*, see Box 1.

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Annex IV

A tale of two-sectors

As a result of an inconsistent growth performance in the 1990s, the Czech Republic's aggregate labour productivity, measured by GDP per worker, fluctuated around 45 per cent of the US level. Following a significant setback during the 1997-99 recession,[1] the catch-up process started to unfold in the wake of significant structural progress taking place in recent years that coincided with massive FDI inflows averaging about 10 per cent of GDP per annum.

This broad picture conceals a major difference in the productivity performance of the goods-producing and service sectors. Whereas labour productivity in manufacturing, the largest goods-producing industry, reached about 28 per cent of the US level in 2001, the relative productivity of the service sector was slightly above one-half of the US level.[2] The superior performance of the service sector reflects the larger extent of FDI inflows and foreign ownership, *e.g.* foreign affiliates control by now over 95 per cent of banking and telecommunication assets but only about 40 per cent of industrial assets. Delayed restructuring of manufacturing firms resulted in the existence of a significant, albeit shrinking cluster of loss-making national firms that are characterised by sub-par productivity and sales performance.

A successful two-sector catching up process presupposes that foreign penetration of the manufacturing industry will continue at a rapid pace as a result of strong FDI inflows, including both takeovers and greenfield investments. Whereas the share of foreign affiliates in manufacturing sales in Hungary and Ireland is well above 70 per cent, it approaches at present 50 per cent in the Czech Republic. The expected completion of the large greenfield projects under way, including the € 1.5 billion automotive plant built jointly near Prague by PSA and Toyota, is likely to propel the ownership structure of Czech manufacturing closer to the Hungarian-Irish pattern. This will assure that the dynamic catch-up process continues, providing that loss-making firms are either restructured or liquidated much more rapidly than hitherto.

The productivity catch-up in the service sector will be less spectacular, given its less backward status. Nevertheless, continuous FDI inflows will be necessary to modernise services as well, especially the high value-added activities, while the growing scope for competition in network industries entails significant cost-reducing effects. Assuming a long-term annual productivity growth of 1½ per cent in the United States and the differential catch-up parameters for manufacturing and services of 2½ and 1½ per cent respectively, the Czech productivity levels, both aggregate and sectoral, should move to about 78 per cent of the US levels by 2050.[3] This would be an excellent achievement that cannot be, however, taken for granted. Scarpetta and Tressel (2002) show that excessive product-market regulations and inflexible labour markets impede the catch-up process.

Figure A1 shows that a group of peripheral EU economies, known as cohesion countries (Greece, Spain, and Portugal), experienced a dynamic productivity catch-up process during

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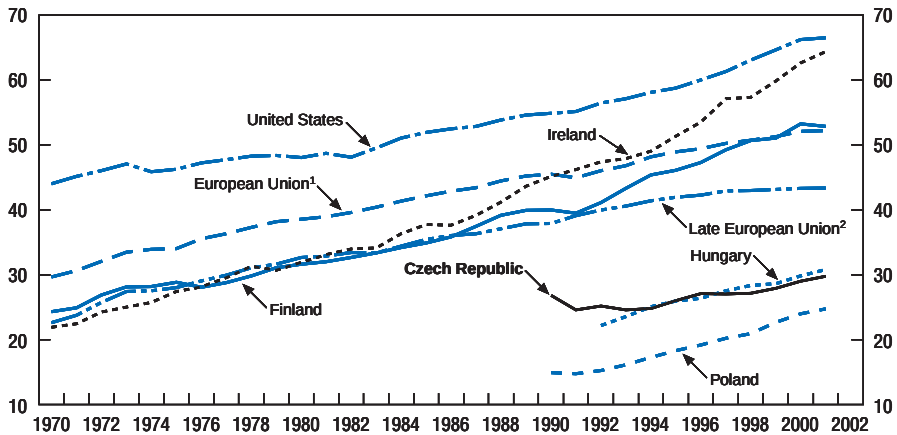
Figure A1. **GDP/civilian employment**
Levels, thousand USD at PPP, 1995 prices



1. Includes western Germany to 1990, Germany from 1991.
2. Greece, Portugal and Spain.
Source: OECD National Accounts and Labour Force Statistics.

the 1970s. Subsequently, their spectacular productivity advance fizzled out and this group of countries have remained at practically constant *relative* productivity levels *vis-à-vis* the United States. This figure also shows that Ireland and Finland have been the only unambiguously successful catch-up economies in Europe over the last quarter century. Hungary may well be the next one, just like the Czech Republic, providing that structural progress be continued successfully. These two transition economies exhibit, in opposite ways, a fundamental dilemma facing policy makers. Whereas Hungary has been much more successful in the productivity catch-up game, the Czech Republic has managed to keep a significantly higher proportion of labour force active. Therefore, the Czech per capita GDP level still exceeds the Hungarian one.

Even if the Czech economy could realise fully its productivity catch-up potential, it would also have to keep pace with the US employment rates to achieve an equally impressive catch-up in GDP per head, an indicator that measures – albeit imperfectly – the standard of living. In 1993, both the American and Czech employment rates, defined by the ratio of the employed to total population, were equal at 47 per cent. In 2001, the US rate was still 47 per cent while the Czech rate declined to 46 per cent. Given the more rapid ageing of the Czech population projected over the next few decades, it is probable that the employment rate gap will increase further.[4] At present, the gap is more than offset by the working hours differential – in 2001, average annual hours per person in employment amounted to 2000 in the Czech Republic and 1 821 in the United States (OECD, 2002). Over the longer term, longer working hours cannot offset the employment rate gap so that the gain in the GDP per head is bound to be more modest than the productivity gain.

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Notes

1. The Czech per capita GDP was 62 per cent of the OECD average in 1993 and 66 per cent in 1996. See Schreyer and Koechlin (2002).
2. A similar pattern of uneven development of relative productivity levels of manufacturing and service industries has prevailed in the majority of OECD economies investigated in Scarpetta and Tressel (2002).
3. A smooth pattern of the catch-up process projected by this scenario implies that the manufacturing sector's productivity would reach 41 per cent of the US level in 2010 and 54 per cent in 2020, the corresponding percentages for the service sector being 59 and 65 respectively.
4. Even if the Czech Republic could maintain its high participation rates and reduce the unemployment rates permanently to 5 per cent, the overall employment rate would be driven by the ageing process to 43 per cent in 2030.

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Annex V

Chronology of main economic events

2002

January

The government increases the minimum wage from CZK 5 000 to CZK 5 900 per month.

The government increases pensions by 8.2 per cent.

The government approves a co-operative strategy with the Czech National Bank (CNB) for sterilising part of the foreign exchange proceeds of privatisations in a special account of the CNB.

CNB reduces its benchmark policy rate by 25 basis points to 4½ per cent.

February

CNB cuts its benchmark policy rate to 4¼ per cent.

April

The government increases public sector wages by 11.7 per cent.

The privatisation agency receives € 4.1 billion for the state's 97 per cent stake in the natural gas company *Transgas*.

CNB reduces its benchmark policy rate by 50 basis points to 3¾ per cent.

July

CNB reduces its benchmark policy rate by 75 basis points to 3 per cent.

August

The worst floods ever recorded hit Prague and a number of other Czech cities.

September

The government decides to sell the largest domestic steel producer (*Nova Hut*) to a subsidiary of the LNM multinational group.

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October

The government cancels the sale of a large petrochemical conglomerate (*Unipetrol*), following the refusal of a winning bidder (a closely held domestic group) to honour contract terms.

November

CNB reduces its benchmark policy rate by 25 basis points to 2¾ per cent.

The government cancels the planned $1.8 billion sale of its 51 per cent stake in *Cesky Telecom* to a Deutsche Bank group, following disagreements with minority shareholders.

December

The state decides to sell its controlling stake in the heavy-engineering conglomerate *SkodaPlzen* to a closely held Appian group of the United States.

Parliament approves the 2003 state budget.

The Finance Ministry publishes its draft of the medium-term fiscal consolidation programme.

2003

January

CNB cuts its benchmark policy by 25 basis points to 2½ per cent.

The government increases pensions by 4 per cent.

Czech Railways is split into a state-owned transport corporation and a rail infrastructure agency.

The government raises the minimum wage from CZK 5 700 to CZK 6 200, by 9 per cent, effective from January 2003.

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